Substitute House Bill No. 5005
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PUBLIC ACT NO. 98-28

AN ACT CONCERNING ELECTRIC RESTRUCTURING.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

Section 1. Subsection (a) of section 16-1 of the general statutes is repealed and the following is substituted in lieu thereof:

(a) Terms used in this title and in chapters 244, 244a, 244b, 245, 245a and 245b* shall be construed as follows, unless another meaning is expressed or is clearly apparent from the language or context:

(1) "Authority" means the Public Utilities Control Authority and "department" means the Department of Public Utility Control;

(2) "Commissioner" means a member of said authority;

(3) "Commissioner of Transportation" means the Commissioner of Transportation appointed under section 13b-3;

(4) "Public service company" includes electric, ELECTRIC DISTRIBUTION, gas, telephone, telegraph, pipeline, sewage, water and community antenna television companies, owning, leasing, maintaining, operating, managing or controlling plants or parts of plants or equipment, and all express companies having special privileges on railroads within this state, but shall not include telegraph company functions concerning intrastate money order service, towns, cities, boroughs, any municipal corporation or department thereof, whether separately incorporated or not, [or] a private power producer, as defined in section 16-243b OR AN EXEMPT WHOLESALE GENERATOR, AS DEFINED IN 15 USC 79z-5a;

(5) "Plant" includes all real estate, buildings, tracks, pipes, mains, poles, wires and other fixed or stationary construction and equipment, wherever located, used in the conduct of the business of the company;

(6) "Railroad company" includes every corporation, company, association, joint stock association, partnership or person, or lessee thereof, owning, leasing, maintaining, operating, managing or controlling any railroad, or any cars or other equipment employed thereon or in connection therewith, for public or general use within this state;

(7) "Street railway company" includes every corporation, company, association, joint stock association, partnership or person, or lessee thereof, owning, leasing, maintaining, operating, managing or controlling any street railway, or any cars or other equipment employed thereon or in connection therewith, for public or general use within this state;

(8) "Electric company" includes, UNTIL AN ELECTRIC COMPANY HAS BEEN UNBUNDLED IN ACCORDANCE WITH THE PROVISIONS OF SECTION 5 OF THIS ACT, every corporation, company, association, joint stock association, partnership or person, or

lessee thereof, owning, leasing, maintaining, operating, managing or controlling poles, wires, conduits or other fixtures, along public highways or streets, for the transmission or distribution of electric current for sale for light, heat or power within this state, or, engaged in generating electricity to be so transmitted or distributed for such purpose, but shall not include (A) a private power producer, as defined in section 16-243b, (B) AN EXEMPT WHOLESALE GENERATOR, AS DEFINED IN 15 USC 79z-5a, (C) a municipal electric utility established under chapter 101, (D) a municipal electric energy cooperative established under chapter 101a, (E) an electric cooperative established under chapter 597, or (F) any other electric utility owned, leased, maintained, operated, managed or controlled by any unit of local government under any general statute or any public or special act;

(9) "Gas company" includes every corporation, company, association, joint stock association, partnership or person, or lessee thereof, owning, leasing, maintaining, operating, managing or controlling mains, pipes or other fixtures, in public highways or streets, for the transmission or distribution of gas for sale for heat or power within this state, or engaged in the manufacture of gas to be so transmitted or distributed for such purpose, but shall not include a municipal gas utility established under chapter 101 or any other gas utility owned, leased, maintained, operated, managed or controlled by any unit of local government under any general statute or any public or special act;

(10) "Water company" includes every corporation, company, association, joint stock association, partnership or person, or lessee thereof, owning, leasing, maintaining, operating, managing or controlling any pond, lake, reservoir, stream, well or distributing plant or system employed for the purpose of supplying water to fifty or more consumers. A water company does not include homeowners, condominium associations providing water only to their members, homeowners associations providing water to customers at least eighty per cent of whom are members of such associations, a municipal waterworks system established under chapter 102, a district, metropolitan district, municipal district or special services district established under chapter 105, chapter 105a or any other general statute or any public or special act which is authorized to supply water, or any other waterworks system owned, leased, maintained, operated, managed, or controlled by any unit of local government under any general statute or any public or special act;

(11) "Consumer" means any private dwelling, boardinghouse, apartment, store, office building, institution, mechanical or manufacturing establishment or other place of business or industry to which water is supplied by a water company;

(12) "Sewage company" includes every corporation, company, association, joint stock association, partnership or person, or lessee thereof, owning, leasing, maintaining, operating, managing or controlling, for general use in any town, city or borough, or portion thereof, in this

state, sewage disposal facilities which discharge treated effluent into any waterway of this state;

(13) "Pipeline company" includes every corporation, company, association, joint stock association, partnership or person, or lessee thereof, owning, leasing, maintaining, operating, managing or controlling mains, pipes or other fixtures through, over, across or under any public land, water, parkways, highways, parks or public grounds for the transportation, transmission or distribution of petroleum products for hire within this state;

(14) "Community antenna television company" includes every corporation, company, association, joint stock association, partnership or person, or lessee thereof, owning, leasing, maintaining, operating, managing or controlling a community antenna television system, in, under or over any public street or highway, for the purpose of providing community antenna television service for hire and shall include any municipality which owns or operates one or more plants for the manufacture or distribution of electricity pursuant to section 7-213 or any special act and seeks to obtain or obtains a certificate of public convenience and necessity to construct or operate a community antenna television system pursuant to section 16-331;

(15) "Community antenna television service" means (1) the one-way transmission to subscribers of video programming or information that a community antenna television company makes available to all subscribers generally, and subscriber interaction, if any, which is required for the selection of such video programming or information and (2) noncable communications service;

(16) "Community antenna television system" means a facility, consisting of a set of closed transmission paths and associated signal generation, reception and control equipment that is designed to provide community antenna television service which includes video programming and which is provided in, under or over any public street or highway, for hire, to multiple subscribers within a franchise, but such term does not include (1) a facility that serves only to retransmit the television signals of one or more television broadcast stations; (2) a facility that serves only subscribers in one or more multiple unit dwellings under common ownership, control or management, unless such facility is located in, under or over a public street or highway; (3) a facility of a common carrier which is subject, in whole or in part, to the provisions of Subchapter II of Chapter 5 of the Communications Act of 1934, 47 USC 201 et seq., as amended, except that such facility shall be considered a community antenna television system and the carrier shall be considered a public service company to the extent such facility is used in the transmission of video programming directly to subscribers; or (4) a facility of an electric company which is used solely for operating its electric company systems;

(17) "Video programming" means programming provided by, or generally considered comparable to programming provided by, a television broadcast station;

(18) "Noncable communications service" means any telecommunications service, as defined in section 16-247a, and which is not included in the definition of "cable service" in the Communications Act of 1934, 47 USC 522, as amended. Nothing in this definition shall be construed to affect service which is both authorized and preempted pursuant to federal law;

(19) "Public service motor vehicle" includes all motor vehicles used for the transportation of passengers for hire;

(20) "Motor bus" includes any public service motor vehicle operated in whole or in part upon any street or highway, by indiscriminately receiving or discharging passengers, or operated on a regular route or over any portion thereof, or operated between fixed termini, and any public service motor vehicle operated over highways within this state between points outside this state or between points within this state and points outside this state;

(21) "Cogeneration technology" means the use for the generation of electricity of exhaust steam, waste steam, heat or resultant energy from an industrial, commercial or manufacturing plant or process, or the use of exhaust steam, waste steam or heat from a thermal power plant for an industrial, commercial or manufacturing plant or process, but shall not include steam or heat developed solely for electrical power generation;

(22) "Renewable fuel resources" means energy [derived from wind, hydro power, biomass or other solar resources] SOURCES DESCRIBED IN SUBDIVISIONS (26) AND (27) OF THIS SECTION;

(23) "Telephone company" means a telecommunications company that provides one or more noncompetitive or emerging competitive services, as defined in section 16-247a;

(24) "Domestic telephone company" includes any telephone company which has been chartered by or organized or constituted within or under the laws of this state;

(25) "Telecommunications company" means a corporation, limited liability company, company, association, joint stock association, partnership or person, or a lessee thereof, which provides telecommunications service, as defined in section 16-247a, within the state, but shall not mean a person, firm, corporation, limited liability company, company, association, joint stock association or partnership, or a lessee thereof, which provides only (A) private telecommunications service, as defined in section 16-247a, (B) the one-way transmission of video programming or other programming services to subscribers, (C) subscriber interaction, if any, which is required for the selection of such video programming or other programming services, (D) the two-way transmission of educational or instructional programming to a public or private elementary or secondary school, or a public or independent institution of higher education, as required by the department pursuant to a community antenna television company franchise agreement, or provided pursuant to a contract with such a school or institution which contract has been filed with the department, or (E) a combination of the services set forth in subparagraphs (B) to (D), inclusive, of this subdivision;

(26) "CLASS I RENEWABLE ENERGY SOURCE" MEANS ENERGY DERIVED FROM SOLAR POWER; WIND POWER; A FUEL CELL; METHANE GAS FROM LANDFILLS; OR A BIOMASS FACILITY, PROVIDED SUCH FACILITY BEGINS OPERATING ON OR AFTER JULY 1, 1998, AND SUCH BIOMASS IS CULTIVATED AND HARVESTED IN A SUSTAINABLE MANNER;

(27) "CLASS II RENEWABLE ENERGY SOURCE" MEANS ENERGY DERIVED FROM A TRASH-TO-ENERGY FACILITY; OR A BIOMASS FACILITY THAT DOES NOT MEET THE CRITERIA FOR A CLASS I RENEWABLE ENERGY SOURCE OR A HYDROPOWER FACILITY, PROVIDED SUCH FACILITY HAS A LICENSE ISSUED BY THE FEDERAL ENERGY REGULATORY COMMISSION, HAS BEEN EXEMPTED FROM SUCH LICENSURE, IS THE SUBJECT OF A LICENSE APPLICATION OR NOTICE OF INTENT TO SEEK A LICENSE FROM SAID COMMISSION, HAS BEEN FOUND BY THE COMMISSIONER OF ENVIRONMENTAL PROTECTION TO BE OPERATING IN COMPLIANCE WITH THE FEDERAL CLEAN WATER ACT, OR HAS BEEN FOUND BY THE CANADIAN ENVIRONMENTAL ASSESSMENT AGENCY TO BE OPERATING IN COMPLIANCE WITH SAID AGENCY'S RESOURCE OBJECTIVES;

(28) "ELECTRIC DISTRIBUTION SERVICES" MEANS THE OWNING, LEASING, MAINTAINING, OPERATING, MANAGING OR CONTROLLING OF POLES, WIRES, CONDUITS OR OTHER FIXTURES ALONG PUBLIC HIGHWAYS OR STREETS, FOR THE DISTRIBUTION OF ELECTRICITY, OR ELECTRIC DISTRIBUTION-RELATED SERVICES;

(29) "ELECTRIC DISTRIBUTION COMPANY" OR "DISTRIBUTION COMPANY" MEANS ANY PERSON PROVIDING ELECTRIC TRANSMISSION OR DISTRIBUTION SERVICES WITHIN THE STATE, INCLUDING AN ELECTRIC COMPANY, SUBJECT TO SUBPARAGRAPH (F) OF THIS SUBDIVISION, BUT DOES NOT INCLUDE: (A) A PRIVATE POWER PRODUCER, AS DEFINED IN SECTION 16-243b; (B) A MUNICIPAL ELECTRIC UTILITY ESTABLISHED UNDER CHAPTER 101, OTHER THAN A PARTICIPATING MUNICIPAL ELECTRIC UTILITY; (C) A MUNICIPAL ELECTRIC ENERGY COOPERATIVE ESTABLISHED UNDER CHAPTER 101a; (D) AN ELECTRIC COOPERATIVE ESTABLISHED UNDER CHAPTER 597; (E) ANY OTHER ELECTRIC UTILITY OWNED, LEASED, MAINTAINED, OPERATED, MANAGED OR CONTROLLED BY ANY UNIT OF LOCAL GOVERNMENT UNDER ANY GENERAL STATUTE OR SPECIAL ACT; (F) AFTER AN ELECTRIC COMPANY HAS BEEN UNBUNDLED IN ACCORDANCE WITH THE PROVISIONS OF SECTION 5 OF THIS ACT, A GENERATION ENTITY OR AFFILIATE OF THE FORMER ELECTRIC COMPANY; OR (G) AN ELECTRIC SUPPLIER;

(30) "ELECTRIC SUPPLIER" MEANS ANY PERSON, INCLUDING AN ELECTRIC AGGREGATOR OR PARTICIPATING MUNICIPAL ELECTRIC UTILITY THAT IS LICENSED BY THE DEPARTMENT OF PUBLIC UTILITY CONTROL IN ACCORDANCE WITH SECTION 16-245, AS AMENDED BY THIS ACT, THAT PROVIDES ELECTRIC GENERATION SERVICES TO END USE CUSTOMERS IN THE STATE USING THE TRANSMISSION OR DISTRIBUTION FACILITIES OF AN ELECTRIC DISTRIBUTION COMPANY, REGARDLESS OF WHETHER OR NOT SUCH PERSON TAKES TITLE TO SUCH GENERATION SERVICES, BUT DOES NOT INCLUDE: (A) A MUNICIPAL ELECTRIC UTILITY ESTABLISHED UNDER CHAPTER 101, OTHER THAN A PARTICIPATING MUNICIPAL ELECTRIC UTILITY; (B) A MUNICIPAL ELECTRIC ENERGY COOPERATIVE ESTABLISHED UNDER CHAPTER 101a; (C) AN ELECTRIC COOPERATIVE ESTABLISHED UNDER CHAPTER 597; (D) ANY OTHER ELECTRIC UTILITY OWNED, LEASED, MAINTAINED, OPERATED, MANAGED OR CONTROLLED BY ANY UNIT OF LOCAL GOVERNMENT UNDER ANY GENERAL STATUTE OR SPECIAL ACT; OR (E) AN ELECTRIC DISTRIBUTION COMPANY IN ITS PROVISION OF ELECTRIC GENERATION

SERVICES IN ACCORDANCE WITH SUBSECTION (a) OR, PRIOR TO JANUARY 1, 2004, SUBSECTION (c) OF SECTION 20 OF THIS ACT;

(31) "ELECTRIC AGGREGATOR" MEANS (A) A PERSON OR MUNICIPALITY THAT GATHERS TOGETHER ELECTRIC CUSTOMERS FOR THE PURPOSE OF NEGOTIATING THE PURCHASE OF ELECTRIC GENERATION SERVICES FROM AN ELECTRIC SUPPLIER OR (B) THE CONNECTICUT RESOURCES RECOVERY AUTHORITY, IF IT GATHERS TOGETHER ELECTRIC CUSTOMERS FOR THE PURPOSE OF NEGOTIATING THE PURCHASE OF ELECTRIC GENERATION SERVICES FROM AN ELECTRIC SUPPLIER, PROVIDED SUCH PERSON, MUNICIPALITY OR AUTHORITY IS NOT ENGAGED IN THE PURCHASE OR RESALE OF ELECTRIC GENERATION SERVICES, AND PROVIDED FURTHER SUCH CUSTOMERS CONTRACT FOR ELECTRIC GENERATION SERVICES DIRECTLY WITH AN ELECTRIC SUPPLIER, AND MAY INCLUDE AN ELECTRIC COOPERATIVE ESTABLISHED PURSUANT TO CHAPTER 597;

(32) "ELECTRIC GENERATION SERVICES" MEANS ELECTRIC ENERGY, ELECTRIC CAPACITY OR GENERATION-RELATED SERVICES;

(33) "ELECTRIC TRANSMISSION SERVICES" MEANS ELECTRIC TRANSMISSION OR TRANSMISSION-RELATED SERVICES;

(34) "GENERATION ENTITY OR AFFILIATE" MEANS A CORPORATE AFFILIATE OR, AS PROVIDED IN SUBDIVISION (3) OF SUBSECTION (a) OF SECTION 5 OF THIS ACT, A SEPARATE DIVISION OF AN ELECTRIC COMPANY AFTER UNBUNDLING HAS OCCURRED PURSUANT TO SECTION 5 OF THIS ACT, THAT PROVIDES ELECTRIC GENERATION SERVICES;

(35) "PARTICIPATING MUNICIPAL ELECTRIC UTILITY" MEANS A MUNICIPAL ELECTRIC UTILITY ESTABLISHED UNDER CHAPTER 101 OR ANY OTHER ELECTRIC UTILITY OWNED, LEASED, MAINTAINED, OPERATED, MANAGED OR CONTROLLED BY ANY UNIT OF LOCAL GOVERNMENT UNDER ANY GENERAL STATUTE OR ANY PUBLIC OR SPECIAL ACT, THAT IS AUTHORIZED BY THE DEPARTMENT IN ACCORDANCE WITH SECTION 19 OF THIS ACT TO PROVIDE ELECTRIC GENERATION SERVICES TO END USE CUSTOMERS OUTSIDE ITS SERVICE AREA, AS DEFINED IN SECTION 19 OF THIS ACT;

(36) "PERSON" MEANS AN INDIVIDUAL, BUSINESS, FIRM, CORPORATION, ASSOCIATION, JOINT STOCK ASSOCIATION, TRUST, PARTNERSHIP OR LIMITED LIABILITY COMPANY; AND

(37) "REGIONAL INDEPENDENT SYSTEM OPERATOR" MEANS THE "ISO -NEW ENGLAND, INC.", OR ITS SUCCESSOR ORGANIZATION AS APPROVED BY THE FEDERAL ENERGY REGULATORY COMMISSION.

Sec. 2. Section 16-244 of the general statutes is repealed and the following is substituted in lieu thereof:

[Any corporation authorized to sell and distribute electricity to electric light and power companies, railroad companies or electric companies may, within the territory within which it is authorized to transmit or convey such electricity for the purposes aforesaid and subject to the restrictions contained in section 16-245, sell, transmit, convey and deliver electricity generated within the state to any person or corporation desiring to use such electricity for the purpose of power and for any use incidental to or connected with manufacturing purposes.]

THE GENERAL ASSEMBLY FINDS AND DECLARES THAT:

(1) THE PROVISION OF AFFORDABLE, SAFE AND RELIABLE ELECTRICITY IS KEY TO THE CONTINUING

GROWTH OF THIS STATE AND TO THE HEALTH, SAFETY AND GENERAL WELFARE OF ITS RESIDENTS;

(2) RATES FOR ELECTRICITY IN THIS STATE AND IN THE REGION ARE HIGHER THAN THE NATIONAL AVERAGE;

(3) CHANGES IN GENERATING TECHNOLOGY NOW ENABLE THE PROVISION OF ELECTRIC SERVICE AT MUCH LOWER RATES THAN ARE CURRENTLY BEING CHARGED IN CONNECTICUT AND COMPETITIVE MARKET FORCES CAN PLAY A ROLE IN THE REDUCTION OF CONNECTICUT RATES;

(4) IT IS IN THE BEST INTEREST OF THE STATE TO REDUCE RATES FOR ELECTRICITY TO ALL CUSTOMER CLASSES, TO PREVENT CROSS SUBSIDIZATION AMONG CUSTOMER CLASSES AND TO ALLOW FOR THE COMPETITIVE GENERATION OF ELECTRICITY WHILE RETAINING A REGULATED DISTRIBUTION SYSTEM TO ENSURE RELIABILITY;

(5) A COMPETITIVE GENERATION MARKET SHOULD ALLOW CUSTOMERS TO CHOOSE AMONG ALTERNATIVE GENERATION SERVICES AND ALLOW CUSTOMERS A REASONABLE AND FAIR OPPORTUNITY TO SELF-GENERATE AND INTERCONNECT;

(6) THOSE PUBLIC POLICY MEASURES UNDER CURRENT LAW, INCLUDING, BUT NOT LIMITED TO, THOSE PROTECTING CUSTOMERS UNDER THE WINTER MORATORIUM AND HARDSHIP PROVISIONS AS WELL AS CONSERVATION MEASURES AND INCENTIVES FOR USING RENEWABLE ENERGY SOURCES, SHOULD BE PRESERVED;

(7) STATE REGULATIONS SHOULD ENCOURAGE AND ALLOW FOR A SUFFICIENT NUMBER OF IN-STATE GENERATING FACILITIES TO ENSURE AN ADEQUATE AND RELIABLE POWER SUPPLY WITHIN THE STATE AND ENSURE DEVELOPMENT OF A TRULY COMPETITIVE GENERATION MARKET;

(8) THE ASSURANCE OF SAFE, RELIABLE AND AVAILABLE ELECTRIC SERVICE TO ALL CUSTOMERS IN A UNIFORM AND EQUITABLE MANNER IS AN ESSENTIAL GOVERNMENTAL OBJECTIVE AND A RESTRUCTURED ELECTRIC MARKET MUST PROVIDE ADEQUATE SAFEGUARDS TO ASSURE UNIVERSAL SERVICE AND CUSTOMER SERVICE PROTECTIONS;

(9) THE GENERATION OF ELECTRICITY MUST BE ACHIEVED IN A MANNER THAT DOES NOT ENDANGER THE PUBLIC HEALTH OR SAFETY AND THAT MINIMIZES NEGATIVE ENVIRONMENTAL IMPACTS;

(10) THE RESTRUCTURING OF THE ELECTRIC INDUSTRY MAY RESULT IN A REDUCTION IN STAFFING LEVELS AT CONNECTICUT GENERATION FACILITIES AND THOSE WORKERS ADVERSELY AFFECTED BY SUCH RESTRUCTURING SHOULD BE PROTECTED;

(11) THE CURRENT METHOD OF PROVIDING ELECTRIC SERVICE HAS INVOLVED A BALANCING OF COSTS, RISKS AND REWARDS FOR ELECTRIC UTILITIES AND THEIR CUSTOMERS, AND THEREFORE THE TRANSITION TO A COMPETITIVE GENERATION MARKET, INCLUDING THE DETERMINATION OF STRANDED COSTS, SHOULD BE BASED ON THE PRINCIPLES OF FAIRNESS AND REASONABLENESS AND THE RESULT OF A BALANCE OF THE INTERESTS OF ELECTRIC CUSTOMERS, ELECTRIC UTILITIES AND THE PUBLIC AT LARGE; AND

(12) IT IS IN THE BEST INTEREST OF THE STATE FOR ALL CUSTOMERS TO USE ELECTRICITY AS EFFICIENTLY AS POSSIBLE.

Sec. 3. (NEW) (a) For purposes of this section, "base rates" means the total amount charged by an electric company to each end use customer class, as defined in its rate order in effect on July 1, 1998, for the fully bundled costs of electricity, including any customer service charge and any demand charge.

(b) Notwithstanding sections 16-19 and 16-19a of the general statutes, for the period from July 1, 1998, until December 31, 1999, the base rates paid to an electric company by any customer in the state for electric services, other than a customer receiving electric services under a special contract, shall not exceed the base rates that have been approved by the Department of Public Utility Control for that electric company as of December 31, 1996. Base rates shall be adjusted to the extent of any increase or decrease in state taxes attributable to sections 12-264 and 12-265 of the general statutes, as amended by this act, and any other increase or decrease in state or federal taxes resulting from a change in state or federal law and shall continue to be adjusted during such period pursuant to section 16-19b of the general statutes. Base rates may be adjusted, by an increase or decrease, to the extent approved by the department, in the event that the revenue requirements of the company are affected as the result of changes in legislative enactments other than this act, administrative requirements or accounting standards occurring after July 1, 1998, provided such accounting standards are adopted by entities independent of the company that have authority to issue such standards. Savings attributable to a reduction in taxes shall not be shifted between customer classes. The calculation of base rates for purposes of this section shall not be affected by the change in billing format provided in subsection (b) of section 5 of this act.

Sec. 4. (NEW) All customers of electric distribution companies, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, shall have the opportunity to purchase electric generation services from their choice of electric suppliers, as defined in said section 16-1, in a competitive generation market in accordance with the schedule provided in this section. On and after January 1, 2000, up to thirty-five per cent of the peak load of each rate class of an electric company or electric distribution company, as the case may be, may choose an electric supplier to provide their electric generation services, provided such customers shall be located in distressed municipalities, as defined in section 32-9p of the general statutes. In the event that the number of customers exceeds thirty-five per cent of such load, preference shall be given to customers located in distressed municipalities with a population greater than one hundred thousand persons. Participation shall be determined on a first-come, first-served basis. As of July 1, 2000, all customers shall have the opportunity to choose an electric supplier. On and after January 1, 2000, electric generation services shall be provided in accordance with section 20 of this act to any customer who has not chosen an electric supplier or has declined, failed or been unable to enter into or maintain a contract for electric generation services with an electric supplier. The Department of Public Utility Control may adopt regulations in accordance with chapter 54 of the general statutes to implement the phase-in schedule provided in this subsection.

Sec. 5. (NEW) (a) (1) Not later than October

1, 1998, each electric company shall submit an unbundling plan to the department to unbundle and separate, by October 1, 1999, all the company's generation assets that (A) prior to the date when the department approves a divestiture plan pursuant to section 6 or 7 of this act, are not sold in accordance with section 16-43 of the general statutes, and (B) on and after the date when the department approves such plan, will not be divested as of January 1, 2000, in accordance with sections 6 and 7 of this act.

(2) For any nonnuclear generation asset that will not be divested by January 1, 2000, unbundling and separation shall occur by transfer on a functional basis to one or more corporate affiliates that are legally separate from the company's transmission and distribution assets and all related operations and functions, in which case, no stranded costs shall be recovered.

(3) For any nuclear generation asset that will not be sold by January 1, 2000, unbundling and separation shall occur by (A) divestiture pursuant to section 7 of this act, (B) transfer on a functional basis to one or more corporate affiliates that are legally separate from the company's transmission and distribution assets and all related operations and functions, or (C) if required to comply with rules, regulations or licensing requirements of the United States Nuclear Regulatory Commission, transfer on a functional basis to one or more divisions that are structurally separate from the electric distribution company.

(4) The unbundling plan and order shall provide for the allocation of the rights and responsibilities pursuant to sections 8 to 14, inclusive, of this act between the electric distribution company and any generation entities or affiliates and shall provide for the allocation of revenue under a special contract among those components of a customer's bill specified in subdivision (1) of subsection (a) of section 21 of this act. Such plan shall include a proposed modification or elimination to the adjustment pursuant to section 16-19b of the general statutes. Such plan shall not allow the transfer of assets or liabilities allocable or belonging to transmission or distribution functions or facilities to the generation entity or affiliate of an electric company, nor allow the transfer of assets or liabilities, other than financial assets or liabilities to be funded by the competitive transition assessment pursuant to section 10 of this act or the systems benefits charge pursuant to section 18 of this act, allocable or belonging to generation functions or facilities to the electric distribution company, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, unless federal law or regulation requires such a transfer with regard to nuclear generation assets. All entitlements and obligations from any purchased power contract or independent power producer contract entered into before July 1, 1998, by the predecessor electric company which are not bought out shall succeed to the electric distribution company. Such plan shall include a discussion of the impacts of the proposed plan on the company's employees and plans for mitigating such impact.

(5) The department shall hold a hearing and issue a final order approving or modifying the plan in a time frame that will allow unbundling to be accomplished by October 1, 1999. Any hearing shall be conducted as a contested case in accordance with chapter 54 of the general statutes. Such plan shall be submitted and such order issued consistent with the determination and implementation of the competitive transition assessment, as provided in section 10 of this act.

(6) Once unbundling is completed to the satisfaction of the department and consistent with the provisions of section 16-244 of the general statutes, as amended by section 2 of this act, any corporate affiliate or separate division that provides electric generation services as a result of unbundling pursuant to this subsection shall be considered a generation entity or affiliate of the electric company, and the division or corporate affiliate of the electric company that provides transmission and distribution services shall be considered an electric distribution company.

(b) Not later than August 1, 1998, the Department of Public Utility Control shall hold a hearing and issue a final order that unbundles prices or rates for electric generation services for each electric company from all other charges. Any hearing shall be conducted as a contested case in accordance with chapter 54 of the general statutes. On and after July 1, 1999, each electric company or electric distribution company, as the case may be, shall provide all customers with a bill that separates the electric generation services component of those charges. Any unbundling of charges for electric generation services under this subsection shall not affect the calculation of base rates under section 3 of this act.

Sec. 6. (NEW) (a) As used in this section:

(1) "Generation assets" means electric generation facilities and generation-related operations and functions owned by an electric company and includes associated contractual obligations for energy or capacity from such generation assets; and

(2) "Net proceeds" means the book income from the sale or divestiture of assets, consisting of sales price less reasonable expenses of sale, related income and other taxes.

(b) (1) No electric company shall be eligible to claim any stranded costs as provided in sections 8 to 14, inclusive, of this act, unless the electric company (A) prior to the date when the department approves a divestiture plan, has sold its nonnuclear generation assets in accordance with section 16-43 of the general statutes, and (B) on and after the date when the department approves such plan, has submitted all of its nonnuclear generation assets owned or held as of the effective date of this act, to a public auction held in a commercially reasonable manner in accordance with this subsection.

(2) Each electric company that elects to divest itself of nonnuclear generation assets shall, not later than October 1, 1998, submit a divestiture plan to the Department of Public Utility Control. The divestiture plan shall include (A) any documentation the department determines is reasonably necessary to approve the

auction procedure, including a copy of the request for proposal and a description of the solicitation process, (B) a detailed description of the process for the sale and transfer of nonnuclear generation assets, and (C) the book value of all assets the electric company intends to make available for sale. In structuring the divestiture plan, the electric company shall take into account the findings set forth in section 16-244 of the general statutes, as amended by section 2 of this act. The department shall issue a final order approving or modifying the plan in a time frame that will allow divestiture to be accomplished by January 1, 2000. The department shall, after consultation with the Office of Consumer Counsel, appoint a consultant who shall be an entity unrelated to said company that meets qualifications set by the department, to conduct the auction process.

(3) The department shall not approve a sale unless (A) the sale price of an asset or assets equals or exceeds book value for the asset or assets, except for any dual-fueled nonnuclear generation unit that began operation between 1974 and 1976 and has a capacity of not less than four hundred twenty megawatts, in which case the sale price for that specific unit equals or exceeds the minimum bid established by the department for the unit, (B) the department determines the bidder meets all applicable qualifications established by federal law and regulation, (C) the sale is conducted in accordance with the divestiture plan as approved by the department, (D) the bidder proves to the satisfaction of the department that the bidder will preserve labor agreements in effect at the time of the sale, and (E) the sale will result in a net benefit to ratepayers, as determined by the department. Transfer in ownership of any asset shall not occur until the department determines the purchaser is fully qualified to provide electric generation services pursuant to section 16-245 of the general statutes, as amended by this act, or pursuant to applicable federal law and regulation. If the department approves a sale in accordance with the provisions of this section, no further proceedings under section 16-43 shall be required.

(4) The department shall determine the minimum bid price for a dual-fueled nonnuclear generation unit that began operation between 1974 and 1976 and has a capacity of not less than four hundred twenty megawatts, by determining the future net cash flow that a nonnuclear generation unit of comparable size, age and technical characteristics that is prudently and efficiently managed would be expected to produce over its expected remaining useful life, discounted to a present value.

(5) A generation entity or affiliate of an electric company may bid on any nonnuclear generation asset, provided such entity or affiliate is qualified to bid, as provided in this subsection.

(6) All net proceeds realized by an electric company from the sale of assets pursuant to this subsection that exceed the total book value of all the assets sold pursuant to this section shall be netted against the amount of stranded costs as provided in subdivision (4) of subsection (h) and subsection (i) of section 8 of this act.

(7) If an electric company complies with the provisions of this subsection but does not receive any bids for an asset by a qualified bidder that equal or exceed the minimum bid as provided in this subsection, the department shall calculate the value of stranded costs for each such asset in accordance with the provisions of subsection (g) of section 8 of this act.

Sec. 7. (NEW) (a) As used in this section, "generation assets" means "generation assets", as defined in section 6 of this act, and "net proceeds" means "net proceeds", as defined in section 6 of this act.

(b) Not later than January 1, 2004, each electric distribution company shall either (1) submit its nuclear generation assets to a public auction held in a commercially reasonable manner, in accordance with subsection (c) of this section in order to divest itself of remaining nuclear generation assets, or (2) transfer remaining nuclear generation assets to one or more legally separate corporate affiliates at their book value, in which case no stranded costs shall be recovered.

(c) (1) Each electric distribution company that elects to divest itself of its nuclear generation assets shall, in a time frame that will allow divestiture to occur by January 1, 2004, submit a divestiture plan to the Department of Public Utility Control. The divestiture plan shall include (A) any documentation the department determines is reasonably necessary to approve the auction procedure, including a copy of the request for proposal and a description of the solicitation process, (B) a detailed description of the process for the sale and transfer of nuclear generation assets, and (C) information the department determines is necessary for the department to determine the value of the minimum bid for each nuclear generation asset, as provided in subdivision (3) of this subsection. The department shall hold a hearing and issue a final order approving or modifying the plan in a time frame that will allow divestiture to be accomplished by January 1, 2004. Any hearing shall be conducted as a contested case in accordance with chapter 54 of the general statutes. The department shall, after consultation with the Office of Consumer Counsel, appoint a consultant who shall be an entity unrelated to the said company that meets qualifications set by the department, to conduct the auction process.

(2) The department shall not approve a sale unless (A) the sale price equals or exceeds the minimum bid established by the department for the asset, (B) the department determines the bidder meets all applicable qualifications established by federal law and regulation, (C) the sale is conducted in accordance with the divestiture plan as approved by the department, (D) the bidder proves to the satisfaction of the department that the bidder will preserve labor agreements in effect at the time of the sale, and (E) the sale will result in a net benefit to ratepayers, as determined by the department. Transfer in ownership of any asset shall not occur until the department determines the purchaser is fully qualified to provide electric generation services pursuant to section 16-245 of the general

statutes, as amended by this act, or pursuant to applicable federal law and regulation. If the department approves a sale in accordance with the provisions of this section, no further proceedings under section 16-43 of the general statutes shall be required.

(3) The department shall determine the minimum bid price for each nuclear generation asset by determining the future net cash flow that a nuclear generation asset of comparable size, age and technical characteristics that is prudently and efficiently managed would be expected to produce over its expected remaining useful life, discounted to a present value.

(4) A generation entity or affiliate of an electric distribution company may bid on any nuclear generation asset, provided such entity or affiliate is qualified to bid, as provided in this subsection.

(5) If a final bid is less than book value for an asset, the electric distribution company shall be entitled to recover the difference between the bid price and the book value as stranded costs pursuant to subdivision (2) of subsection (h) of section 8 of this act. If a final bid exceeds book value for an asset, the net proceeds realized by the electric distribution company that are above book value shall be netted against the amount of stranded costs as provided in subdivision (4) of subsection (h) of section 8 of this act.

(d) (1) If an electric distribution company elects to sell all its remaining nuclear generation assets by public auction and complies with the provisions of subsection (c) of this section but does not receive any bids for an asset by a qualified bidder that equal or exceed the minimum bid price, as determined by the department in accordance with the provisions of subsection (c) of this section, the department shall calculate the value of stranded costs for each such asset in accordance with subdivision (3) of subsection (h) of section 8 of this act.

(2) Not later than January 1, 2004, the electric distribution company shall transfer the nuclear generation assets described in subdivision (1) of this subsection to one or more legally separate corporate affiliates. If in order to comply with rules, regulations or licensing requirements of the United States Nuclear Regulatory Commission an electric distribution company is unable to legally separate its nuclear assets to one or more corporate affiliates, the generation assets may remain in separate divisions of the electric distribution company.

(e) (1) On and after January 1, 2000, and prior to the date when a nuclear generation asset is sold at public auction or transferred to a corporate affiliate, the difference between the return of and on capital costs allowed in rates for the nuclear generation asset and the income capitalization value established for such asset for such interim period pursuant to the methodology described in subdivision (3) of subsection (c) of this section shall be collected through the competitive transition assessment in accordance with section 10 of this act.

(2) On or after the date when a nuclear generation asset is sold at public auction or transferred to a corporate affiliate, the

department shall calculate the stranded costs for nuclear generation assets in accordance with subsection (h) of section 8 of this act.

(3) In no event shall any costs described in this subsection be funded at any time with the proceeds of rate reduction bonds pursuant to sections 8 to 14, inclusive, of this act.

Sec. 8. (NEW) (a) As used in this section and sections 9 to 14, inclusive, of this act:

(1) "Rate reduction bonds" means bonds, notes, certificates of participation or beneficial interest, or other evidences of indebtedness or ownership, issued pursuant to an executed indenture or other agreement of a financing entity, in accordance with this section and sections 9 to 14, inclusive, of this act, the proceeds of which are used, directly or indirectly, to provide, recover, finance, or refinance stranded costs, and which, directly or indirectly, are secured by, evidence ownership interests in, or are payable from, transition property;

(2) "Competitive transition assessment" means those non-bypassable rates and other charges, that are authorized by the department (A) in a financing order to recover those stranded costs that are eligible to be funded with the proceeds of rate reduction bonds pursuant to section 9 of this act and the costs of providing, recovering, financing, or refinancing such stranded costs through a plan approved by the department in the financing order, including the costs of issuing, servicing, and retiring rate reduction bonds, (B) to recover those stranded costs determined under this section but not eligible to be funded with the proceeds of rate reduction bonds pursuant to section 9 of this act, or (C) to recover costs determined under subdivision (1) of subsection (e) of section 7 of this act. If requested by the electric company or electric distribution company, the department shall include in the competitive transition assessment non-bypassable rates and other charges to recover federal and state taxes whose recovery period is modified by the transactions contemplated in this section and sections 9 to 14 of this act;

(3) "Customer" means any individual, business, firm, corporation, association, tax-exempt organization, joint stock association, trust, partnership, limited liability company, the United States or its agencies, this state, any political subdivision thereof or state agency that purchases electric generation or distribution services as a retail end user in the state from any electric supplier, electric company or electric distribution company;

(4) "Finance authority" means the state, acting through the office of the State Treasurer;

(5) "Net proceeds" means "net proceeds" as defined in section 6 of this act;

(6) "Stranded costs" means that portion of generation assets, generation-related regulatory assets or long-term contract costs determined by the department in accordance with the provisions of subsections (e), (f), (g) and (h) of this section;

(7) "Generation assets" means the total construction and other capital asset costs of generation facilities approved for inclusion in

rates before July 1, 1997, but does not include any costs relating to the decommissioning of any such facility or any costs which the department found during a proceeding initiated before July 1, 1998, were incurred because of imprudent management;

(8) "Generation-related regulatory assets" means generation-related costs authorized or mandated before July 1, 1998, by the Department of Public Utility Control, approved for inclusion in the rates, and include, but are not limited to, costs incurred for deferred taxes, conservation programs, environmental protection programs, public policy costs and research and development costs, net of any applicable credits payable to customers, but does not include any costs which the department found during a proceeding initiated before July 1, 1998, were incurred because of imprudent management;

(9) "Long-term contract costs" mean the above-market portion of the costs of contractual obligations approved for inclusion in the rates that were entered into before January 1, 2000, arising from independent power producer contracts required by law or purchased power contracts approved by the Federal Energy Regulatory Commission;

(10) "Department" means the Department of Public Utility Control;

(11) "Financing entity" means the finance authority or any special purpose trust or other entity that is authorized by the finance authority to issue rate reduction bonds or acquire transition property pursuant to such terms and conditions as the finance authority may specify, or both;

(12) "Financing order" means an order of the department adopted in accordance with this section and sections 9 to 14, inclusive, of this act; and

(13) "Transition property" means the property right created pursuant to this section and sections 9 to 14, inclusive, of this act, in respect of those stranded costs that are eligible to be funded with the proceeds of rate reduction bonds pursuant to section 9 of this act, including, without limitation, the right, title, and interest of an electric company or electric distribution company or its transferee (A) in and to the rates and charges established pursuant to a financing order, as adjusted from time to time in accordance with subdivision (2) of subsection (b) of section 12 of this act and the financing order, (B) to be paid the amount that is determined in a financing order to be the amount that the electric company or electric distribution company or its transferee is lawfully entitled to receive pursuant to the provisions of this section and sections 9 to 14, inclusive, of this act, and the proceeds thereof, and in and to all revenues, collections, claims, payments, money, or proceeds of or arising from the rates and charges or constituting the competitive transition assessment that is the subject of a financing order including those non-bypassable rates and other charges referred to in subdivision (2) of this subsection, and (C) in and to all rights to obtain adjustments to the rates and charges pursuant to the terms of subdivision (2) of subsection (b) of section 12 of this act and the financing order. "Transition

property" shall constitute a current property right notwithstanding the fact that the value of the property right will depend on consumers using electricity or, in those instances where consumers are customers of a particular electric company or electric distribution company, the electric company or electric distribution company performing certain services.

(b) The department shall, in accordance with the provisions of this section, identify and calculate, upon application by an electric company, those stranded costs that may be collected through the competitive transition assessment which shall be calculated and collected in accordance with the provisions of section 10 of this act. No electric distribution company shall be eligible to claim stranded costs unless a public auction has been held to divest itself of all nonnuclear generation assets in accordance with subsection (b) of section 6 of this act or the electric company has sold its nonnuclear generation assets in accordance with section 16-43 of the general statutes.

(c) (1) Notwithstanding subdivision (1) of subsection (e) of section 7 of this act, any electric company seeking to claim stranded costs shall, in accordance with this subsection, mitigate such costs to the fullest extent possible. Prior to the approval by the department of any stranded costs, the electric company shall show to the satisfaction of the department that the electric company has taken all reasonable steps to mitigate to the maximum extent possible the total amount of stranded costs that it seeks to claim and to minimize the cost to be recovered from customers. Mitigation shall include: (A) Except to the extent provided in collective bargaining agreements or agreements to purchase generation assets entered into prior to July 1, 1998, the obtaining of written commitments from purchasers of generation facilities divested pursuant to sections 6 and 7 of this act, that the purchasers will offer employment to persons who were employed in nonmanagerial positions by a divested generation facility at any time during the three-month period prior to the divestiture, at levels of wages and overall compensation not lower than the employees' lowest level during the six-month period prior to the date the contract to divest the asset was entered into; (B) good faith efforts to negotiate the buyout, buydown or renegotiation of independent power producer contracts and purchased power contracts approved by the Federal Energy Regulatory Commission provided the fixed present value of any contract to which a political subdivision of the state is a party shall be calculated using the political subdivision's tax exempt borrowing rate as the discount rate; and (C) the reasonable costs of the consultants appointed to conduct the auctions of generation assets pursuant to sections 6 and 7 of this act. Mitigation may include, but is not limited to, reallocation of depreciation reserves to existing generation assets to the extent consistent with generally accepted accounting principles; reduction of book assets by application of net proceeds of any sale of existing assets; maximization of market revenues from existing generation assets; efforts to

maximize current and future operating efficiency, including appropriate and timely maintenance, trouble shooting, aggressive identification and correction of potential problem areas; voluntary write-offs of above-market generation assets; the decision to retire uneconomical generation assets and efforts to divest generating sites at market prices reflective of best use of sites. Mitigation shall not include any expenditures to restart a nuclear generation asset that was not operating for reasons other than scheduled maintenance or refueling at the time such expenditure was made. Any mitigation efforts and associated costs shall be subject to approval by the department.

(2) The department shall allow the cost of such mitigation efforts to be included in the calculation of stranded costs to the extent that such mitigation costs are reasonable relative to the amount of the reduction in stranded costs resulting from the mitigation.

(d) An electric company shall submit to the department an application for recovery of that portion of generation-related regulatory assets, long-term contract costs, generation assets and mitigation costs which are determined by the department in accordance with subsections (c), (e), (f) and (g) of this section and subdivision (1) of subsection (e) of section 7 of this act. The application shall include a description of mitigation efforts and a request for recovery through the competitive transition assessment and may include a request for a financing order. The department shall hold a hearing for each electric company and issue a finding of the calculation of stranded costs in a time frame that allows for collection of the competitive transition assessment to begin on January 1, 2000. Any hearing shall be conducted as a contested case in accordance with chapter 54 of the general statutes.

(e) The department shall calculate the stranded costs for generation-related regulatory assets to be their book value as of January 1, 2000. In calculating the value of generation-related regulatory assets that are being provided in a lump sum as the result of a funding with the proceeds of rate reduction bonds, the department shall adjust the value of each such asset to reflect the time value of such lump sum, if any.

(f) (1) The department shall calculate the stranded costs for long-term contract costs that have been reduced to a fixed present value through the buyout, buydown, or renegotiation of independent power producer contracts and purchased power contracts approved by the Federal Energy Regulatory Commission as such present value. In making such calculation, the department shall net purchased power contracts approved by the Federal Energy Regulatory Commission that are below market value against any such contracts that are above-market value.

(2) The department shall calculate the stranded costs for any portion of a long-term contract cost that has not been reduced to a fixed present value by comparing the contract price to the market price at least annually. In making such calculation, the department shall net purchased power contracts approved by the Federal Energy

Regulatory Commission that are below market value against any such contracts that are above-market value. The costs described in this subdivision shall be included in the competitive transition assessment pursuant to section 10 of this act but shall not be included in any funding with the proceeds of rate reduction bonds.

(g) The department shall calculate the stranded cost for each generation asset described in subdivision (7) of subsection (b) of section 6 of this act to be the difference between its book value and the market value of a prudently and efficiently managed nonnuclear generating facility of comparable size, age and technical characteristics in a competitive market. In determining the market value of any such asset, the department may consider (A) the dollars per kilowatt received from the sale of similar generation facilities, if any, (B) income capitalization based on the operating history and capacity of the facility, the market rates for power, and any existing long-term contracts for the sale of power or capacity, (C) independent market appraisals, or (D) other relevant factors. The department shall calculate the stranded costs for generation assets described in subdivision (7) of subsection (b) of section 6 of this act at least every three years. The costs described in this subsection shall be included in the competitive transition assessment pursuant to section 10 of this act but shall not be included in any funding with the proceeds of rate reduction bonds.

(h) (1) On or before January 1, 2004, an electric company may submit to the department an application for recovery of that portion of nuclear generation assets which is determined by the department in accordance with this subsection, which application shall include a request for recovery through the competitive transition assessment. The department shall hold a hearing for each electric company and issue a finding of the calculation of such nuclear generation assets in accordance with the provisions of this subsection. Any hearing shall be conducted as a contested case proceeding in accordance with chapter 54 of the general statutes. The costs described in this subsection shall be included in the competitive transition assessment pursuant to section 10 of this act but shall not be included in any funding with proceeds of rate reduction bonds.

(2) The department shall calculate the stranded costs for each nuclear generation asset that was divested at a price less than book value as described in subdivision (5) of subsection (c) of section 7 of this act as the difference between the book value of this asset and the final bid price of the asset. The department's calculation of stranded costs pursuant to this subdivision shall be final and shall not be subject to further adjustment by the department.

(3) The department shall calculate the stranded costs for each nondivested nuclear generation asset described in subdivision (1) of subsection (d) of section 7 of this act to be the difference between its book value and the market value of a prudently and efficiently managed nuclear generating facility of comparable size,

age and technical characteristics in a competitive market. In determining the market value of any such asset, the department may consider (A) the dollars per kilowatt received from the sale of similar generation facilities, if any, (B) income capitalization based on the operating history and capacity of the facility, the market rates for power, and any existing long-term contracts for the sale of power or capacity, (C) the provision for decommissioning and related costs to be paid from the systems benefits charge provided in section 18 of this act, (D) independent market appraisals, or (E) other relevant factors. At least every four years after the date when the department issues an initial finding of the calculation of the stranded costs for such nondivested nuclear generation assets as provided in this subdivision until the earlier of (i) the expiration of the collection of the competitive transition assessment, or (ii) the date when such an asset is divested, the department shall hold a hearing and issue a finding to adjust the stranded cost calculation of each such asset and to adjust the competitive transition assessment accordingly to true up the stranded cost recovery for the difference between the market value projected in such initial finding and the actual market value of a prudently and efficiently managed nuclear generating facility of comparable size, age and technical characteristics during the time period between the initial finding and the adjustment date, provided the second and subsequent adjustments shall reflect the difference during the time period since the most recent true-up. The department shall calculate the value of each such asset in accordance with the methodology provided in this subdivision. Any hearing shall be conducted as a contested case in accordance with chapter 54 of the general statutes.

(4) After the department has calculated the total value of stranded costs for all nuclear generation assets, the department shall (A) reduce such amount by the net proceeds that are above book value realized by an electric company from the sale of nonnuclear generation assets pursuant to subdivision (6) of subsection (b) of section 6 of this act, (B) reduce such valuation to reflect the total net proceeds that are above book value realized by an electric distribution company from the sale of any nuclear generation assets pursuant to subsection (c) of section 7 of this act, and (C) reduce such amount by the net proceeds that are above book value received by an electric company for the sale or lease of any real property after July 1, 1998.

(i) If any net proceeds described in subdivision (4) of subsection (h) of this section remain after the reduction in the calculation of nuclear generation assets pursuant to said subdivision (4) or are realized after said reduction is calculated, the additional amount of such net proceeds shall be netted against long-term contract costs described in subdivision (2) of subsection (f) of this section, and the competitive transition assessment shall be adjusted accordingly.

(j) (1) No electric company shall be eligible to claim any stranded costs for a nuclear generation asset or for any generation-related

regulatory asset related to such generation asset, if the generation asset is not operating as a result of an order issued by the United States Nuclear Regulatory Commission that applies specifically to such asset. Any such asset that is not eligible to be claimed as a stranded cost shall be eligible after it is permitted to and has resumed operation and is selling power.

(2) Any asset with a Nuclear Regulatory Commission capacity rating of 641 megawatts that does not resume operation after such order is no longer in effect shall not be eligible to be claimed as a stranded cost. An electric company or electric distribution company may apply to the department for retirement of such unit for economic reasons pursuant to section 16-19 of the general statutes. The department shall include any recovery ordered in such proceeding in the competitive transition assessment but shall not include any costs relating to the decommissioning of any such facility or any costs which the department found during a proceeding initiated before July 1, 1998, were incurred because of imprudent management. Notwithstanding the provisions of this subdivision, nothing herein shall modify or supersede any statute or regulation in effect on the effective date of this act pertaining to applications for retirement of nuclear generating facilities.

(k) If an electric company elected to transfer any of its nuclear generation assets and related operations and functions to a separate corporate affiliate or to a division that is functionally separate from the electric distribution company pursuant to section 7 of this act and subsequently sold any such assets in an arm's length transaction to an unrelated entity prior to January 1, 2012, the net proceeds realized from such sale that exceed book value for such assets shall be netted against the total amount of stranded costs, and the competitive transition assessment shall be adjusted accordingly and, if appropriate, other reimbursement shall be ordered by the department.

Sec. 9. (NEW) An electric company or electric distribution company may submit to the department an application for a financing order with respect to the following stranded costs: (1) The cost of mitigation efforts, as calculated pursuant to subsection (c) of section 8 of this act; (2) generation-related regulatory assets, as calculated pursuant to subsection (e) of section 8 of this act; and (3) those long-term contract costs that have been reduced to a fixed present value through the buyout, buydown, or renegotiation of such contracts, as calculated pursuant to subsection (f) of section 8 of this act. No stranded costs shall be funded with the proceeds of rate reduction bonds unless (A) the electric company or electric distribution company proves to the satisfaction of the department that the savings attributable to such funding will be directly passed on to customers through lower rates, and (B) the department determines such funding will not result in giving the electric distribution company or any generation entities or affiliates an unfair competitive advantage. The department shall hold a hearing for each such electric distribution company to determine the

portion of stranded costs that may be included in such funding and thereby constitute transition property. Any hearing shall be conducted as a contested case in accordance with chapter 54 of the general statutes.

Sec. 10. (NEW) (a) The Department of Public Utility Control shall assess and beginning January 1, 2000, impose the competitive transition assessment which shall be imposed on all customers of each electric distribution company to provide funds for the purposes described in subsection (d) of this section. The department shall hold a hearing that shall be conducted as a contested case in accordance with chapter 54 of the general statutes to determine the amount of the competitive transition assessment.

(b) The department shall consider the effect on all customer rates and other factors relevant to reducing rates in determining the amount of the competitive transition assessment and the manner in which and the period over which it shall be imposed in any decision of the department to set or adjust the competitive transition assessment.

(c) The competitive transition assessment shall be determined by the department in a general and equitable manner and shall be imposed on all customers at a rate that is applied equally to all customers of the same class in accordance with methods of allocation in effect on July 1, 1998, provided the competitive transition assessment shall not be imposed on customers receiving services under a special contract which is in effect on the effective date of this act until such special contract expires. The competitive transition assessment shall be imposed beginning on January 1, 2000, on all customers receiving services under a special contract which is entered into or renewed after the effective date of this act. The competitive transition assessment shall have a generally applicable manner of determination that may be measured on the basis of percentages of total costs of retail sales of electric generation services. The competitive transition assessment shall be payable by customers on an equal basis on the same payment terms and shall be eligible or subject to prepayment on an equal basis. Any exemption of the competitive transition assessment by customers under a special contract shall not result in an increase in rates to any customer.

(d) The department shall establish, fix and revise the competitive transition assessment in an amount sufficient at all times to: (1) Pay the principal of and the interest on rate reduction bonds as the same shall become due and payable; (2) to pay all reasonable and necessary expenses relating to the financing; and (3) to pay an electric company stranded costs that are not funded with the proceeds of rate reduction bonds and interim capital costs determined under subdivision (1) of subsection (e) of section 7 of this act.

(e) The competitive transition assessment shall be charged to customers until the rate reduction bonds are paid in full by the financing entity and stranded costs not funded with the proceeds of rate reduction bonds are fully recovered by the electric company or electric distribution company. Amounts collected from a

customer shall be allocated on a pro rata basis among (1) rates and charges described in subparagraph (A) of subdivision (2) of subsection (a) of section 8 of this act, (2) rates and charges described in subparagraph (B) of subdivision (2) of subsection (a) of section 8 of this act, and (3) other charges. To the extent that the department, when issuing a financing order, determines that special treatment on customers' bills is necessary or desirable to distinguish rates and charges described in subparagraph (A) of subdivision (2) of subsection (a) of section 8 of this act from rates and charges described in subparagraph (B) of subdivision (2) of subsection (a) of section 8 of this act in order to facilitate the successful issuance and sale of rate reduction bonds, it may so provide as part of such financing order.

Sec. 11. (NEW) (a) The competitive transition assessment described in subparagraph (A) of subdivision (2) of subsection (a) of section 8 of this act shall constitute transition property when, and to the extent that, a financing order authorizing such portion of the competitive transition assessment has become effective in accordance with sections 8 to 14, inclusive, of this act, and the transition property shall thereafter continuously exist as property for all purposes with all of the rights and privileges of sections 8 to 14, inclusive, of this act for the period and to the extent provided in the financing order, but in any event until the rate reduction bonds are paid in full, including all principal, interest, premium, costs, and arrearages on such bonds. Prior to its sale or other transfer by the electric company or electric distribution company pursuant to sections 8 to 14, inclusive, of this act, transition property shall be a vested contract right of the electric company or electric distribution company, notwithstanding any contrary treatment thereof for accounting, tax, or other purpose.

(b) Any surplus competitive transition assessment described in subparagraph (A) of subdivision (2) of subsection (a) of section 8 of this act in excess of the amounts necessary to pay principal, premium, if any, interest and expenses of the issuance of the rate reduction bonds shall be remitted to the financing entity and may be used to benefit customers if this would not result in a recharacterization of the tax, accounting, and other intended characteristics of the financing, including, but not limited to, the following:

(1) Avoiding the recognition of debt on the electric company's or the electric distribution company's balance sheet for financial accounting and regulatory purposes;

(2) Treating the rate reduction bonds as debt of the electric company or electric distribution company or its affiliates for federal income tax purposes;

(3) Treating the transfer of the transition property by the electric company or electric distribution company as a true sale for bankruptcy purposes; or

(4) Avoiding any adverse impact of the financing on the credit rating of the rate reduction bonds or the electric company or

electric distribution company.

(c) Electric companies and electric distribution companies may sell and assign all or portions of their interest in transition property to an affiliate. Electric companies and electric distribution companies or their affiliates may sell or assign their interests to one or more financing entities that make that property the basis for issuance of rate reduction bonds to the extent approved in the pertinent financing orders. Electric companies, electric distribution companies, their affiliates, or financing entities may pledge transition property as collateral, directly or indirectly, for rate reduction bonds to the extent approved in the pertinent financing orders providing for a security interest in the transition property, in the manner as set forth in section 14 of this act. In addition, transition property may be sold or assigned by (1) the financing entity or a trustee for the holders of rate reduction bonds in connection with the exercise of remedies upon a default, or (2) any person acquiring the transition property after a sale or assignment pursuant to this subsection.

(d) To the extent that any interest in transition property is so sold or assigned, or is so pledged as collateral, the department shall authorize the electric company or electric distribution company to contract with the financing entity that it will continue to operate its system to provide service to its customers, will collect amounts in respect of the competitive transition assessment for the benefit and account of the financing entity, and will account for and remit these amounts to or for the account of the financing entity. Contracting with the financing entity in accordance with that authorization shall not impair or negate the characterization of the sale, assignment, or pledge as an absolute transfer, a true sale, or security interest, as applicable.

Sec. 12. (NEW) (a) The department may issue financing orders in accordance with sections 8 to 14, inclusive, of this act, to facilitate the provision, recovery, financing, or refinancing of stranded costs. A financing order may be adopted only upon the application of an electric company or electric distribution company, pursuant to section 9 of this act and shall become effective in accordance with its terms only after the electric company or electric distribution company files with the department the electric company's or the electric distribution company's written consent to all terms and conditions of the financing order.

(b) (1) Notwithstanding any general or special law, rule, or regulation to the contrary, except as otherwise provided in this subsection with respect to transition property that has been made the basis for the issuance of rate reduction bonds, the financing orders and the competitive transition assessment shall be irrevocable and the department shall not have authority either by rescinding, altering, or amending the financing order or otherwise, to revalue or revise for ratemaking purposes the stranded costs, or the costs of providing, recovering, financing, or refinancing the stranded costs, determine that the competitive transition assessment is unjust or

unreasonable, or in any way reduce or impair the value of transition property either directly or indirectly by taking the competitive transition assessment into account when setting other rates for the electric company or electric distribution company; nor shall the amount of revenues arising with respect thereto be subject to reduction, impairment, postponement, or termination. (2) Notwithstanding any other provision of this section, the department shall approve the adjustments to the competitive transition assessment as may be necessary to ensure timely recovery of all stranded costs that are the subject of the pertinent financing order, and the costs of capital associated with the provision, recovery, financing, or refinancing thereof, including the costs of issuing, servicing, and retiring the rate reduction bonds contemplated by the financing order. (3) Notwithstanding any general or special law, rule, or regulation to the contrary, any requirement under sections 8 to 14, inclusive, of this act or a financing order that the department take action with respect to the subject matter of a financing order shall be binding upon the department, as it may be constituted from time to time, and any successor agency exercising functions similar to the department and the department shall have no authority to rescind, alter, or amend that requirement in a financing order. Section 16-43 of the general statutes shall not apply to any sale, assignment, or other transfer of or grant of a security interest in any transition property or the issuance of rate reduction bonds under sections 8 to 14, inclusive, of this act.

(c) The department shall provide in any financing order for a procedure for the timely approval by the department of periodic adjustments to the competitive transition assessment that is the subject of the pertinent financing order, as required by subdivision (2) of subsection (b) of this section. The procedure shall require the department to determine whether the adjustments are required on each anniversary of the issuance of the financing order, and at the additional intervals as may be provided for in the financing order, and for the adjustments, if required, to be approved within 90 days of each anniversary of the issuance of the financing order, or of each additional interval provided for in the financing order.

Sec. 13. (NEW) (a) A financing entity may issue rate reduction bonds upon approval by the department in the pertinent financing order. Rate reduction bonds shall be nonrecourse to the credit or any assets of the electric company or electric distribution company, other than the transition property as specified in the pertinent financing order.

(b) Except as otherwise provided in this subsection, the state of Connecticut does hereby pledge and agree with the owners of transition property and holders of rate reduction bonds that the state shall neither limit nor alter the competitive transition assessment, transition property, financing orders, and all rights thereunder until the obligations, together with the interest thereon, are fully met and discharged, provided nothing contained in this

subsection shall preclude the limitation or alteration if and when adequate provision shall be made by law for the protection of the owners and holders. The finance authority as agent for the state is authorized to include this pledge and undertaking for the state in these obligations.

(c) (1) Financing orders and rate reduction bonds shall not be deemed to constitute a debt or liability of the state or of any political subdivision thereof, other than the financing entity, shall not constitute a pledge of the full faith and credit of the state or any of its political subdivisions, other than the financing entity, but shall be payable solely from the funds provided under sections 8 to 14, inclusive, of this act, and shall not constitute an indebtedness of the state within the meaning of any constitutional or statutory debt limitation or restriction and, accordingly, shall not be subject to any statutory limitation on the indebtedness of the state and shall not be included in computing the aggregate indebtedness of the state in respect to and to the extent of any such limitation. This subsection shall in no way preclude bond guarantees or enhancements pursuant to sections 8 to 14, inclusive, of this act. All rate reduction bonds shall contain on the face thereof a statement to the following effect: "Neither the full faith and credit nor the taxing power of the State of Connecticut is pledged to the payment of the principal of, or interest on, this bond."

(2) The issuance of rate reduction bonds under sections 8 to 14, inclusive, of this act shall not directly, indirectly, or contingently obligate the state or any political subdivision thereof to levy or to pledge any form of taxation therefor or to make any appropriation for their payment.

(3) The exercise of the powers granted by sections 8 to 14, inclusive, of this act shall be in all respects for the benefit of the people of this state, for the increase of their commerce, welfare, and prosperity, and as the exercise of such powers shall constitute the performance of an essential public function, neither the finance authority, any electric company or electric distribution company, any affiliate of any electric company or electric distribution company, any financing entity, or any collection or other agent of any of the foregoing shall be required to pay any taxes or assessments upon or in respect of any revenues or property received, acquired, transferred, or used by the finance authority, any electric company or electric distribution company, any affiliate of any electric company or electric distribution company, any financing entity, or any collection or other agent of any of the foregoing under the provisions of sections 8 to 14, inclusive, of this act or upon or in respect of the income therefrom, and any rate reduction bonds shall be treated as issued by or on behalf of a public instrumentality created under the laws of the state for purposes of chapter 229 of the general statutes.

(4) The proceeds of any rate reduction bonds shall be used for the purposes approved by the department in the financing order, including but not limited to, the costs of refinancing or retiring of debt of the electric company or electric distribution company, and associated

federal and state tax liabilities; provided such proceeds shall not be applied to purchase generation assets or to purchase or redeem stock or to pay dividends to shareholders or operating expenses other than taxes resulting from the receipt of such proceeds.

(5) Rate reduction bonds are made and declared (A) securities in which all public officers and public bodies of the state and its political subdivisions, all insurance companies, state banks and trust companies, national banking associations, savings banks, savings and loan associations, investment companies, executors, administrators, trustees and other fiduciaries may properly and legally invest funds, including capital in their control or belonging to them, and (B) securities which may properly and legally be deposited with and received by any state or municipal officer or any agency or political subdivision of the state for any purpose for which the deposit of bonds or obligations of the state is now or may be authorized.

(6) Rate reduction bonds shall mature at such time or times approved by the department in the financing order; provided that such maturity shall not be later than December 31, 2011.

(7) Rate reduction bonds issued and at any time outstanding may, if and to the extent permitted under the indenture or other agreement pursuant to which they are issued, be refunded by other rate reduction bonds.

(d) Any rate reduction bonds issued or sold pursuant to or in reliance on and in accordance with any financing order issued by the department pursuant to sections 8 to 14, inclusive, of this act shall be valid and binding in accordance with their terms notwithstanding such financing order is later vacated, modified, or otherwise held to be wholly or partly invalid, unless operation of such financing order has been enjoined, stayed, or suspended by the department or a court of competent jurisdiction prior to such issuance.

Sec. 14. (NEW) (a) A security interest in transition property is valid, is enforceable against the pledgor and third parties, subject to the rights of any third parties holding security interests in the transition property perfected in the manner described in this section, and attaches when all of the following have taken place:

(1) The department has issued the financing order authorizing the competitive transition assessment included in the transition property.

(2) Value has been given by the pledgees of the transition property.

(3) The pledgor has signed a security agreement covering the transition property.

(b) A valid and enforceable security interest in transition property is perfected when it has attached and when a financing statement has been filed in accordance with part 4 of article 9 of title 42a of the general statutes naming the pledgor of the transition property as "debtor" and identifying the transition property. Any description of the transition property shall be sufficient if it refers to the financing order creating the transition property. A copy of the financing statement shall be filed with the department by the electric company or electric distribution company that is the pledgor or

transferor of the transition property, and the department may require the electric company or electric distribution company to make other filings with respect to the security interest in accordance with procedures it may establish, provided that the filings shall not affect the perfection of the security interest.

(c) A perfected security interest in transition property is a continuously perfected security interest in all revenues and proceeds arising with respect thereto, whether or not the revenues or proceeds have accrued. Conflicting security interests shall rank according to priority in time of perfection. Transition property shall constitute property for all purposes, including for contracts securing rate reduction bonds, whether or not the revenues and proceeds arising with respect thereto have accrued.

(d) Subject to the terms of the security agreement covering the transition property and the rights of any third parties holding security interests in the transition property perfected in the manner described in this section, the validity and relative priority of a security interest created under this section are not defeated or adversely affected by the commingling of revenues arising with respect to the transition property with other funds of the electric company or electric distribution company that is the pledgor or transferor of the transition property, or by any security interest in a deposit account of that electric company or electric distribution company into which the revenues are deposited or in such revenues themselves perfected under article 9 of title 42a of the general statutes or otherwise. Subject to the terms of the security agreement, the pledgees of the transition property shall have a perfected security interest in all cash and deposit accounts of the electric company or electric distribution company in which revenues arising with respect to the transition property have been commingled with other funds, but the perfected security interest shall be limited to an amount not greater than the amount of the revenues with respect to the transition property received by the electric company or electric distribution company within twelve months before (1) any default under the security agreement or (2) the institution of insolvency proceedings by or against the electric company or electric distribution company, less payments from the revenues to the pledgees during that twelve-month period.

(e) If an event of default occurs under the security agreement covering the transition property, the pledgees of the transition property, subject to the terms of the security agreement, shall have all rights and remedies of a secured party upon default under article 9 of title 42a of the general statutes, and shall be entitled to foreclose or otherwise enforce their security interest in the transition property, subject to the rights of any third parties holding prior security interests in the transition property perfected in the manner provided in this section. In addition, the department may require, in the financing order creating the transition property, that, in the event of default by the electric

company or electric distribution company in payment of revenues arising with respect to the transition property, the department and any successor thereto, upon the application by the pledgees or transferees, including transferees under this section, of the transition property, and without limiting any other remedies available to the pledgees or transferees by reason of the default, shall order the sequestration and payment to the pledgees or transferees of revenues arising with respect to the transition property. Any order shall remain in full force and effect notwithstanding any bankruptcy, reorganization, or other insolvency proceedings with respect to the debtor, pledgor, or transferor of the transition property. Any surplus in excess of amounts necessary to pay principal, premium, if any, interest, costs, and arrearages on the rate reduction bonds, and other costs arising under the security agreement, shall be remitted to the debtor or to the pledgor or transferor.

(f) Sections 42a-9-204 and 42a-9-205 of the general statutes shall apply to a pledge of transition property by an electric company or electric distribution company, an affiliate of an electric company or electric distribution company, or a financing entity.

(g) This section sets forth the terms by which a consensual security interest can be created and perfected in the transition property. Unless otherwise ordered by the department with respect to any series of rate reduction bonds on or prior to the issuance of the series, there shall exist a statutory lien as provided in this subsection. Upon the effective date of the financing order, there shall exist a first priority lien on all transition property then existing or thereafter arising pursuant to the terms of the financing order. This lien shall arise by operation of this section automatically without any action on the part of the electric company or electric distribution company, any affiliate thereof, the financing entity, or any other person. This lien shall secure all obligations, then existing or subsequently arising, to the holders of the rate reduction bonds issued pursuant to the financing order, the trustee or representative for the holders, and any other entity specified in the financing order. The persons for whose benefit this lien is established shall, upon the occurrence of any defaults specified in the financing order, have all rights and remedies of a secured party upon default under article 9 of title 42a of the general statutes, and shall be entitled to foreclose or otherwise enforce this statutory lien in the transition property. This lien shall attach to the transition property regardless of who shall own, or shall subsequently be determined to own, the transition property including any electric company or electric distribution company, any affiliate thereof, the financing entity, or any other person. This lien shall be valid, perfected, and enforceable against the owner of the transition property and all third parties upon the effectiveness of the financing order without any further public notice; provided, however, that any person may, but shall not be required to, file a financing statement in accordance with subsection (b) of this section.

Financing statements so filed may be "protective filings" and shall not be evidence of the ownership of the transition property. A perfected statutory lien in transition property is a continuously perfected lien in all revenues and proceeds arising with respect thereto, whether or not the revenues or proceeds have accrued. Conflicting liens shall rank according to priority in time of perfection. Transition property shall constitute property for all purposes, including for contracts securing rate reduction bonds, whether or not the revenues and proceeds arising with respect thereto have accrued. In addition, the department may require, in the financing order creating the transition property, that, in the event of default by the electric company or electric distribution company in payment of revenues arising with respect to transition property, the department and any successor thereto, upon the application by the beneficiaries of the statutory lien, and without limiting any other remedies available to the beneficiaries by reason of the default, shall order the sequestration and payment to the beneficiaries of revenues arising with respect to the transition property. Any order shall remain in full force and effect notwithstanding any bankruptcy, reorganization, or other insolvency proceedings with respect to the debtor, pledgor, or transferor of the transition property. Any surplus in excess of amounts necessary to pay principal, premium, if any, interest, costs, and arrearages on the rate reduction bonds, and other costs arising in connection with the documents governing the rate reduction bonds, shall be remitted to the debtor or to the pledgor or transferor.

(h) A transfer of transition property by an electric company or electric distribution company to an affiliate or to a financing entity, or by an affiliate of an electric company or electric distribution company or a financing entity to another financing entity, which the parties have in the governing documentation expressly stated to be a sale or other absolute transfer, in a transaction approved in a financing order, shall be treated as an absolute transfer of all of the transferor's right, title, and interest, as in a true sale, and not as a pledge or other financing, of the transition property, in each case notwithstanding any contrary treatment of such transfer for accounting, tax, or other purposes. Granting to holders of rate reduction bonds a preferred right to revenues of the electric company or electric distribution company, or the provision by the company of other credit enhancement with respect to rate reduction bonds, shall not impair or negate the characterization of any transfer as a true sale, in each case notwithstanding any contrary treatment of such transfer for accounting, tax or other purposes.

(i) A transfer of transition property shall be deemed perfected as against third persons when both of the following have taken place:

(1) The department has issued the financing order authorizing the competitive transition assessment included in the transition property.

(2) An assignment of the transition property in writing has been executed and delivered to the transferee.

(j) As between bona fide assignees of the same right for value without notice, the assignee first filing a financing statement in accordance with part 4 of article 9 of title 42a of the general statutes naming the assignor of the transition property as debtor and identifying the transition property has priority. Any description of the transition property shall be sufficient if it refers to the financing order creating the transition property. A copy of the financing statement shall be filed by the assignee with the department, and the department may require the assignor or the assignee to make other filings with respect to the transfer in accordance with procedures it may establish, but these filings shall not affect the perfection of the transfer.

(k) Any successor to the electric company or electric distribution company, whether pursuant to any bankruptcy, reorganization, or other insolvency proceeding, or pursuant to any merger, sale, or transfer, by operation of law, or otherwise, shall perform and satisfy all obligations of the electric company or electric distribution company pursuant to sections 8 to 14, inclusive, of this act in the same manner and to the same extent as the electric company or electric distribution company, including, but not limited to, collecting and paying to the holders of rate reduction bonds or their representatives or the applicable financing entity revenues arising with respect to the transition property sold to the applicable financing entity or pledged to secure rate reduction bonds.

(l) The authority of the department to issue financing orders pursuant to sections 8 to 14, inclusive, of this act shall expire on December 31, 2008. The expiration of the authority shall have no effect upon financing orders adopted by the department pursuant to sections 8 to 14, inclusive, of this act or any transition property arising therefrom, or upon the charges authorized to be levied thereunder, or the rights, interests, and obligations of the electric company or electric distribution company or a financing entity or holders of rate reduction bonds pursuant to the financing order, or the authority of the department to monitor, supervise, or take further action with respect to the financing order in accordance with the terms of sections 8 to 14, inclusive, of this act and of the financing order.

Sec. 15. (NEW) (a) Not later than January 1, 1999, the Department of Public Utility Control shall, by regulations adopted pursuant to chapter 54 of the general statutes, establish a code of conduct which shall apply to electric distribution companies, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, their generation entities or affiliates and electric suppliers. The code of conduct shall become effective upon the completion of unbundling but not later than July 1, 1999.

(b) The code of conduct shall include: (1) Measures to ensure information, revenues, expenses, costs, assets, liabilities or other resources derived from or associated with providing electric transmission or distribution services by an electric distribution company are not used to subsidize any generation entity or affiliate; (2) safeguards to assure fair dealing

between electric distribution companies and all other electric suppliers, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, including any generation entities or affiliates of the electric company; (3) procedures for ensuring electric suppliers nondiscriminatory access to the transmission and distribution facilities of the electric distribution company; and (4) measures to ensure that an electric distribution company provides transmission and distribution service, applies tariffs to generation entities or affiliates and to unaffiliated electric suppliers in a nondiscriminatory manner and enforces such tariff provisions. The code of conduct shall, at a minimum, (A) prohibit any employee of a generation entity or affiliate from conducting distribution system operations or having access to system control centers or similar facilities used by distribution operations in any way that differs from the access available to employees of unaffiliated electric suppliers, (B) prohibit an employee of a generation entity or affiliate from having preferential access to any information concerning the electric distribution company's customers or distribution system that is not available on an equivalent basis to unaffiliated electric suppliers, (C) prohibit an employee of an electric distribution company from disclosing to an employee of a generation entity or affiliate information concerning its customers, the distribution system or other market information through nonpublic communications that is not available on an equivalent basis to all unaffiliated electric suppliers, (D) require employees of electric distribution companies to apply all tariff provisions relating to the sale or purchase of any retail access distribution service in a fair, impartial and nondiscriminatory manner, and (E) prohibit joint marketing activities between an electric distribution company and its generation entity or affiliate. The code of conduct shall not prohibit communications necessary for standard offer service pursuant to section 19 of this act or when necessary to restore service or to prevent or respond to emergency conditions. Each electric distribution company shall annually submit to the department such information as the department may require in order to evaluate the actual effectiveness of the code of conduct in fulfilling the purposes of this section. The department shall consult with the independent system operator on a regular basis regarding issues raised under this section. The department may, upon its own motion or upon receipt of a complaint from any person alleging a violation of the code of conduct, investigate an electric distribution company's compliance with the code of conduct, and any such investigation shall be considered a contested case as defined in section 4-166 of the general statutes. The department may enter into appropriate orders to enforce the code, including cease and desist orders, and it may levy civil penalties against these entities subject to the code after notice and hearing pursuant to section 16-41 of the general statutes. Any person aggrieved by a violation of the code of conduct shall also have a private right of action for

damages against the electric distribution company or generation entity or affiliate, as the case may be.

Sec. 16. (NEW) (a) The Department of Public Utility Control shall continue to regulate electric distribution companies, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, in accordance with the provisions of section 16-19 and subsection (a) of section 16-19e of the general statutes and in accordance with existing rate orders except for assets for which funds have been received by the company pursuant to sections 10 to 14, inclusive, of this act. Each electric distribution company shall maintain the integrity of the distribution system in conformity with the National Electric Safety Code and such other standards found applicable by the department that are practiced by the electric distribution industry, in a manner sufficient to provide safe and reliable service, regardless of whether or not its generation entity or affiliate is the electric supplier, to all customers connected to the system consistent with title 16 of the general statutes and regulations adopted thereunder. Each electric distribution company shall provide nondiscriminatory access of its distribution facilities to every electric supplier, as defined in said section 16-1, provided no electric distribution company shall provide access of its distribution facilities to an entity that is not licensed as an electric supplier pursuant to section 16-245 of the general statutes, as amended by this act, except as provided under federal law.

(b) Each electric distribution company shall have the obligation to connect all customers to the company's distribution system, subject to rates, terms and conditions as may be approved by the Department of Public Utility Control in accordance with section 16-19 of the general statutes and the principles in subsection (a) of section 16-19e of the general statutes.

(c) Each electric distribution company shall continue to provide metering, billing and collection services. The department shall determine billing and metering protocols and any appropriate cost-sharing allocations among electric distribution companies and electric suppliers.

(d) The department shall oversee quality and reliability of service for each electric distribution company and ensure that quality and reliability are the same as or better than levels that existed on July 1, 1998.

Sec. 17. (NEW) (a) Not later than December 1, 1998, the Department of Public Utility Control shall develop a comprehensive public education outreach program to educate customers about the implementation of retail competition among electric suppliers, as defined in section 16-1 of the general statutes, as amended by section 1 of this act. The goals of the program shall be to maximize public information, minimize customer confusion and equip all customers to participate in a restructured generation market. The program shall include, but not be limited to: (1) The dissemination of information through mass media, interactive approaches and written materials with the goal of reaching every electric customer; (2)

the conduct of public forums in different geographical areas of the state to foster public input and provide opportunities for an exchange of questions and answers; (3) involvement of community-based organizations in developing messages and in devising and implementing education strategies; (4) targeted efforts to reach rural, low income, elderly, foreign language, disabled, ethnic minority and other traditionally underserved populations; and (5) periodic evaluations of the effectiveness of educational efforts. The department shall assign one individual within the department to coordinate the outreach program and oversee the education process. The department shall begin to implement the outreach program not later than January 1, 1999.

(b) There shall be established a Consumer Education Advisory Council which shall advise the outreach program coordinator on the development and implementation of the outreach program until the termination of the standard offer under section 20 of this act. Membership of the advisory council shall be established by the Consumer Counsel not later than December 1, 1998, and shall include, but not be limited to, representatives of the Department of Public Utility Control, the Office of Consumer Counsel, the Office of the Attorney General, the Office of Policy and Management, the Department of Environmental Protection, community and business organizations, consumer groups, including, but not limited to, a group that represents hardship customers, as defined in section 16-262c of the general statutes, as amended by this act, electric distribution companies and electric suppliers. The advisory council shall determine the information to be distributed to customers as part of the education effort such as customers' rights and obligations in a restructured environment, how customers can exercise their right to participate in retail access, the types of electric suppliers expected to be licensed including the possibility of load aggregation, electric generation services options that will be available, the environmental characteristics of different types of generation facilities and other information determined by the advisory council to be necessary for customers. The advisory council shall advise the outreach program coordinator on the methods of distributing information in accordance with subsection (a) of this section and the timing of such distribution. The advisory council shall meet on a regular basis and report to the outreach program coordinator as it deems appropriate until termination of the advisory council's role upon the termination of the standard offer under section 20 of this act.

(c) Not later than December 1, 1998, the Department of Public Utility Control shall submit a report to the joint standing committee of the General Assembly having cognizance of matters relating to energy, outlining the scope of the education outreach program developed by the department and identifying the individual acting as outreach program coordinator and the membership of the advisory council.

(d) The department may retain a consultant in accordance with section 16-18a of the general statutes, as amended by this act, to assist in

developing and implementing the public education outreach program, provided the authorization to retain such consultant shall expire December 31, 2000. The reasonable and proper expenses for retaining the consultant and implementing the outreach program shall be reimbursed through the systems benefits charge as provided in subsection (b) of said section 16-18a of the general statutes, as amended by this act.

(e) The advisory council shall, in consultation with the Connecticut Academy of Science and Engineering and the New England Conference of Public Utility Commissioners, analyze the environmental costs and benefits of the following categories of energy sources: (1) Class I renewable energy sources by type; (2) Class II renewable energy sources by type; (3) facilities using coal, natural gas, oil or other petroleum products as fuel which facilities are subject to the New Source Performance Standards in the federal Clean Air Act for such facilities; (4) facilities using coal, natural gas, oil or other petroleum products as fuel which facilities are not subject to the New Source Performance Standards; (5) nuclear power generating facilities; and (6) hydropower that does not meet the criteria for a Class II renewable energy source. The advisory council shall establish uniform standards for the disclosure of information to allow customers to easily compare rates of air pollutant emissions and the resource mix of various energy sources of electric suppliers.

Sec. 18. (NEW) (a) The Department of Public Utility Control shall establish and each electric distribution company shall collect a systems benefits charge to be imposed against all end use customers of each electric distribution company beginning January 1, 2000. The department shall hold a hearing that shall be conducted as a contested case in accordance with chapter 54 of the general statutes to establish the amount of the systems benefits charge. The department may revise the systems benefits charge or any element of said charge as the need arises. The systems benefits charge shall be used to fund (1) the expenses of the public education outreach program developed under subsection (a) of section 17 of this act other than expenses for department staff, (2) the reasonable and proper expenses of the education outreach consultant pursuant to subsection (d) of section 17 of this act, (3) the cost of hardship protection measures under sections 16-262c and 16-262d of the general statutes, as amended by this act, and other hardship protections, including but not limited to, electric service bill payment programs, funding and technical support for energy assistance, fuel bank and weatherization programs and weatherization services, (4) the payment program to offset tax losses described in section 48 of this act, (5) any sums paid to a resource recovery authority pursuant to subsection (b) of section 16-243e, as amended by this act, (6) low income conservation programs approved by the Department of Public Utility Control, (7) displaced worker protection costs, (8) unfunded storage and disposal costs for spent nuclear fuel generated before January 1, 2000, approved by the

appropriate regulatory agencies, (9) postretirement safe shutdown and site protection costs that are incurred in preparation for decommissioning, and (10) decommissioning fund contributions. As used in this subsection, "displaced worker protection costs" means the reasonable costs incurred, prior to January 1, 2006, by an electric company or a generation entity or affiliate arising from the dislocation of any employee other than an officer, provided such dislocation is a result of restructuring of the electric generation market and such dislocation occurs on or after July 1, 1998; and provided further such costs result from either the execution of agreements reached through collective bargaining for union employees or from the company's or entity's or affiliate's programs and policies for nonunion employees. "Displaced worker protection costs" includes costs incurred or projected for severance, retraining, early retirement, outplacement and related expenses. "Displaced worker protection costs" does not include those costs included in determining a tax credit pursuant to section 47 of this act.

(b) The amount of the systems benefits charge shall be determined by the department in a general and equitable manner and shall be imposed on all end use customers of each electric distribution company at a rate that is applied equally to all customers of the same class in accordance with methods of allocation in effect on July 1, 1998, provided the system benefits charge shall not be imposed on customers receiving services under a special contract which is in effect on the effective date of this act until such special contracts expire. The system benefits charge shall be imposed beginning on January 1, 2000, on all customers receiving services under a special contract which are entered into or renewed after the effective date of this act. The systems benefits charge shall have a generally applicable manner of determination that may be measured on the basis of percentages of total costs of retail sales of generation services. The systems benefits charge shall be payable on an equal basis on the same payment terms and shall be eligible or subject to prepayment on an equal basis. Any exemption of the systems benefits charge by customers under a special contract shall not result in an increase in rates to any customer.

Sec. 19. (NEW) (a) As used in this section, "service area" means the geographic area in which a municipal electric utility is authorized to provide electric generation or distribution services to an end use customer pursuant to section 7-214 of the general statutes or special act.

(b) No municipal electric utility established under chapter 101 of the general statutes shall use the transmission or distribution system or facilities of an electric distribution company, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, for the purpose of providing electric generation services to an end use customer outside its service area, unless the municipal electric utility is authorized to do so by the Department of Public Utility Control, in which case it shall be considered a participating municipal electric

utility.

(c) As of the date that a municipal electric utility is authorized to be a participating municipal electric utility, the participating municipal electric utility may provide electric generation services to customers outside of its service area. Each participating municipal electric utility shall provide open and nondiscriminatory access of all distribution facilities it owns or operates to all electric suppliers, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, and shall allow customers within its service area to choose among electric suppliers for electric generation services in a manner comparable to all other end use customers of an electric distribution company.

(d) Each participating municipal electric utility that provides electric generation services shall be licensed by the department as an electric supplier in accordance with section 16-245 of the general statutes, as amended by this act. Notwithstanding the provisions of any municipal charter or special act to the contrary, no such license shall be granted unless, in addition to the requirements set forth in section 16-245 of the general statutes, as amended by this act, the participating municipal electric utility has (1) unbundled and separated all of its generation assets and all generation-related operations and functions by (A) sale or transfer to an unrelated entity, (B) transfer on a functional basis to one or more separate divisions of the participating municipal electric utility that are structurally separate from the participating municipal electric utility's transmission and distribution assets and all related operations and functions, or (C) such other substantially equivalent measure deemed appropriate by the department, after taking into account the size of the participating municipal electric utility and its existing structure and operations; and (2) the buyer or transferee of each such asset proves to the satisfaction of the department that the buyer or transferee will preserve labor agreements in effect at the time of the sale or transfer.

(e) Any municipal electric utility created on or after July 1, 1998, pursuant to section 7-214 of the general statutes or a special act and any municipal electric utility that expands its service area on or after July 1, 1998, shall collect from its new customers the competitive transition assessment imposed pursuant to section 10 of this act, the systems benefits charge imposed pursuant to section 18 of this act and the assessments charged under sections 33 and 44 of this act in such manner and at such rate as the department prescribes, provided the department shall order the collection of said assessment and said charge in a manner and rate equal to that to which the customers would have been subject had the municipal electric utility not been created or expanded.

(f) The department shall, within a period of time to ensure that any municipal electric utility that intends to become a participating municipal electric utility can do so in a timely manner, establish procedures by regulations adopted in accordance with chapter 54 of the general

statutes, to authorize a municipal electric utility to become a participating municipal electric utility. Such procedures shall include those measures the department determines are necessary for the participating municipal electric utilities to function in a competitive environment.

(g) No municipal electric energy cooperative shall be allowed to be an electric supplier or to request authorization to provide electric generation services to any end use customers.

Sec. 20. (NEW) (a) (1) On and after January 1, 2000, each electric distribution company, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, shall make available to all customers in its service area, the provision of electric generation and distribution services through a standard offer. Under the standard offer, a customer shall receive electric services at a rate established by the Department of Public Utility Control pursuant to subdivision (2) of this subsection. Each electric distribution company shall provide electric generation services in accordance with such option to any customer who affirmatively chooses to receive electric generation services pursuant to the standard offer or does not or is unable to arrange for or maintain electric generation services with an electric supplier, as defined in said section 16-1. The standard offer shall automatically terminate on January 1, 2004, unless extended by the General Assembly pursuant to section 74 of this act. While providing electric generation services under the standard offer, an electric distribution company may provide electric generation services through any of its generation entities or affiliates, provided such entities or affiliates are licensed pursuant to section 16-245 of the general statutes, as amended by this act.

(2) Not later than October 1, 1999, the Department of Public Utility Control shall establish the standard offer for each electric distribution company, effective January 1, 2000, which shall allocate the costs of such company among electric transmission and distribution services, electric generation services, the competitive transition assessment and the systems benefits charge. The department shall hold a hearing that shall be conducted as a contested case in accordance with chapter 54 of the general statutes to establish the standard offer. The standard offer shall provide that the total rate charged under the standard offer, including electric transmission and distribution services, the conservation and load management program charge described in section 33 of this act, the renewable energy investment charge described in section 44 of this act, electric generation services, the competitive transition assessment and the systems benefits charge shall be at least ten per cent less than the base rates, as defined in section 3 of this act, in effect on December 31, 1996. The standard offer shall be adjusted to the extent of any increase or decrease in state taxes attributable to sections 12-264 and 12-265 of the general statutes, as amended by this act, and any other increase or decrease in state or federal taxes resulting from a change in state or federal law and shall continue to be adjusted

during such period pursuant to section 16-19b of the general statutes. Notwithstanding the provisions of section 16-19b of the general statutes, the provisions of said section 16-19b shall apply to electric distribution companies. The standard offer may be adjusted, by an increase or decrease, to the extent approved by the department, in the event that (A) the revenue requirements of the company are affected as the result of changes in legislative enactments other than this act, administrative requirements or accounting standards occurring after July 1, 1998, provided such accounting standards are adopted by entities independent of the company that have authority to issue such standards, or (B) an electric distribution company incurs extraordinary and unanticipated expenses required for the provision of safe and reliable electric service to the extent necessary to provide such service. Savings attributable to a reduction in taxes shall not be shifted between customer classes.

(3) The price reduction provided in subdivision (2) of this subsection shall not apply to customers who, on or after July 1, 1998, are purchasing electric services from an electric company or electric distribution company, as the case may be, under a special contract or flexible rate tariff, and the company's filed standard offer tariffs shall reflect that such customers shall not receive the standard offer price reduction.

(b) On and after January 1, 2004, each electric distribution company shall serve any customer who does not or is unable to arrange for or maintain electric generation services with an electric supplier. The electric distribution company shall procure electric generation services for such customers through a competitive bidding process. An electric distribution company may procure electric generation services through any of its generation entities or affiliates, provided such entity or affiliate is the lowest qualified bidder and provided further any such entity or affiliate is licensed pursuant to section 16-245 of the general statutes, as amended by this act.

(c) On and after January 1, 2000, and until such time the regional independent system operator implements procedures for the provision of back-up power to the satisfaction of the Department of Public Utility Control, each electric distribution company shall provide electric generation services to any customer who has entered into a service contract with an electric supplier that fails to provide electric generation services for reasons other than the customer's failure to pay for such services. Between January 1, 2000, and December 31, 2003, an electric distribution company may procure electric generation services through a competitive bidding process or through any of its generation entities or affiliates. On and after January 1, 2004, such company shall procure electric generation services through a competitive bidding process. Such company may procure electric generation services through any of its generation entities or affiliates, provided such entity or affiliate is the lowest qualified bidder and provided further any such entity or affiliate is licensed pursuant to section 16-245 of the general statutes, as amended by this act.

(d) An electric distribution company is not required to be licensed pursuant to section 16-245 of the general statutes, as amended by this act, to provide standard offer electric generation services in accordance with subsection (a) of this section or back-up electric generation services prior to January 1, 2004, in accordance with subsection (c) of this section.

(e) The electric distribution company shall be entitled to recover reasonable costs incurred as a result of providing standard offer electric generation services pursuant to the provisions of subsection (a) of this section, the default service pursuant to subsection (b) of this section or the back-up electric generation services pursuant to subsection (c) of this section. The provisions of this section and section 3 of this act shall satisfy the requirements of section 16-19a of the general statutes until January 1, 2004.

(f) The Department of Public Utility Control shall establish, by regulations adopted pursuant to chapter 54 of the general statutes, standards or procedures for an electric distribution company's procuring power and competitive bidding for purposes of subsections (b) and (c) of this section in a commercially reasonable manner and procedures for when and how a customer is notified that his electric supplier has defaulted and of the need for the customer to choose a new electric supplier within a reasonable period of time.

Sec. 21. (NEW) (a) The Department of Public Utility Control shall, by regulations adopted pursuant to chapter 54 of the general statutes, develop a standard billing format that enables customers to compare pricing policies and charges among electric suppliers, as defined in section 16-1 of the general statutes, as amended by section 1 of this act. On and after January 1, 2000, each electric company or electric distribution company, as defined in said section 16-1, as the case may be, shall, in accordance with the billing format developed by the department, include at a minimum the following information in each customer's bill: (1) The total amount owed by the customer, which shall be itemized to show, (A) the electric generation services component and any additional charges imposed by the electric supplier, if applicable, (B) the electric transmission and distribution charge, including all applicable taxes and the systems benefits charge, as provided in section 18 of this act, (C) the competitive transition assessment, as provided in section 10 of this act, and (D) the conservation and renewable energy charge, consisting of the conservation and load management program charge, as provided in section 33 of this act and the renewable energy investment charge, as provided in section 44 of this act; (2) any unpaid amounts from previous bills which shall be listed separately from current charges; (3) except for customers subject to a demand charge, the rate and usage for the current month and each of the previous twelve months in the form of a bar graph or other visual form; (4) the payment due date; (5) the interest rate applicable to any unpaid amount; (6) the toll-free telephone number of the electric distribution company to report power losses; (7) the toll-free telephone number

of the Department of Public Utility Control for questions or complaints; (8) the toll-free telephone number and address of the electric supplier; and (9) a statement about the availability of information concerning electric suppliers pursuant to section 27 of this act.

(b) The regulations shall provide guidelines for determining the billing relationship between the electric distribution company and electric suppliers, including but not limited to, the allocation of partial bill payments and late payments between the electric distribution company and the electric supplier. The electric distribution company shall be entitled to recover from the electric supplier all reasonable transaction costs to provide such billing services as well as a reasonable rate of return, in accordance with the principles in subsection (a) of section 16-19e of the general statutes.

Sec. 22. Section 16-245 of the general statutes is repealed and the following is substituted in lieu thereof:

[No such corporation shall exercise the privileges conferred by section 16-244, within the territory where any corporation organized under any special act of the General Assembly is engaged in the business of selling and distributing electricity for light, heat and power, until it has given notice of such intention to the Department of Public Utility Control, with the names and location of the persons and corporations to whom it proposes to sell such electricity. The department shall, upon receipt of such notice, assign a hearing thereon, giving reasonable notice thereof to any such corporation which is engaged in the business of supplying electricity for light, heat and power within the territory where the corporation giving such notice proposes to sell the same, and to the municipality wherein such territory is located, and the corporation giving such notice shall exercise within such territory the privileges conferred by section 16-244 except in cases where said department then finds that the proposed action will materially impair the public service or subject the public to any material inconvenience by reason of the erection of additional lines, poles, equipment or fixtures, or by reason of opening the highways or public places for the purpose of laying its wires, cables or conduits, or impair the financial condition of the corporation engaged in business therein so that it will be unable to furnish adequate service to the customers at such time being supplied by it and pay a reasonable dividend upon its investment within the state.]

(a) NO PERSON SHALL EXECUTE ANY CONTRACT RELATING TO THE SALE OF ELECTRIC GENERATION SERVICES TO BE RENDERED AFTER JANUARY 1, 2000, TO END USE CUSTOMERS LOCATED IN THE STATE UNLESS SUCH PERSON HAS BEEN ISSUED A LICENSE BY THE DEPARTMENT IN ACCORDANCE WITH THE PROVISIONS OF THIS SECTION. NO LICENSE SHALL BE VALID BEFORE JULY 1, 1999.

(b) ON AND AFTER JANUARY 1, 2000, NO PERSON AND NO MUNICIPALITY SHALL SELL OR ATTEMPT TO SELL ELECTRIC GENERATION SERVICES TO END USE CUSTOMERS LOCATED IN THE STATE USING THE TRANSMISSION OR DISTRIBUTION FACILITIES OF AN ELECTRIC DISTRIBUTION COMPANY, AS DEFINED IN SECTION 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, AND NO

MUNICIPALITY OR THE CONNECTICUT RESOURCES RECOVERY AUTHORITY EXCEPT AS PROVIDED IN SECTION 23 OF THIS ACT AND NO PERSON SHALL AGGREGATE, BROKER OR MARKET THE SALE OF ELECTRIC GENERATION SERVICES TO END USE CUSTOMERS USING THE TRANSMISSION OR DISTRIBUTION FACILITIES OF AN ELECTRIC DISTRIBUTION COMPANY UNLESS THE PERSON HAS BEEN ISSUED A LICENSE BY THE DEPARTMENT OF PUBLIC UTILITY CONTROL IN ACCORDANCE WITH THE PROVISIONS OF THIS SECTION, PROVIDED AN ELECTRIC DISTRIBUTION COMPANY IS NOT REQUIRED TO BE LICENSED PURSUANT TO THIS SECTION TO PROVIDE ELECTRIC GENERATION SERVICES PURSUANT TO SUBSECTION (a) OR, PRIOR TO JANUARY 1, 2004, SUBSECTION (c) OF SECTION 20 OF THIS ACT. NOT LATER THAN JANUARY 1, 1999, THE DEPARTMENT SHALL, BY REGULATIONS ADOPTED PURSUANT TO CHAPTER 54, DEVELOP LICENSING PROCEDURES. THE LICENSING PROCESS SHALL BEGIN NOT LATER THAN APRIL 1, 1999.

(c) TO ENSURE THE SAFETY AND RELIABILITY OF THE SUPPLY OF ELECTRICITY IN THIS STATE, THE DEPARTMENT OF PUBLIC UTILITY CONTROL SHALL NOT ISSUE A LICENSE UNLESS THE PERSON CAN DEMONSTRATE TO THE SATISFACTION OF THE DEPARTMENT THAT: (1) THE PERSON HAS THE TECHNICAL, MANAGERIAL AND FINANCIAL CAPABILITY TO PROVIDE ELECTRIC GENERATION SERVICES AND PROVIDES AND MAINTAINS A BOND OR OTHER SECURITY IN AMOUNT AND FORM APPROVED BY THE DEPARTMENT, TO ENSURE ITS FINANCIAL RESPONSIBILITY AND ITS SUPPLY OF ELECTRICITY TO END USE CUSTOMERS IN ACCORDANCE WITH CONTRACTS, AGREEMENTS OR ARRANGEMENTS; (2) THE PERSON OR THE ENTITY OR ENTITIES WITH WHOM THE PERSON HAS A CONTRACTUAL RELATIONSHIP TO PURCHASE POWER IS IN COMPLIANCE WITH ALL APPLICABLE LICENSING REQUIREMENTS OF THE FEDERAL ENERGY REGULATORY COMMISSION; (3) THE PERSON IS REGISTERED WITH OR CERTIFIED BY THE REGIONAL INDEPENDENT SYSTEMS OPERATOR OR HAS A CONTRACTURAL RELATIONSHIP WITH ONE OR MORE ENTITIES WHO ARE REGISTERED WITH OR CERTIFIED BY THE REGIONAL INDEPENDENT SYSTEMS OPERATOR AND IS IN COMPLIANCE WITH ALL SYSTEM RULES AND STANDARDS ESTABLISHED BY THE REGIONAL INDEPENDENT SYSTEMS OPERATOR; (4) THE PERSON OWNS OR PURCHASES SUCH CAPACITY AND RESERVES AS MAY BE REQUIRED BY THE REGIONAL INDEPENDENT SYSTEM OPERATOR, TO PROVIDE ADEQUATE ELECTRICITY TO ALL THE PERSON'S CUSTOMERS; (5) THE PERSON'S GENERATION FACILITIES LOCATED IN NORTH AMERICA ARE IN COMPLIANCE WITH REGULATIONS ADOPTED BY THE COMMISSIONER OF ENVIRONMENTAL PROTECTION PURSUANT TO SECTION 24 OF THIS ACT; AND (6) FOR ANY GENERATION FACILITY WITHIN THIS STATE, THE FACILITY IS IN COMPLIANCE WITH CHAPTER 277a AND STATE ENVIRONMENTAL LAWS AND REGULATIONS. A LICENSE SHALL BE SUBJECT TO PERIODIC REVIEW ON A SCHEDULE TO BE ESTABLISHED BY THE DEPARTMENT.

(d) AN APPLICATION FOR A LICENSE SHALL BE FILED WITH THE DEPARTMENT OF PUBLIC UTILITY CONTROL, ACCOMPANIED BY A FEE PURSUANT TO SUBSECTION (e) OF THIS SECTION. THE APPLICATION SHALL CONTAIN SUCH INFORMATION AS THE DEPARTMENT MAY DEEM RELEVANT, INCLUDING, BUT NOT LIMITED TO, THE FOLLOWING: (1) THE ADDRESS OF THE APPLICANT'S HEADQUARTERS AND THE ARTICLES OF INCORPORATION, AS FILED WITH THE STATE IN WHICH THE APPLICANT IS INCORPORATED; (2) THE ADDRESS OF THE APPLICANT'S PRINCIPAL OFFICE IN THE STATE AND THE ADDRESS OF THE APPLICANT'S AGENT FOR SERVICE IN THE STATE;

(3) THE TOLL-FREE TELEPHONE NUMBER FOR CUSTOMER SERVICE; (4) INFORMATION ABOUT THE APPLICANT'S CORPORATE STRUCTURE, INCLUDING NAMES AND FINANCIAL STATEMENTS, AS APPROPRIATE, CONCERNING CORPORATE AFFILIATES; (5) A DISCLOSURE WHETHER THE APPLICANT IS CURRENTLY UNDER INVESTIGATION FOR VIOLATION OF ANY CONSUMER PROTECTION LAW OR REGULATION TO WHICH IT IS SUBJECT, EITHER IN THIS STATE OR IN ANOTHER STATE; (6) A COPY OF ITS STANDARD SERVICE CONTRACT; (7) AN ATTESTATION THAT IT IS SUBJECT TO CHAPTERS 208, 212, 212a AND 219, AS APPLICABLE, AND THAT IT SHALL PAY ALL TAXES IT IS SUBJECT TO IN THIS STATE; AND (8) A SCOPE OF SERVICE PLAN WHICH SETS FORTH, AMONG OTHER THINGS, A DESCRIPTION OF THE GEOGRAPHIC AREA THE APPLICANT PLANS TO SERVE.

(e) THE APPLICATION FEE SHALL INCLUDE THE COSTS TO INVESTIGATE AND ADMINISTER THE LICENSING PROCEDURE AND SHALL BE COMMENSURATE WITH THE LEVEL OF INVESTIGATION NECESSARY, AS DETERMINED BY REGULATIONS ADOPTED BY THE DEPARTMENT OF PUBLIC UTILITY CONTROL.

(f) NOT MORE THAN THIRTY DAYS AFTER RECEIVING AN APPLICATION, THE DEPARTMENT OF PUBLIC UTILITY CONTROL SHALL NOTIFY THE APPLICANT WHETHER THE APPLICATION IS COMPLETE OR WHETHER THE APPLICANT MUST SUBMIT ADDITIONAL INFORMATION. THE DEPARTMENT SHALL GRANT OR DENY A LICENSE APPLICATION, AFTER NOTICE AND A HEARING, NOT MORE THAN NINETY DAYS AFTER RECEIVING ALL INFORMATION REQUIRED OF AN APPLICANT. ANY HEARING SHALL BE CONDUCTED AS A CONTESTED CASE IN ACCORDANCE WITH CHAPTER 54 OF THE GENERAL STATUTES.

(g) THE DEPARTMENT OF PUBLIC UTILITY CONTROL SHALL REQUIRE, AS CONDITIONS OF A LICENSE, THAT: (1) THE SUPPLIER COMPLIES WITH THE NATIONAL LABOR RELATIONS ACT AND REGULATIONS, IF APPLICABLE; (2) THE SUPPLIER COMPLIES WITH THE CONNECTICUT UNFAIR TRADE PRACTICES ACT AND APPLICABLE REGULATIONS; (3) EACH GENERATING FACILITY OPERATED BY OR UNDER LONG-TERM CONTRACT TO THE SUPPLIER COMPLIES WITH REGULATIONS ADOPTED BY THE COMMISSIONER OF ENVIRONMENTAL PROTECTION, PURSUANT TO SECTION 24 OF THIS ACT; (4) THE SUPPLIER COMPLIES WITH THE PORTFOLIO STANDARDS, PURSUANT TO SECTION 25 OF THIS ACT; (5) THE SUPPLIER COMPLIES WITH THE SYSTEM RULES AND STANDARDS AND ANY OTHER RELIABILITY GUIDELINES OF THE REGIONAL INDEPENDENT SYSTEMS OPERATOR; (6) THE SUPPLIER AGREES TO COOPERATE WITH THE DEPARTMENT AND OTHER ELECTRIC SUPPLIERS, AS DEFINED IN SECTION 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, IN THE EVENT OF AN EMERGENCY CONDITION THAT MAY JEOPARDIZE THE SAFETY AND RELIABILITY OF ELECTRIC SERVICE; (7) THE SUPPLIER COMPLIES WITH THE CODE OF CONDUCT ESTABLISHED PURSUANT TO SECTION 15 OF THIS ACT; AND (8) FOR A LICENSE TO A PARTICIPATING MUNICIPAL ELECTRIC UTILITY, THE SUPPLIER PROVIDES OPEN AND NONDISCRIMINATORY ACCESS OF ITS DISTRIBUTION FACILITIES TO OTHER LICENSED ELECTRIC SUPPLIERS. ALSO AS A CONDITION OF A LICENSE, THE DEPARTMENT SHALL PROHIBIT EACH SUPPLIER FROM DECLINING TO PROVIDE SERVICE TO CUSTOMERS FOR THE REASON THAT THE CUSTOMERS ARE LOCATED IN ECONOMICALLY DISTRESSED AREAS. THE DEPARTMENT MAY ESTABLISH ADDITIONAL REASONABLE CONDITIONS TO ASSURE THAT ALL RETAIL CUSTOMERS WILL CONTINUE TO HAVE ACCESS TO ELECTRIC GENERATION SERVICES.

(h) THE DEPARTMENT SHALL MAINTAIN REGULAR

COMMUNICATIONS WITH THE REGIONAL INDEPENDENT SYSTEM OPERATOR TO EFFECTUATE THE PROVISIONS OF THIS SECTION AND TO ENSURE THAT AN ADEQUATE, SAFE AND RELIABLE SUPPLY OF ELECTRICITY IS AVAILABLE.

(i) EACH LICENSEE SHALL, AT SUCH TIMES AS THE DEPARTMENT REQUIRES BUT NOT LESS THAN ANNUALLY, SUBMIT TO THE DEPARTMENT OF PUBLIC UTILITY CONTROL, ON A FORM PRESCRIBED BY THE DEPARTMENT, AN UPDATE OF INFORMATION THE DEPARTMENT DEEMS RELEVANT. EACH LICENSEE SHALL NOTIFY THE DEPARTMENT AT LEAST TEN DAYS BEFORE: (1) A CHANGE IN CORPORATE STRUCTURE THAT AFFECTS THE LICENSEE; (2) A CHANGE IN THE SCOPE OF SERVICE, AS PROVIDED IN THE SUPPLIER'S SCOPE OF SERVICE PLAN SUBMITTED TO THE DEPARTMENT AS PART OF THE APPLICATION PROCESS; AND (3) ANY OTHER CHANGE THE DEPARTMENT DEEMS RELEVANT.

(j) NO LICENSE MAY BE TRANSFERRED WITHOUT THE PRIOR APPROVAL OF THE DEPARTMENT. THE DEPARTMENT MAY ASSESS ADDITIONAL LICENSING FEES TO PAY THE ADMINISTRATIVE COSTS OF REVIEWING A REQUEST FOR SUCH TRANSFER.

(k) AN ELECTRIC AGGREGATOR SHALL NOT BE SUBJECT TO THE PROVISIONS OF SUBDIVISIONS (2) TO (6), INCLUSIVE, OF SUBSECTION (c) OF THIS SECTION AND SUBDIVISIONS (4) AND (5) OF SUBSECTION (g) OF THIS SECTION.

(l) ANY PERSON WHO FAILS TO COMPLY WITH A LICENSE CONDITION OR WHO VIOLATES ANY PROVISION OF THIS SECTION SHALL BE SUBJECT TO SANCTIONS BY THE DEPARTMENT OF PUBLIC UTILITY CONTROL IN ACCORDANCE WITH SECTION 16-41, AS AMENDED BY THIS ACT, WHICH MAY INCLUDE, BUT ARE NOT LIMITED TO, THE SUSPENSION OR REVOCATION OF SUCH LICENSE OR A PROHIBITION ON ACCEPTING NEW CUSTOMERS.

Sec. 23. (NEW) Notwithstanding the provisions of subsection (a) of section 16-245 of the general statutes, as amended by this act, the provisions of said section shall not apply to any municipality that aggregates the sale of electric generation services, or to the Connecticut Resources Recovery Authority if such authority aggregates the sale of electric generation services, for end use customers located within the boundaries of such municipality or to any municipality that joins together with other municipalities to aggregate the sale of electric generation services for end use customers located within the boundaries of such municipalities or to aggregate the purchase of electric generation services for municipal facilities, street lighting, boards of education and other publicly-owned facilities within the municipality for which the municipality is financially responsible, provided the municipality shall register not less than annually with the Department of Public Utility Control on a form prescribed by the department.

Sec. 24. (NEW) Not later than January 1, 1999, the Commissioner of Environmental Protection shall, by regulations adopted in accordance with chapter 54 of the general statutes, establish uniform performance standards for electricity generation facilities supplying power to end use customers in this state. Such standards shall, to the greatest extent possible, be designed to improve air quality in this state and to further the attainment of the National Ambient Air Quality Standards promulgated by the United States

Environmental Protection Agency. Such performance standards shall be based on the fuel used for generation of electricity and shall apply to electric suppliers' generation facilities located in North America and shall limit the amount of air pollutants, including, but not limited to, nitrogen oxides, sulfur oxides, carbon dioxide, carbon monoxide and mercury, emitted per megawatt hour of electricity produced. Such performance standards may provide for a program for purchase of offsetting reductions in emissions and trading of emission credits. A performance standard established by the Department of Environmental Protection for an individual pollutant pursuant to this section shall go into effect when three of the states participating in the northeastern states' Ozone Transport Commission as of July 1, 1997, with a total population of not less than twenty-seven million at that time, have adopted such standard.

Sec. 25. (NEW) (a) To be licensed under section 16-245 of the general statutes, as amended by this act, an applicant for a license shall demonstrate to the satisfaction of the Department of Public Utility Control that not less than one-half of one per cent of its total electricity output shall be generated from Class I renewable energy sources and an additional five and one-half per cent of the total output shall be from Class I or Class II renewable energy sources. On and after July 1, 2001, not less than three-fourths of one per cent of the total output of any such supplier shall be generated from Class I renewable energy sources and an additional five and one-half per cent of the total output shall be from Class I or Class II renewable energy sources. On and after July 1, 2002, not less than one per cent of such output shall be generated from Class I renewable energy sources and an additional five and one-half per cent of the total output shall be from Class I or Class II renewable energy sources. On and after July 1, 2003, not less than one and one-half per cent of such output shall be generated from Class I renewable energy sources and an additional five and one-half per cent of the total output shall be from Class I or Class II renewable energy sources. On and after July 1, 2004, not less than two per cent of the total output of any such supplier shall be generated from Class I renewable energy sources and an additional six per cent of the total output shall be from Class I or Class II renewable energy sources. On and after July 1, 2005, not less than two and one-half per cent of the total output of any such supplier shall be generated from Class I renewable energy sources and an additional six per cent of the total output shall be from Class I or Class II renewable energy sources. On and after July 1, 2006, not less than three per cent of the total output of any such supplier shall be generated from Class I renewable energy sources and an additional six per cent of the total output shall be from Class I or Class II renewable energy sources. On and after July 1, 2007, not less than four per cent of the total output of any such supplier shall be generated from Class I renewable energy sources and an additional six per cent of the total output shall be from Class I or Class II renewable energy sources. On and after July 1, 2008, not less than

five per cent of the total output of any such supplier shall be generated from Class I renewable energy sources and an additional six per cent of the total output shall be from Class I or Class II renewable energy sources. On and after July 1, 2009, not less than six per cent of the total output of any such supplier shall be generated from Class I renewable energy sources and an additional seven per cent of the total output shall be from Class I or Class II renewable energy sources. An electric supplier may satisfy the requirements of this subsection by participating in a renewable energy trading program approved by the state. Any supplier who provides electric generation services solely from a Class II renewable energy source shall not be required to comply with the provisions of this section.

(b) An applicant's demonstration of generation sources, as required under subsection (a) of this section, shall be based on historical data, which may consist of data filed with the regional independent system operator.

(c) The department may adopt regulations pursuant to chapter 54 of the general statutes to implement the provisions of this section.

Sec. 26. (NEW) (a) To protect a customer's right to privacy from unwanted solicitation, each electric company or electric distribution company, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, as the case may be, shall distribute to each customer a form approved by the Department of Public Utility Control which the customer shall submit to his electric or electric distribution company in a timely manner if he does not want his name, address, telephone number and rate class to be released to electric suppliers, as defined in said section 16-1. On and after July 1, 1999, each electric or electric distribution company, as the case may be, shall make available to all electric suppliers customer names, addresses, telephone numbers, if known, and rate class, unless the electric company or electric distribution company has received a form from a customer requesting that such information not be released. Additional information about a customer for marketing purposes shall not be released to any electric supplier unless a customer signs a release which shall be made available by the department.

(b) All electric suppliers shall have equal access to customer information required to be disclosed under subsection (a) of this section. No electric supplier shall have preferential access to historical distribution company customer usage data.

(c) No electric or electric distribution company shall include in any bill or bill insert anything that directly or indirectly promotes a generation entity or affiliate of the electric distribution company. No electric supplier shall include a bill insert in an electric bill of an electric distribution company.

(d) All marketing information provided pursuant to the provisions of this section shall be formatted electronically by the electric company or electric distribution company, as the case may be, in a form that is readily usable by standard commercial software packages. Updated lists shall be made available within a reasonable

time, as determined by the department, following a request by an electric supplier. Each electric supplier seeking the information shall pay a fee to the electric company or electric distribution company, as the case may be, which reflects the incremental costs of formatting, sorting and distributing this information, together with related software changes. Customers shall be entitled to any available individual information about their loads or usage at no cost.

(e) Each electric supplier shall, prior to the initiation of electric generation services, provide the potential customer with a written notice describing the rates, information on air emissions and resource mix of generation facilities operated by and under long-term contract to the supplier, terms and conditions of the service, and a notice describing the customer's right to cancel the service, as provided in this section. No electric supplier shall provide electric generation services unless the customer has signed a service contract or consents to such services pursuant to section 30 of this act. A customer shall, until midnight of the third business day after the day on which the customer enters into a service agreement, have the right to cancel a contract for electric generation services entered into with an electric supplier.

(f) An electric supplier shall not advertise or disclose the price of electricity in such a manner as to mislead a reasonable person into believing that the electric generation services portion of the bill will be the total bill amount for the delivery of electricity to the customer's location. When advertising or disclosing the price for electricity, the electric supplier shall also disclose the electric distribution company's average current charges, including the competitive transition assessment and the systems benefits charge, for that customer class.

(g) Each electric supplier shall comply with the provisions of the telemarketing regulations adopted pursuant to 15 USC 6102.

(h) Any violation of this section shall be deemed an unfair or deceptive trade practice under subsection (a) of section 42-110b of the general statutes.

Sec. 27. (NEW) (a) Upon being issued a license pursuant to section 16-245, as amended by this act, an electric supplier shall submit information to the Department of Public Utility Control that the department, after consultation with the Consumer Education Advisory Council, established under section 17 of this act, determines will assist customers in making informed decisions when choosing an electric supplier, including, but not limited to, the information provided in subsection (b) of this section. Each supplier shall submit, on a form prescribed by the department, quarterly reports containing information on rates and any other information the department deems relevant, including, but not limited to, any change in the information as required by the department. After the department has received the information required pursuant to this subsection, the supplier shall be eligible to receive customer marketing information from electric or electric distribution companies, as provided in section 26 of this act.

(b) The Department of Public Utility Control

shall maintain and make available to customers upon request, a list of electric aggregators and the following information about each electric supplier, as defined in section 16-1 of the general statutes, as amended by section 1 of this act: (1) Rates and charges provided by an electric supplier; (2) applicable terms and conditions of a contract for electric generation services provided by an electric supplier; (3) the percentage of each supplier's total electric output derived from each of the categories of energy sources provided in subsection (e) of section 17 of this act, the rates at which each facility operated by or under long-term contract to the electric supplier emits nitrogen oxides, sulfur oxides, carbon dioxide, carbon monoxide, particulates, heavy metals and other wastes the disposal of which is regulated under state or federal law, and the analysis of the environmental characteristics of each such category of energy source prepared pursuant to subsection (e) of said section 17 and to the extent such information is unknown, the estimated percentage of the electric supplier's total electric output for which such information is unknown, along with the word "unknown" for that percentage; (4) a record of customer complaints and the disposition of each complaint; and (5) any other information the department determines will assist customers in making informed decisions when choosing an electric supplier. The department shall update the information at least quarterly. The department shall put such information in a standard format so that a customer can readily understand and compare the services provided by each electric supplier.

Sec. 28. (NEW) A customer may change his electric supplier, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, at any time. The electric distribution company, as defined in said section 16-1, and electric supplier may each charge a reasonable fee, as approved by the Department of Public Utility Control, to make a change in the customer's supplier to reflect the actual cost to read the customer's meter and make changes in its billing records, except that every customer may seek a change in his electric supplier without charge once in any twelve-month period if the change occurs at the end of the customer's regularly scheduled meter reading and billing cycle.

Sec. 29. (NEW) No electric supplier, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, shall refuse to provide electric generation services to, or refuse to negotiate to provide such services to any customer because of age, race, creed, color, national origin, ancestry, sex, marital status, sexual orientation, lawful source of income, disability or familial status. No electric supplier shall decline to provide electric generation services to a customer for the sole reason that the customer is located in an economically distressed geographic area or the customer qualifies for hardship status under section 16-262c of the general statutes, as amended by this act. No electric supplier shall terminate or refuse to reinstate electric generation services except in accordance with the

provisions of title 16 of the general statutes.

Sec. 30. (NEW) (a) No electric distribution company shall submit or execute a change in a customer's selection of an electric supplier unless the change has been confirmed by one of the following: (1) An independent third-party telephone verification; (2) receipt of a written confirmation received in the mail from the customer after the customer has received an information package confirming any telephone agreement; (3) the customer signs a document fully explaining the nature and effect of the change in service; or (4) the customer's consent is obtained through electronic means, including, but not limited to, a computer transaction.

(b) Third-party telephone verification shall be in accordance with the following procedures: (1) The electric supplier seeking to verify the change shall do so by connecting the customer by telephone to the third-party verification company or by arranging for the third-party verification company to call the resident to confirm the sale; and (2) the third-party verification company shall obtain the customer's oral confirmation regarding the change, and shall record that confirmation by obtaining appropriate verification data. The record shall be available to the customer upon request. Information obtained from the customer through confirmation shall not be used for marketing purposes. The verification procedure in this subsection shall not apply when a residential customer directly calls an electric distribution company to make changes in electric supplier service, provided an electric supplier shall not avoid the verification procedure by asking a residential customer to contact an electric distribution company directly to make changes in electric supplier service. For purposes of this section, "third-party verification company" means a company that: (A) Is independent from the electric supplier that seeks to provide the new service; (B) is not directly or indirectly managed, controlled or directed or owned wholly or in part by (i) an electric supplier that seeks to provide the new service, or (ii) any corporation, firm or person who directly or indirectly manages, controls or directs or owns more than five per cent of such supplier; (C) operates from facilities physically separate from those of the electric supplier that seeks to provide the new service; and (D) does not derive commissions or compensation based upon the number of sales confirmed.

(c) Any violation of this section shall be deemed an unfair or deceptive trade practice under subsection (a) of section 42-110b of the general statutes.

Sec. 31. (NEW) (a) The Department of Public Utility Control shall be responsible for receiving and acting upon customer inquiries and complaints regarding electric suppliers, as defined in section 16-1 of the general statutes, as amended by section 1 of this act. The department shall establish a toll-free telephone number for such purposes. Customers of any electric supplier having complaints regarding disputed bills, terminations of service or adequacy of service may bring their complaints to the department pursuant to any provision in section 16-20, sections

16-262c to 16-262j, inclusive, of the general statutes, as amended by this act, or the regulations adopted to implement those sections.

(b) Nothing contained in this section shall be construed so as to restrict the right of any person to pursue any other remedy available to the person under law.

Sec. 32. (NEW) (a) The Department of Public Utility Control shall monitor the market for electric generation services and electric distribution services to end use customers and take actions to prevent unfair or deceptive trade practices, anticompetitive or discriminatory conduct, and the unlawful exercise of market power.

(b) (1) Upon complaint or upon its own motion, for cause shown, the department shall conduct an investigation of any possible anticompetitive or discriminatory conduct affecting the retail sale of electricity or any unfair or deceptive trade practices. Such investigations may include, but are not limited to, the effect of mergers, consolidations, acquisition and disposition of assets or securities of electric suppliers, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, or transmission congestion on the proper functioning of a fully competitive market.

(2) The department may require an electric supplier to provide information, including documents and testimony, in accordance with the procedures contained in subsection (a) of section 16-8 and section 16-8c of the general statutes.

(3) Confidential, proprietary or trade secret information provided under this section may be submitted under a duly granted protective order. Any hearings that may be held during the course of the investigation may also be conducted in camera to prevent the inadvertent revelation of such confidential information.

(4) The Office of the Attorney General and the Office of Consumer Counsel shall have the right to participate in such investigations under appropriate nondisclosure agreements.

(5) At the conclusion of the investigation, and notwithstanding any previously granted protective orders, if the department finds that facts exist that indicate any violation of state or federal law, it shall transmit such written findings along with supporting information gathered in its investigation to appropriate enforcement officials. Such referrals may recommend that further investigation be made or that immediate enforcement procedures be initiated. Such referrals may be made to the Office of the Attorney General, the Department of Consumer Protection, the United States Department of Justice, the Securities and Exchange Commission, the Federal Energy Regulatory Commission, or any other appropriate enforcement agency. The department may intervene as permitted by law in any proceeding initiated under this subsection. The results of such investigations may also serve as a basis for department sanctions, after notice and hearing, under subsection (l) of section 16-245 of the general statutes, as amended by this act.

(c) Nothing contained in this section shall be construed so as to restrict the right of any

person to pursue any other remedy available to the person under law.

Sec. 33. (NEW) (a) On and after January 1, 2000, the Department of Public Utility Control shall assess or cause to be assessed a charge of three mills per kilowatt hour of electricity sold to each end use customer of an electric distribution company to be used to implement the program as provided in this section for conservation and load management programs but not for the amortization of costs incurred prior to July 1, 1997, for such conservation and load management programs.

(b) The electric distribution company shall establish an Energy Conservation and Load Management Fund which shall be held separate and apart from all other funds or accounts. Receipts from the charge imposed under subsection (a) of this section shall be deposited into the fund. Any balance remaining in the fund at the end of any fiscal year shall be carried forward in the fiscal year next succeeding. Disbursements from the fund by electric distribution companies to carry out the plan developed under subsection (d) of this section shall be authorized by the Department of Public Utility Control upon its approval of such plan.

(c) The Department of Public Utility Control shall appoint and convene an Energy Conservation Management Board which shall include representatives of: (1) An environmental group knowledgeable in energy conservation program collaboratives; (2) the Office of Consumer Counsel; (3) the Attorney General; (4) the Department of Environmental Protection; (5) the electric distribution companies in whose territories the activities take place for such programs; (6) a state-wide manufacturing association; (7) a chamber of commerce; (8) a state-wide business association; (9) a state-wide retail organization; and (10) residential customers. Such members shall serve for a period of five years and may be reappointed.

(d) The Energy Conservation Management Board shall advise and assist the electric distribution companies in the development and implementation of a comprehensive plan, which plan shall be approved by the Department of Public Utility Control, to implement cost-effective energy conservation programs and market transformation initiatives. Programs included in the plan shall be screened through cost-effectiveness testing which compares the value and payback period of program benefits to program costs to ensure that programs are designed to obtain energy savings whose value is greater than the costs of the programs. Program cost-effectiveness shall be reviewed annually, or otherwise as is practicable. If a program is determined to fail the cost-effectiveness test as part of the review process, it shall either be modified to meet the test or shall be terminated. On or before January 31, 2001, and annually thereafter until January 31, 2006, the board shall provide a report to the joint standing committees of the General Assembly having cognizance of matters relating to energy and the environment which documents expenditures, fund balances and evaluates the cost-effectiveness of such programs conducted in the preceding year. Such programs may

include, but not be limited to: (1) Conservation and load management programs; (2) research, development and commercialization of products or processes which are more energy-efficient than those generally available; (3) development of markets for such products and processes; (4) support for energy use assessment, engineering studies and services related to new construction or major building renovation; (5) the design, manufacture, commercialization and purchase of energy-efficient appliances and heating, air conditioning and lighting devices; (6) program planning and evaluation and (7) public education regarding conservation. Such support may be by direct funding, manufacturers' rebates, sale price and loan subsidies, leases and promotional and educational activities. Any other expenditure by the collaborative shall be limited to retention of expert consultants and reasonable administrative costs provided such consultants shall not be employed by, or have any contractual relationship with, an electric distribution company. Such costs shall not exceed five per cent of the total revenue collected from the assessment.

Sec. 34. Section 16-18a of the general statutes is repealed and the following is substituted in lieu thereof:

(a) In the performance of their duties the Department of Public Utility Control and the Office of Consumer Counsel may retain consultants to assist their staff in proceedings before the department by providing expertise in areas in which staff expertise does not currently exist or when necessary to supplement existing staff expertise. In any case where the department or Office of Consumer Counsel determines that the services of a consultant are necessary or desirable, the department shall (1) allow opportunity for the parties and participants to the proceeding for which the services of a consultant are being considered to comment regarding the necessity or desirability of such services, (2) upon the request of a party or participant to the proceeding for which the services of a consultant are being considered, hold a hearing, and (3) limit the reasonable and proper expenses for such services to not more than two hundred thousand dollars for each agency per proceeding involving a public service company, [as defined in section 16-1,] telecommunications company, [as defined in section 16-1, or] ELECTRIC SUPPLIER, AS DEFINED IN SECTION 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, person, firm or corporation seeking certification to provide telecommunications service pursuant to chapter 283, with more than fifteen thousand customers, and to not more than fifty thousand dollars for each agency per proceeding involving such a company, ELECTRIC SUPPLIER, person, firm or corporation with less than fifteen thousand customers, provided the department or the Office of Consumer Counsel may exceed such limits for good cause. In the case of multiple proceedings conducted to implement the provisions of this section and sections 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, 16-19, 16-19e, 16-22, 16-247a to 16-247c, inclusive, 16-247e to 16-247i, inclusive, 16-247k and subsection (e) of 16-331, the department or the Office of Consumer Counsel may

exceed such limits, but the total amount for all such proceedings shall not exceed the aggregate amount which would be available pursuant to this section. All reasonable and proper expenses, as defined in subdivision (3) of this section, shall be borne by the affected company, ELECTRIC SUPPLIER, person, firm or corporation and shall be paid by such company, ELECTRIC SUPPLIER, person, firm or corporation at such times and in such manner as the department or the Office of Consumer Counsel directs. All reasonable and proper costs and expenses, as defined in subdivision (3) of this section, shall be recognized by the department for all purposes as proper business expenses of the affected company, ELECTRIC SUPPLIER, person, firm or corporation. The providers of consultant services shall be selected by the department or the Office of Consumer Counsel and shall submit written findings and recommendations to the department or the Office of Consumer Counsel, as the case may be, which shall be made part of the public record.

(b) THE DEPARTMENT OF PUBLIC UTILITY CONTROL MAY RETAIN CONSULTANTS TO ASSIST IN DEVELOPING AND IMPLEMENTING THE PUBLIC EDUCATION OUTREACH PROGRAM PURSUANT TO SECTION 17 OF THIS ACT, PROVIDED THE AUTHORIZATION TO RETAIN SUCH CONSULTANTS SHALL EXPIRE DECEMBER 31, 2000, AND PROVIDED FURTHER THE REASONABLE AND PROPER EXPENSES FOR SUCH SERVICES SHALL NOT EXCEED THREE HUNDRED FIFTY THOUSAND DOLLARS IN THE AGGREGATE. ALL REASONABLE AND PROPER EXPENSES ACCRUED PRIOR TO JANUARY 1, 2000, SHALL BE BORNE BY ELECTRIC COMPANIES OR ELECTRIC DISTRIBUTION COMPANIES, AS THE CASE MAY BE. AFTER THE SYSTEMS BENEFITS CHARGE BEGINS TO BE COLLECTED ON JANUARY 1, 2000, PURSUANT TO SECTION 18 OF THIS ACT, SUCH COMPANIES SHALL RECOVER THOSE EXPENSES THAT HAVE BEEN ACCRUED BY THE COMPANIES UP UNTIL SAID DATE THROUGH THE SYSTEMS BENEFITS CHARGE. ON AND AFTER JANUARY 1, 2000, ALL REASONABLE AND PROPER EXPENSES SHALL BE ASSESSED DIRECTLY THROUGH THE SYSTEMS BENEFITS CHARGE.

Sec. 35. Subsection (a) of section 16-41 of the general statutes is repealed and the following is substituted in lieu thereof:

(a) Each public service company, its officers, agents and employees, EACH ELECTRIC SUPPLIER, AS DEFINED IN SECTION 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, OR PERSON PROVIDING ELECTRIC GENERATION SERVICES WITHOUT A LICENSE IN VIOLATION OF SECTION 16-245, AS AMENDED BY THIS ACT, ITS OFFICERS, AGENTS AND EMPLOYEES, and each person, public agency or public utility as defined in section 16-345, subject to the requirements of chapter 293, shall obey, observe and comply with all applicable provisions of this title and each applicable order made or applicable regulations adopted by the Department of Public Utility Control by virtue of this title so long as the same remains in force. Any such company, ELECTRIC SUPPLIER, PERSON, any officer, agent or employee thereof, or any such person, public agency or public utility which the department finds has failed to obey or comply with any such provision of this title, order or regulation shall be fined by order of the department in accordance with the penalty prescribed for the violated provision of this title or, if no penalty is prescribed, not more than five thousand dollars for each offense

except that the penalty shall be a fine of not more than twenty thousand dollars for failure to comply with an order of the department made in accordance with the provisions of section 16-19 within thirty days of such order or within any specific time period for compliance specified in such order. Each distinct violation of any such provision of this title, order or regulation shall be a separate offense and, in case of a continued violation, each day thereof shall be deemed a separate offense. Each such penalty and any interest charged pursuant to subsection (g) of section 16-49 shall be excluded from operating expenses for purposes of rate-making.

Sec. 36. Subsection (a) of section 16-49 of the general statutes is repealed and the following is substituted in lieu thereof:

(a) As used in this section, "company" means: (1) A company included within the term "public service company" by section 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, except any company not providing service at retail directly to consumers in the state and any company [which] THAT had less than one hundred thousand dollars of gross revenues taxable under chapter 211 or chapters 212 and 212a, or in the case of any telephone company, as defined in SAID section 16-1, had less than one hundred thousand dollars of gross revenues from telecommunications services, as defined in subdivision (26) of section 12-407, included in the amount of gross revenues reportable under chapter 219, in the calendar year preceding the assessment year under this section; [and] (2) any person, firm or corporation certified by the Department of Public Utility Control to provide intrastate telecommunications services, pursuant to sections 16-247f to 16-247h, inclusive, and applicable regulations, [which] THAT had more than one hundred thousand dollars of gross revenues taxable under chapter 211, or which had more than one hundred thousand dollars of gross revenues reportable under chapter 219, or both, in the calendar year preceding the assessment year under this section, except any such person, firm or corporation not providing service at retail directly to consumers in the state; AND (3) ANY ELECTRIC SUPPLIER, AS DEFINED IN SAID SECTION 16-1, THAT HAD MORE THAN ONE HUNDRED THOUSAND DOLLARS OF GROSS REVENUES IN THE STATE IN THE CALENDAR YEAR PRECEDING THE ASSESSMENT YEAR UNDER THIS SECTION, EXCEPT ANY SUCH SUPPLIER NOT PROVIDING ELECTRIC GENERATION SERVICES TO RETAIL CUSTOMERS IN THE STATE.

Sec. 37. Section 16-259a of the general statutes is repealed and the following is substituted in lieu thereof:

(a) No electric, ELECTRIC DISTRIBUTION, gas [,] or water company, as defined in section 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, OR ELECTRIC SUPPLIER, which inaccurately bills a retail customer for service may bill or otherwise hold the customer financially liable for more than one year after the customer receives such service, unless the customer, either alone or with [a person] AN INDIVIDUAL other than an employee of the company, by an affirmative act, is responsible for the inaccurate billing or fails to provide for reasonable access to the premises where the company's meter is located by an employee of the

company during business hours for the purpose of reading the meter.

(b) Any such electric, ELECTRIC DISTRIBUTION, gas [,] or water company OR ELECTRIC SUPPLIER which inaccurately bills a retail customer for service may bill or otherwise hold the customer financially liable for not more than one year after the customer receives such service, unless a delayed bill for the service (1) would deprive the customer of the opportunity to apply for or receive energy assistance or (2) is the result of the customer's meter erroneously registering another customer's consumption, in which case the company may not bill or otherwise hold the customer liable for the service provided to another customer.

(c) No telephone company or person, firm or corporation certified to provide intrastate telecommunications services pursuant to sections 16-247f to 16-247h, inclusive, which inaccurately bills a retail customer for service may bill or otherwise hold the customer financially liable for more than two years or the time provided in federal law, whichever is longer, after the customer receives such service, unless the customer, either alone or with a person other than an employee of the company, person, firm or corporation, by an affirmative act, is responsible for the inaccurate billing.

(d) Any company, ELECTRIC SUPPLIER, person, firm or corporation that holds a customer financially liable under subsection (a), (b) or (c) of this section shall establish a payment plan which prorates all arrearages for service the customer owes over a period of time that is no shorter than the period for which the customer is being held financially liable by such company, ELECTRIC SUPPLIER, person, firm or corporation. The payment plan shall provide that no payment charged to a customer under such plan shall exceed fifty per cent of the average amount that the company charged such customer for each billing period over the previous twelve-month period for services received during that period. Notwithstanding the provisions of this subsection, a company, ELECTRIC SUPPLIER, person, firm or corporation may require immediate payment of the full amount due under subsection (a), (b) or (c) of this section if such customer fails to make timely payments in accordance with the payment plan established by such company, person, firm or corporation.

Sec. 38. Section 16-262c of the general statutes, as amended by section 1 of public act 97-9, section 1 of public act 97-20 and section 32 of public act 97-47, is repealed and the following is substituted in lieu thereof:

(a) Notwithstanding any other provision of the general statutes no electric, ELECTRIC DISTRIBUTION, gas, telephone or water company, NO ELECTRIC SUPPLIER, AS DEFINED IN SECTION 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, and no municipal utility furnishing electric, gas, telephone or water service shall cause cessation of any such service by reason of delinquency in payment for such service (1) on any Friday, Saturday, Sunday, legal holiday or day before any legal holiday, provided such a company, ELECTRIC SUPPLIER or municipal utility may cause cessation of such

service to a nonresidential account on a Friday which is not a legal holiday or the day before a legal holiday when the business offices of the company, ELECTRIC SUPPLIER or municipal utility are open to the public the succeeding Saturday, (2) at any time during which the business offices of said company, ELECTRIC SUPPLIER or municipal utility are not open to the public, or (3) within one hour before the closing of the business offices of said company, ELECTRIC SUPPLIER or municipal utility.

(b) (1) From November first to April fifteenth, inclusive, no electric OR ELECTRIC DISTRIBUTION company, AS DEFINED IN SECTION 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, NO ELECTRIC SUPPLIER and no municipal utility furnishing electricity shall terminate or refuse to reinstate residential electric service in hardship cases where the customer lacks the financial resources to pay his or her entire account. From November first to April fifteenth, inclusive, no gas company and no municipal utility furnishing gas shall terminate or refuse to reinstate residential gas service in hardship cases where the customer uses such gas for heat and lacks the financial resources to pay his or her entire account, except a gas company that, between April sixteenth and October thirty-first, terminated gas service to a residential customer who uses gas for heat and who, during the previous period of November first to April fifteenth, had gas service maintained because of hardship status, may refuse to reinstate the gas service from November first to April fifteenth, inclusive, only if the customer has failed to pay, since the preceding November first, the lesser of: (A) Twenty per cent of the outstanding principal balance owed the gas company as of the date of termination, (B) one hundred dollars, or (C) the minimum payments due under the customer's amortization agreement. Notwithstanding any other provision of the general statutes to the contrary, no electric, ELECTRIC DISTRIBUTION or gas company, NO ELECTRIC SUPPLIER and no municipal utility furnishing electricity or gas shall terminate or refuse to reinstate residential electric or gas service where the customer lacks the financial resources to pay his or her entire account and for which customer or a member of the customer's household the termination or failure to reinstate such service would create a life-threatening situation.

(2) During any period in which a residential customer is subject to termination, an electric, ELECTRIC DISTRIBUTION or gas company, AN ELECTRIC SUPPLIER or a municipal utility furnishing electricity or gas shall provide such residential customer whose account is delinquent an opportunity to enter into a reasonable amortization agreement with such company, ELECTRIC SUPPLIER or utility to pay such delinquent account and to avoid termination of service. Such amortization agreement shall [permit] ALLOW such customer adequate opportunity to apply for and receive the benefits of any available energy assistance program. An amortization agreement shall be subject to amendment on customer request if there is a change in the customer's financial circumstances.

(3) As used in this section, (A) "household

income" means the combined income over a twelve-month period of the customer and all adults, except children of the customer, who are and have been members of the household for six months or more, and (B) "hardship case" includes, but is not limited to: (i) A customer receiving local, state or federal public assistance; (ii) a customer whose sole source of financial support is Social Security, Veterans' Administration or unemployment compensation benefits; (iii) a customer who is head of the household and is unemployed, and the household income is less than three hundred per cent of the poverty level determined by the federal government; (iv) a customer who is seriously ill or who has a household member who is seriously ill; (v) a customer whose income falls below one hundred twenty-five per cent of the poverty level determined by the federal government; and (vi) a customer whose circumstances threaten a deprivation of food and the necessities of life for himself or dependent children if payment of a delinquent bill is required.

(4) In order for a residential customer of a gas [public service] company using gas for heat to be eligible to have any moneys due and owing deducted from the customer's delinquent account pursuant to this subdivision, the company furnishing gas shall require that the customer (A) apply and be eligible for benefits available under the Connecticut energy assistance program or state appropriated fuel assistance program; (B) authorize the company to send a copy of the customer's monthly bill directly to any energy assistance agency for payment; (C) enter into and comply with an amortization agreement, which agreement is consistent with decisions and policies of the Department of Public Utility Control. Such an amortization agreement shall reduce a customer's payment by the amount of the benefits reasonably anticipated from the Connecticut energy assistance program, state appropriated fuel assistance program or other energy assistance sources. Unless the customer requests otherwise, the company shall budget a customer's payments over a twelve-month period with an affordable increment to be applied to any arrearage, provided such payment plan will not result in loss of any energy assistance benefits to the customer. If a customer authorizes the company to send a copy of his monthly bill directly to any energy assistance agency for payment, the energy assistance agency shall make payments directly to the company. If, on April thirtieth, a customer has been in compliance with the requirements of subparagraphs (A) to (C), inclusive, of this subdivision, during the period starting on the preceding November first, or from such time as the customer's account becomes delinquent, the company shall deduct from such customer's delinquent account an additional amount equal to the amount of money paid by the customer between the preceding November first and April thirtieth and paid on behalf of the customer through the Connecticut energy assistance program and state appropriated fuel assistance program. Any customer in compliance with the requirements of subparagraphs (A) to (C), inclusive, of this subdivision, on April thirtieth who continues to

comply with an amortization agreement through the succeeding October thirty-first, shall also have an amount equal to the amount paid pursuant to such agreement and any amount paid on behalf of such customer between May first and the succeeding October thirty-first deducted from the customer's delinquent account. In no event shall the deduction of any amounts pursuant to this subdivision result in a credit balance to the customer's account. No customer shall be denied the benefits of this subdivision due to an error by the gas [public service] company. The Department of Public Utility Control shall allow the amounts deducted from the customer's account pursuant to the implementation plan, described in subdivision (5) of this subsection, to be recovered by the company in its rates as an operating expense, pursuant to said implementation plan. If the customer fails to comply with the terms of the amortization agreement or any decision of the department rendered in lieu of such agreement and the requirements of subparagraphs (A) to (C), inclusive, of this subdivision, the company may terminate service to the customer, pursuant to all applicable regulations, provided such termination shall not occur between November first and April fifteenth.

(5) Each gas [public service] company shall submit to the Department of Public Utility Control annually, on or before July first, an implementation plan which shall include information concerning amortization agreements, counseling, reinstatement of eligibility, rate impacts and any other information deemed relevant by the department. The Department of Public Utility Control may, in consultation with the Office of Policy and Management, approve or modify such plan within ninety days of receipt of the plan. If the department does not take any action on such plan within ninety days of its receipt, the plan shall automatically take effect at the end of the ninety-day period, provided the department may extend such period for an additional thirty days by notifying the gas [public service] company before the end of the ninety-day period. Any amount recovered by a company in its rates pursuant to this subsection shall not include any amount approved by the Department of Public Utility Control as an uncollectible expense. The department may deny all or part of the recovery required by this subsection if it determines that the company seeking recovery has been imprudent, inefficient or acting in violation of statutes or regulations regarding amortization agreements.

(6) On or after January 1, 1993, the Department of Public Utility Control may require gas [public service] companies to expand the provisions of subdivisions (4) and (5) of this subsection to all hardship customers. Any such requirement shall not be effective until November 1, 1993.

(7) (A) All electric, ELECTRIC DISTRIBUTION and gas companies, ELECTRIC SUPPLIERS and municipal utilities furnishing electricity or gas shall collaborate in developing, subject to approval by the Department of Public Utility Control, standard provisions for the notice of delinquency and impending termination under

subsection (a) of section 16-262d, AS AMENDED BY THIS ACT. Each such company and utility shall place on the front of such notice a provision that the company, ELECTRIC SUPPLIER or utility [may] SHALL not effect termination of service to a residential dwelling for nonpayment of disputed bills during the pendency of any complaint. In addition, the notice shall state that the customer must pay current and undisputed bill amounts during the pendency of the complaint. (B) At the beginning of any discussion with a customer concerning a reasonable amortization agreement, any such company or utility shall inform the customer (i) of the availability of a process for resolving disputes over what constitutes a reasonable amortization agreement, (ii) that the company, ELECTRIC SUPPLIER or utility will refer such a dispute to one of its review officers as the first step in attempting to resolve the dispute and (iii) that the company, ELECTRIC SUPPLIER or utility [may] SHALL not effect termination of service to a residential dwelling for nonpayment of a delinquent account during the pendency of any complaint, investigation, hearing or appeal initiated by the customer, unless the customer fails to pay undisputed bills, or undisputed portions of bills, for service received during such period. (C) Each such company, ELECTRIC SUPPLIER and utility shall inform and counsel all customers who are hardship cases as to the availability of all public and private energy conservation programs, including programs sponsored or subsidized by such companies and utilities, eligibility criteria, where to apply, and the circumstances under which such programs are available without cost.

(8) The Department of Public Utility Control shall adopt regulations in accordance with chapter 54 to carry out the provisions of this subsection. Such regulations shall include, but not be limited to, criteria for determining hardship cases and for reasonable amortization agreements, including appeal of such agreements, for categories of customers. Such regulations may include the establishment of a reasonable rate of interest which a company may charge on the unpaid balance of a customer's delinquent bill AND A DESCRIPTION OF THE RELATIONSHIP AND RESPONSIBILITIES OF ELECTRIC SUPPLIERS TO CUSTOMERS.

(c) Each electric, ELECTRIC DISTRIBUTION and gas [public service] company, ELECTRIC SUPPLIER and municipal utility shall, not later than December first, annually, submit a report to the department and the General Assembly indicating (1) the number of customers in each of the following categories and the total delinquent balances for such customers as of the preceding April fifteenth: (A) Customers who are hardship cases and (i) who made arrangements for reasonable amortization agreements, (ii) who did not make such arrangements and (B) customers who are nonhardship cases and who made arrangements for reasonable amortization, (2) (A) the number of heating customers receiving energy assistance during the preceding heating season and the total amount of such assistance and (B) the total balance of the accounts of such customers after all energy assistance is applied to the accounts, (3) the number of hardship cases reinstated

between November first of the preceding year and April fifteenth of the same year, the number of hardship cases terminated between April fifteenth of the same year and November first and the number of hardship cases reinstated during each month from April to November, inclusive, of the same year, (4) the number of reasonable amortization agreements executed and the number breached during the same year by (A) hardship cases and (B) nonhardship cases and (5) the number of accounts of (A) hardship cases and (B) nonhardship cases for which part or all of the outstanding balance is written off as uncollectible during the preceding year and the total amount of such uncollectibles.

(d) Nothing in this section shall (1) prohibit a public service company, ELECTRIC SUPPLIER or municipal utility from terminating residential utility service upon request of [a] THE customer or in accordance with section 16-262d, AS AMENDED BY THIS ACT, upon default by [a] THE customer on an amortization agreement or collecting delinquent accounts through legal processes, including the processes authorized by section 16-262f, AS AMENDED BY THIS ACT, or (2) relieve such company, ELECTRIC SUPPLIER or municipal utility of its responsibilities set forth in sections 16-262d and 16-262e, AS AMENDED BY THIS ACT, to occupants of residential dwellings or, with respect to a public service company OR ELECTRIC SUPPLIER, the responsibilities set forth in section 19a-109.

(e) No provision of the Freedom of Information Act, as defined in section 1-18a, shall be construed to require or permit a municipal utility furnishing electric, gas or water service, a municipality furnishing water or sewer service, a district established by special act or pursuant to chapter 105 and furnishing water or sewer service or a regional authority established by special act to furnish water or sewer service to disclose records under the Freedom of Information Act, as defined in section 1-18a, which identify or could lead to identification of the utility usage or billing information of individual customers, to the extent such disclosure would constitute an invasion of privacy.

(f) IF AN ELECTRIC SUPPLIER SUFFERS A LOSS OF REVENUE BY OPERATION OF THIS SECTION, THE SUPPLIER MAY MAKE A CLAIM FOR SUCH REVENUE TO THE DEPARTMENT. THE ELECTRIC DISTRIBUTION COMPANY SHALL REIMBURSE THE ELECTRIC SUPPLIER FOR SUCH LOSSES FOUND TO BE REASONABLE BY THE DEPARTMENT AT THE LOWER OF (1) THE PRICE OF THE CONTRACT BETWEEN THE SUPPLIER AND THE CUSTOMER, OR (2) THE ELECTRIC DISTRIBUTION COMPANY'S PRICE TO CUSTOMERS FOR DEFAULT SERVICE, AS DETERMINED BY THE DEPARTMENT. THE ELECTRIC DISTRIBUTION COMPANY MAY RECOVER SUCH REIMBURSEMENT, ALONG WITH TRANSACTION COSTS, THROUGH THE SYSTEMS BENEFITS CHARGE.

Sec. 39. Section 16-262d of the general statutes, as amended by public act 97-11, is repealed and the following is substituted in lieu thereof:

(a) No electric, ELECTRIC DISTRIBUTION, gas, telephone or water [public service] company, NO ELECTRIC SUPPLIER and no municipal utility furnishing electric, gas or water service may terminate such service to a residential dwelling on account of nonpayment of a delinquent account

unless such company, ELECTRIC SUPPLIER or municipal utility first gives notice of such delinquency and impending termination by first class mail addressed to the customer to which such service is billed, at least thirteen calendar days prior to the proposed termination, except that if an electric, ELECTRIC DISTRIBUTION or gas [public service] company, ELECTRIC SUPPLIER or municipal utility furnishing electric or gas service has issued a notice under this subsection but has not terminated service prior to issuing a new bill to the customer, such company, ELECTRIC SUPPLIER or municipal utility may terminate such service only after mailing the customer an additional notice of the impending termination, addressed to the customer to which such service is billed either (1) by first class mail at least thirteen calendar days prior to the proposed termination or (2) by certified mail, at least seven calendar days prior to the proposed termination. In the event that multiple dates of proposed termination are provided to a customer, no such company, ELECTRIC SUPPLIER or municipal utility shall terminate service prior to the latest of such dates. For purposes of this subsection, the thirteen-day periods and seven-day period shall commence on the date such notice is mailed. If such company, ELECTRIC SUPPLIER or municipal utility does not terminate service within one hundred twenty days after mailing the initial notice of termination, such company, ELECTRIC SUPPLIER or municipal utility shall give the customer a new notice at least thirteen days prior to termination. Every termination notice issued by a public service company, ELECTRIC SUPPLIER or municipal utility shall contain or be accompanied by an explanation of the rights of the customer provided in subsection (c) of this section.

(b) No such company, ELECTRIC SUPPLIER or municipal utility shall effect termination of service for nonpayment during such time as any resident of a dwelling to which such service is furnished is seriously ill, if the fact of such serious illness is certified to such company, ELECTRIC SUPPLIER or municipal utility by a registered physician within such period of time after the mailing of a termination notice pursuant to subsection (a) of this section as the Department of Public Utility Control may by regulation establish, provided the customer agrees to amortize the unpaid balance of his account over a reasonable period of time and keeps current his account for utility service as charges accrue in each subsequent billing period.

(c) No such company, ELECTRIC SUPPLIER or municipal utility shall effect termination of service to a residential dwelling for nonpayment during the pendency of any complaint, investigation, hearing or appeal, initiated by a customer within such period of time after the mailing of a termination notice pursuant to subsection (a) of this section as said Department of Public Utility Control may by regulation establish; provided, any telephone company during the pendency of any complaint, investigation, hearing or appeal may terminate telephone service if the amount of charges accruing and outstanding subsequent to the initiation of any complaint, investigation, hearing or appeal exceeds on a

monthly basis the average monthly bill for the previous three months or if the customer fails to keep current his telephone account for all undisputed charges or fails to comply with any amortization agreement as hereafter provided.

(d) Any customer who has initiated a complaint or investigation under subsection (c) of this section shall be given an opportunity for review of such complaint or investigation by a review officer of the company, ELECTRIC SUPPLIER or municipal utility other than a member of such company's, ELECTRIC SUPPLIER'S or municipal utility's credit department, provided the Department of Public Utility Control may waive this requirement for any company, ELECTRIC SUPPLIER or municipal utility employing fewer than twenty-five full-time employees, which review shall include consideration of whether the customer should be permitted to amortize the unpaid balance of his account over a reasonable period of time. No termination shall be effected for any customer complying with any such amortization agreement, provided such customer also keeps current his account for utility service as charges accrue in each subsequent billing period.

(e) Any customer whose complaint or request for an investigation has resulted in a determination by a company, ELECTRIC SUPPLIER or municipal utility which is adverse to him may appeal such determination to the Department of Public Utility Control or a hearing officer appointed by the department.

(f) If, following the receipt of a termination notice or the entering into of an amortization agreement, the customer makes a payment or payments amounting to twenty per cent of the balance due, the public service company OR ELECTRIC SUPPLIER shall not terminate service without giving notice to the customer, in accordance with the provisions of this section, of the conditions the customer must meet to avoid termination, but such subsequent notice shall not entitle such customer to further investigation, review or appeal by the company, ELECTRIC SUPPLIER, municipal utility or department.

Sec. 40. Section 16-262e of the general statutes is repealed and the following is substituted in lieu thereof:

(a) Notwithstanding the provisions of section 16-262d, AS AMENDED BY THIS ACT, wherever an owner, agent, lessor or manager of a residential dwelling is billed directly by an electric, ELECTRIC DISTRIBUTION, gas, telephone or water [public service] company or by a municipal utility for utility service furnished to such building not occupied exclusively by such owner, agent, lessor, or manager, and such company or municipal utility OR THE ELECTRIC SUPPLIER PROVIDING ELECTRIC GENERATION SERVICES has actual or constructive knowledge that the occupants of such dwelling are not the [persons] INDIVIDUALS to whom the company or municipal utility usually sends its bills, such company, ELECTRIC SUPPLIER or municipal utility shall not terminate such service for nonpayment of a delinquent account owed to such company, ELECTRIC SUPPLIER or municipal utility by such owner, agent, lessor or manager unless: (1) Such company, ELECTRIC SUPPLIER or municipal utility

makes a good faith effort to notify the occupants of such building of the proposed termination by the means most practicable under the circumstances and best designed to provide actual notice; and (2) such company, ELECTRIC SUPPLIER or municipal utility provides an opportunity, where practicable, for such occupants to receive service in their own names without any liability for the amount due while service was billed directly to the lessor, owner, agent or manager and without the necessity for a security deposit; provided, if it is not practicable for such occupants to receive service in their own names, the company, ELECTRIC SUPPLIER or municipal utility shall not terminate service to such residential dwelling but may pursue the remedy provided in section 16-262f, AS AMENDED BY THIS ACT.

(b) Whenever a company, ELECTRIC SUPPLIER or municipal utility has terminated service to a residential dwelling whose occupants are not the [persons] INDIVIDUALS to whom it usually sends its bills, such company, ELECTRIC SUPPLIER or municipal utility shall, upon obtaining knowledge of such occupancy, immediately reinstate service and thereafter not effect termination unless it first complies with the provisions of subsection (a) OF THIS SECTION.

(c) The owner, agent, lessor or manager of a residential dwelling shall be liable for the costs of all electricity, gas, water or heating fuel furnished by a public service company, ELECTRIC SUPPLIER, municipal utility or heating fuel dealer to the building, except for any service furnished to any dwelling unit of the building on an individually metered or billed basis for the exclusive use of the occupants of that dwelling unit. If service is not provided on an individually metered or billed basis and the owner, agent, lessor or manager fails to pay for such service, any occupant who receives service in his own name may deduct, in accordance with the provisions of subsection (d) of this section, a reasonable estimate of the cost of any portion of such service which is for the use of occupants of dwelling units other than such occupant's dwelling unit.

(d) Any payments made by the occupants of any residential dwelling pursuant to subsection (a) or (c) of this section shall be deemed to be in lieu of an equal amount of rent or payment for use and occupancy and each occupant shall be permitted to deduct such amounts from any sum of rent or payment for use and occupancy due and owing or to become due and owing to the owner, agent, lessor or manager.

(e) Wherever a company, ELECTRIC SUPPLIER or municipal utility provides service pursuant to subdivision (2) of subsection (a), the company, ELECTRIC SUPPLIER or municipal utility shall notify each occupant of such building in writing that service will be provided in the occupant's own name. Such writing shall contain a conspicuous notice in boldface type stating,

"NOTICE TO OCCUPANT. YOU MAY DEDUCT THE FULL AMOUNT YOU PAY (name of company or municipal utility) FOR (type of service) FROM THE MONEY YOU PAY YOUR LANDLORD OR HIS AGENT."

(f) The owner, agent, lessor or manager shall not increase the amount paid by such occupant for

rent or for use and occupancy in order to collect all or part of that amount lawfully deducted by the occupant pursuant to this section.

(g) Nothing in this section shall be construed to prevent the company, ELECTRIC SUPPLIER, municipal utility, heating fuel dealer or occupant from pursuing any other action or remedy at law or equity that it may have against the owner, agent, lessor, or manager.

Sec. 41. Subsection (a) of section 16-262f of the general statutes is repealed and the following is substituted in lieu thereof:

(a) Upon default of the owner, agent, lessor or manager of a residential dwelling who is billed directly by an electric, ELECTRIC DISTRIBUTION, gas, telephone or water company or by a municipal utility for utility service furnished to such building, such company or municipal utility OR ELECTRIC SUPPLIER PROVIDING ELECTRIC GENERATION SERVICES may petition the Superior Court or a judge thereof, for appointment of a receiver of the rents or payments for use and occupancy for any dwelling for which the owner, agent, lessor or manager is in default. The court or judge shall forthwith issue an order to show cause why a receiver should not be appointed, which shall be served upon the owner, agent, lessor or manager or his agent in a manner most reasonably calculated to give notice to such owner, agent, lessor or manager as determined by such court or judge, including, but not limited to, a posting of such order on the premises in question. A hearing shall be had on such order no later than seventy-two hours after its issuance or the first court day thereafter. The sole purpose of such a hearing shall be to determine whether there is an amount due and owing between the owner, agent, lessor or manager and the company, ELECTRIC SUPPLIER or municipal utility. The court shall make a determination of any amount due and owing and any amount so determined shall constitute a lien upon the real property of such owner. A certificate of such amount may be recorded in the land records of the town in which such property is located describing the amount of the lien and the name of the party in default. When the amount due and owing has been paid the company, ELECTRIC SUPPLIER or municipality shall issue a certificate discharging the lien and shall file the certificate in the land records of the town in which such lien was recorded. The receiver appointed by the court shall collect all rents or payments for use and occupancy forthcoming from the occupants of the building in question in place of the owner, agent, lessor or manager. The receiver shall pay the petitioner or other supplier, from such rents or payments for use and occupancy, for electric, gas, telephone, water or heating oil supplied on and after the date of his appointment. The owner, agent, lessor or manager shall be liable for such reasonable fees and costs determined by the court to be due the receiver, which fees and costs may be recovered from the rents or payments for use and occupancy under the control of the receiver, provided no such fees or costs shall be recovered until after payment for current electric, gas, telephone and water service and heating oil deliveries has been made. The owner, agent, lessor or manager shall be liable to

the petitioner for reasonable attorney's fees and costs incurred by the petitioner, provided no such fees or costs shall be recovered until after payment for current electric, gas, telephone and water service and heating oil deliveries has been made and after payments of reasonable fees and costs to the receiver. Any moneys from rental payments or payments for use and occupancy remaining after payment for current electric, gas, telephone and water service or heating oil deliveries, and after payment for reasonable costs and fees to the receiver, and after payment to the petitioner for reasonable attorney's fees and costs, shall be applied to any arrearage found by the court to be due and owing the company, ELECTRIC SUPPLIER or municipal utility from the owner, agent, lessor or manager for service provided such building. Any moneys remaining thereafter shall be turned over to the owner, agent, lessor or manager. The court may order an accounting to be made at such times as it determines to be just, reasonable, and necessary.

Sec. 42. Section 16-262i of the general statutes is repealed and the following is substituted in lieu thereof:

(a) The Department of Public Utility Control shall adopt regulations necessary to carry out the purposes of sections 16-262c to 16-262h, inclusive, AS AMENDED BY THIS ACT.

(b) The department may adopt regulations in accordance with the provisions of chapter 54, setting forth the terms and conditions under which electric, ELECTRIC DISTRIBUTION, gas, telephone and water [public service] companies, ELECTRIC SUPPLIERS and municipal utilities furnishing electric, gas or water service may be prohibited from terminating service to a residential dwelling on account of nonpayment of a delinquent account in the name of the former spouse or spouse of the [person] INDIVIDUAL who occupies the dwelling, if the marriage of such [persons] INDIVIDUALS has been dissolved or annulled or such [persons] INDIVIDUALS are legally separated or have an action for dissolution or annulment of a marriage or for legal separation pending, pursuant to chapter 815j.

Sec. 43. (NEW) On and after January 1, 2000, each electric supplier, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, shall give a credit for any electricity generated by a residential customer from a Class I renewable energy source or a hydropower facility as described in subdivision (27) of section 16-1, as amended by section 1 of this act. The electric distribution company providing electric distribution services to such a customer shall make such interconnections necessary to accomplish such purpose. An electric distribution company, at the request of any residential customer served by such company and if necessary to implement the provisions of this section, shall provide for the installation of metering equipment that (1) measures electricity consumed by such customer from the facilities of the electric distribution company, (2) deducts from the measurement the amount of electricity produced by the customer and not consumed by the customer, and (3) registers, for each billing period, the net amount of electricity either (i)

consumed and produced by the customer, or (ii) the net amount of electricity produced by the customer. A residential customer who generates electricity pursuant to the provisions of this section shall be assessed for the competitive transition assessment, pursuant to section 11 of this act, and the systems benefits charge, pursuant to section 16 of this act, based on the amount of electricity consumed by the customer from the facilities of the electric distribution company without netting any electricity produced by the customer. For purposes of this section, "residential customer" means a customer of a single family dwelling or multifamily dwelling consisting of two to four units.

Sec. 44. (NEW) (a) For purposes of this section, "renewable energy" means solar energy, wind, ocean thermal energy, wave or tidal energy, fuel cells, landfill gas and low emission advanced biomass conversion technologies and other energy resources and emerging technologies which have significant potential for commercialization and which do not involve the combustion of coal, petroleum or petroleum products, municipal solid waste or nuclear fission.

(b) On and after January 1, 2000, the Department of Public Utility Control shall assess or cause to be assessed a charge of not less than one-half of one mill per kilowatt hour charged to each end use customer of electric services in this state which shall be deposited into the Renewable Energy Investment Fund established under subsection (b) of this section. On and after July 1, 2002, such charge shall be three-quarters of one mill and on and after July 1, 2004, such charge shall be one mill.

(c) There is hereby created a Renewable Energy Investment Fund which shall be administered by Connecticut Innovations, Incorporated. The fund may receive any amount required by law to be deposited into the fund and may receive any federal funds as may become available to the state for renewable energy investments. Connecticut Innovations, Incorporated, may use any amount in said fund for expenditures which promote investment in renewable energy sources in accordance with a comprehensive plan developed by it to foster the growth, development and commercialization of renewable energy sources, related enterprises and stimulate demand for renewable energy and deployment of renewable energy sources which serve end use customers in this state. Such expenditures may include, but not be limited to, grants, direct or equity investments, contracts or other actions which support research, development, manufacture, commercialization, deployment and installation of renewable energy technologies, and actions which expand the expertise of individuals, businesses and lending institutions with regard to renewable energy technologies.

(d) The chairperson of the board of directors of Connecticut Innovations, Incorporated, shall convene a Renewable Energy Investments Advisory Committee to assist Connecticut Innovations, Incorporated, in matters related to the Renewable Energy Investment Fund, including, but not limited to, development of a comprehensive plan and expenditure of funds. The advisory committee shall

include not more than twelve individuals with knowledge and experience in matters related to the purpose and activities of said fund. The advisory committee shall consist of the following members: (1) One person with expertise regarding renewable energy resources appointed by the speaker of the House of Representatives; (2) one person representing a state or regional organization primarily concerned with environmental protection appointed by the president pro tempore of the Senate; (3) one person with experience in business or commercial investments appointed by the majority leader of the House of Representatives; (4) one person representing a state or regional organization primarily concerned with environmental protection appointed by the majority leader of the Senate; (5) one person with experience in business or commercial investments appointed by the minority leader of the House of Representatives; (6) one person with experience in business or commercial investments appointed by the minority leader of the Senate; (7) two state officials with experience in matters relating to energy policy and one person with expertise regarding renewable energy resources appointed by the Governor; and (8) three persons with experience in business or commercial investments appointed by the board of directors of Connecticut Innovations, Incorporated. The advisory committee shall issue annually a report to such chairperson reviewing the activities of the fund in detail and shall provide a copy of such report to the joint standing committee of the General Assembly having cognizance of matters relating to energy.

Sec. 45. Subdivision (57) of section 12-81 of the general statutes is repealed and the following is substituted in lieu thereof:

(57) (a) Subject to authorization of the exemption by ordinance in any municipality, any [solar energy electricity generating system] CLASS I RENEWABLE ENERGY SOURCE, AS DEFINED IN SECTION 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, OR ANY HYDROPOWER FACILITY DESCRIBED IN SUBDIVISION (27) OF SAID SECTION 16-1, installed for the generation of electricity for private residential use, provided such installation occurs on or after October 1, 1977, AND FURTHER PROVIDED SUCH INSTALLATION IS FOR A SINGLE FAMILY DWELLING OR MULTIFAMILY DWELLING CONSISTING OF TWO TO FOUR UNITS; [, and before October 1, 2006. This exemption shall only be applicable in the first fifteen assessment years following the installation of such system;

(b) As used in this subdivision, "solar energy electricity generating system" means equipment which is designed, operated and installed as a system at any private residential location, which utilizes solar energy to produce electricity for consumption at such location and which meets standards established by regulation, in accordance with the provisions of chapter 54, by the Secretary of the Office of Policy and Management;]

[(c)] (b) Any person claiming the exemption provided in this subdivision for any assessment year shall, on or before the first day of November in such assessment year, file with the assessor or board of assessors in the town in which such [solar energy electricity generating system] CLASS I RENEWABLE ENERGY SOURCE is located, written

application claiming such exemption. Failure to file such application in the manner and form as provided by such assessor or board within the time limit prescribed shall constitute a waiver of the right to such exemption for such assessment year. Such application shall not be required for any assessment year following that for which the initial application is filed, provided if such [solar energy electricity generating system] CLASS I RENEWABLE ENERGY SOURCE is altered in a manner which would require a building permit, such alteration shall be deemed a waiver of the right to such exemption until a new application, applicable with respect to such altered [system] SOURCE, is filed and the right to such exemption is established as required initially.

Sec. 46. (NEW) (a) Each electric company, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, electric distribution company, as defined in said section 16-1, and generation entity or affiliate shall maintain and update regularly a roster of employees terminated as a direct result of restructuring of the electric industry. Such roster shall include each such employee's name, address, job title and job description at the time of termination. At the time of termination, the employer shall ask the employee if the employee wants to be included in the roster. After obtaining the permission of each such employee, the company shall provide the Department of Public Utility Control with a copy of the roster. In no event shall the information concerning any employee be added to the roster without the permission of the employee.

(b) The Department of Public Utility Control shall forward the roster to each electric company, electric distribution company, generation entity or affiliate and electric supplier, as defined in section 16-1 of the general statutes, as amended by section 1 of this act. Such roster may be used by each such company or supplier in mitigating costs.

(c) The Department of Public Utility Control shall forward to each employee whose name appears on a roster submitted pursuant to subsection (a) of this section a list containing the name and business address of each electric supplier.

Sec. 47. (NEW) (a) On and after July 1, 1998, there shall be allowed a credit against the tax imposed under chapter 208 of the general statutes on any electric supplier in the state other than a generation entity or affiliate of an electric company in an amount as provided in subsection (b) of this section with respect to each displaced worker hired by such electric supplier.

(b) The amount of the credit shall be one thousand five hundred dollars with respect to each displaced worker and shall be allowed in the income year in which such displaced worker first completes six full months of full-time employment with the taxpayer.

(c) The amount of credit allowed any taxpayer under this section for any income year shall not exceed the amount of tax due from such taxpayer under this chapter with respect to such income year. The credit allowed under this section shall be taken only once with respect to any displaced worker.

(d) For the purposes of this section (1) "displaced worker" means any Connecticut employee, other than an officer or a director, of an electric company, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, or a generation entity or affiliate who has been terminated as a direct result of restructuring of the electric industry, and (2) "electric supplier" means a facility that provides electric generation services, as defined in said section 16-1.

Sec. 48. (NEW) (a) As used in this section:

(1) "Municipality" means each town, city, borough, consolidated town and city and consolidated town and borough and each district, as defined in section 7-324 of the general statutes; and

(2) "Next succeeding" means the second such date.

(b) For a period of ten years beginning with the assessment year during which the value of an electric generation facility decreases as a direct result of restructuring of the electric industry, but in no event later than October 1, 2005, the municipality in which the facility is located shall be entitled, in addition to the amount of tax for which the owner of an electric generation facility is liable under chapter 203 of the general statutes with respect to such facility, to an amount as computed in subsection (c) of this section.

(c) (1) The additional amount shall be a percentage of (A) the difference between the value of an electric generation facility as it would have been assessed were it not for said restructuring taking into account depreciation and the assessed value of such facility (B) multiplied by the mill rate of the municipality in which the facility is located for the applicable assessment year, (C) minus the amount of any increase in property tax revenues to such municipality as a result of any increase in value of the facility or an additional electric generation facility in the municipality.

(2) The assessor or board of assessors shall calculate the additional amount as follows: (A) For the assessment year during which the value of such facility decreased as a direct result of said restructuring, ninety per cent of the amount computed under subdivision (1) of this subsection; and (B) for each assessment year thereafter, ten per cent less for each succeeding year until the percentage is zero.

(d) On or before June fifteenth, annually, following the assessment year during which the value of an electric generation facility decreases as a direct result of restructuring of the electric industry, the assessor or board of assessors of a municipality in which such a facility is located shall certify to the Secretary of the Office of Policy and Management, on a form furnished by the secretary, the amount as computed in subsection (c) of this section together with supporting information as the secretary may require. The secretary may reevaluate any such facility when, in his judgment, the valuation is inaccurate. The secretary shall review each claim and modify the value of any facility included therein when, in his judgment, the value is

inaccurate or the facility did not decrease in value as a direct result of restructuring of the electric industry. Not later than December first next succeeding the conclusion of the assessment year for which the amount was approved by the assessor or assessors, the secretary shall notify the municipality in which the facility is located of the modification, in accordance with the procedure set forth in subsection (e) of this section. The secretary shall, on or before December fifteenth, annually, certify to the Department of Public Utility Control the amount due the municipality under the provisions of this section, including any modification of such amount made prior to December first, and the department shall order the payment of such amount by the appropriate electric distribution company to the municipality in which the facility is located on or before the thirty-first day of the December immediately following. The amount paid shall be recovered by the electric distribution company through the systems benefits charge established pursuant to section 18 of this act. If any modification is made as the result of the provisions of this section on or after the December fifteenth following the date on which the assessor has provided the amount in question, any adjustments to the amount due to a municipality for the period for which such modification was made shall be made in the next payment the electric distribution company shall make to such municipality pursuant to this section.

(e) If the Secretary of the Office of Policy and Management modifies the amount calculated by the assessor or board of assessors pursuant to subsection (c) of this section, the secretary shall send written notice of such modification to the appropriate municipality. Not later than thirty days after the date the municipality receives such notice, the municipality may make application for a hearing before said secretary, or his designee. Such application shall be in writing and shall set forth the reasons why the amount in question should not be modified. The secretary shall grant or deny such hearing request by written notice to the municipality. If a request for hearing is denied by the secretary such notice shall contain a statement of the reason for said denial. Not later than sixty days after the date on which a hearing is held, said secretary shall send notice of his decision concerning such appeal to the municipality. If the municipality is aggrieved by the secretary's decision concerning the disposition of the municipality's appeal or the secretary's decision not to hold a hearing, such municipality may, not later than thirty days after receiving a notice related thereto from the secretary, make application in the nature of an appeal to the superior court of the judicial district in which the electric generation facility is located. Such application shall be accompanied by a citation to the secretary to appear before said court, and shall be served and returned in the same manner as is required in the case of a summons in a civil action. Said court may grant such relief as may be equitable.

Sec. 49. Subsection (a) of section 16-50k of the general statutes is repealed and the following

is substituted in lieu thereof:

(a) Except as provided in subsection (b) of section 16-50z, no person shall exercise any right of eminent domain in contemplation of, commence the preparation of the site for, or commence the construction or supplying of a facility, or any modification of a facility, that may, as determined by the council, have a substantial adverse environmental effect, in the state without having first obtained a certificate of environmental compatibility and public need, hereinafter referred to as a "certificate", issued with respect to such facility or modification by the council. Any facility with respect to which a certificate is required shall thereafter be built, maintained and operated in conformity with such certificate and any terms, limitations or conditions contained therein. NOTWITHSTANDING THE PROVISIONS OF THIS SUBSECTION, THE COUNCIL SHALL, IN THE EXERCISE OF ITS JURISDICTION OVER THE SITING OF GENERATING FACILITIES, APPROVE BY DECLARATORY RULING THE CONSTRUCTION OF A FACILITY SOLELY FOR THE PURPOSE OF GENERATING ELECTRICITY OTHER THAN AN ELECTRIC GENERATING FACILITY THAT USES NUCLEAR MATERIALS OR COAL AS FUEL, AT A SITE WHERE AN ELECTRIC GENERATING FACILITY OPERATED PRIOR TO JULY 1, 1998, UNLESS THE COUNCIL FINDS A SUBSTANTIAL ADVERSE ENVIRONMENTAL EFFECT.

Sec. 50. Section 16-50p of the general statutes is repealed and the following is substituted in lieu thereof:

(a) In a certification proceeding, the council shall render a decision upon the record either granting or denying the application as filed, or granting it upon such terms, conditions, limitations or modifications of the construction or operation of the facility as the council may deem appropriate. The council's decision shall be rendered within twelve months of the filing of an application concerning a facility described in [subdivisions (1) to (3), inclusive,] SUBDIVISION (1) OR (2) of subsection (a) of section 16-50i or subdivision (4) of said subsection (a) if the application was incorporated in an application concerning a facility described in subdivision (1) of said subsection (a), and within one hundred eighty days of the filing of any other application concerning a facility described in subdivision (4) of said subsection (a) and an application concerning a facility described in [subdivisions (5) and] SUBDIVISION (3), (5) OR (6) of said subsection (a), provided such time periods may be extended by the council by not more than one hundred eighty days with the consent of the applicant. The council shall file, with its order, an opinion stating in full its reasons for the decision. [The] EXCEPT AS PROVIDED IN SUBSECTION (c) OF THIS SECTION, THE council shall not grant a certificate, either as proposed or as modified by the council, unless it shall find and determine: (1) A public need for the facility and the basis of the need; (2) the nature of the probable environmental impact, including a specification of every significant adverse effect, whether alone or cumulatively with other effects, on, and conflict with the policies of the state concerning, the natural environment, ecological balance, public health and safety, scenic, historic and recreational values, forests and parks, air and

water purity and fish and wildlife; (3) why the adverse effects or conflicts referred to in subdivision (2) of this subsection are not sufficient reason to deny the application; (4) in the case of an electric transmission line, (A) what part, if any, of the facility shall be located overhead, (B) that the facility conforms to a long-range plan for expansion of the electric power grid of the electric systems serving the state and interconnected utility systems and will serve the interests of electric system economy and reliability, and (C) that the overhead portions of the facility, if any, are cost effective and the most appropriate alternative based on a life-cycle cost analysis of the facility and underground alternatives to such facility, and are consistent with the purposes of this chapter, with such regulations as the council may adopt pursuant to subsection (a) of section 16-50t, and with the Federal Power Commission "Guidelines for the Protection of Natural Historic Scenic and Recreational Values in the Design and Location of Rights-of-Way and Transmission Facilities" or any successor guidelines and any other applicable federal guidelines; (5) in the case of an electric or fuel transmission line, that the location of the line will not pose an undue hazard to persons or property along the area traversed by the line.

(b) (1) Prior to granting an applicant's certificate for a facility described in subdivision (5) or (6) of section 16-50i, the council shall examine, in addition to its consideration of subdivisions (1) to (5), inclusive, of subsection (a) of this section: (A) The feasibility of requiring an applicant to share an existing facility, as defined in subsection (b) of section 16-50aa, within a technically derived search area of the site of the proposed facility, provided such shared use is technically, legally, environmentally and economically feasible and meets public safety concerns, (B) whether such facility, if constructed, may be shared with any public or private entity which provides telecommunications or community antenna television service to the public, provided such shared use is technically, legally, environmentally and economically feasible at fair market rates, meets public safety concerns, and the parties' interests have been considered and (C) whether the proposed facility would be located in an area of the state which the council, in consultation with the Department of Environmental Protection and any affected municipalities, finds to be a relatively undisturbed area that possesses scenic quality of local, regional or state-wide significance. The council may deny an application for a certificate if it determines that (i) shared use under the provisions of subparagraph (A) of this subdivision is feasible, (ii) the applicant would not cooperate relative to the future shared use of the proposed facility, or (iii) the proposed facility would substantially affect the scenic quality of its location and no public safety concerns require that the proposed facility be constructed in such a location.

(2) When issuing a certificate for a facility described in subdivision (5) or (6) of subsection (a) of section 16-50i, the council may impose such reasonable conditions as it deems necessary to

promote immediate and future shared use of such facilities and avoid the unnecessary proliferation of such facilities in the state. The council shall, prior to issuing a certificate, provide notice of the proposed facility to the municipality in which the facility is to be located. Upon motion of the council, written request by a public or private entity which provides telecommunications or community antenna television service to the public or upon written request by an interested party, the council may conduct a preliminary investigation to determine whether the holder of a certificate for such a facility is in compliance with the certificate. Following its investigation, the council may initiate a certificate review proceeding, which shall include a hearing, to determine whether the holder of a certificate for such a facility is in compliance with the certificate. In such proceeding, the council shall render a decision and may issue orders which it deems necessary to compel compliance with the certificate, which orders may include, but not be limited to, revocation of the certificate. Such orders may be enforced in accordance with the provisions of section 16-50u.

(c) (1) THE COUNCIL SHALL NOT GRANT A CERTIFICATE FOR A FACILITY DESCRIBED IN SUBDIVISION (3) OF SUBSECTION (a) OF SECTION 16-50i, EITHER AS PROPOSED OR AS MODIFIED BY THE COUNCIL, UNLESS IT FINDS AND DETERMINES: (A) A PUBLIC BENEFIT FOR THE FACILITY; (B) THE NATURE OF THE PROBABLE ENVIRONMENTAL IMPACT, INCLUDING A SPECIFICATION OF EVERY SIGNIFICANT ADVERSE AND BENEFICIAL EFFECT THAT, WHETHER ALONE OR CUMULATIVELY WITH OTHER EFFECTS, CONFLICTS WITH THE POLICIES OF THE STATE CONCERNING THE NATURAL ENVIRONMENT, ECOLOGICAL BALANCE, PUBLIC HEALTH AND SAFETY, SCENIC, HISTORIC AND RECREATIONAL VALUES, FORESTS AND PARKS, AIR AND WATER PURITY AND FISH AND WILDLIFE; AND (C) WHY THE ADVERSE EFFECTS OR CONFLICTS REFERRED TO IN SUBPARAGRAPH (B) OF THIS SUBDIVISION ARE NOT SUFFICIENT REASON TO DENY THE APPLICATION. FOR PURPOSES OF SUBPARAGRAPH (A) OF THIS SUBDIVISION, A PUBLIC BENEFIT EXISTS IF SUCH A FACILITY IS NECESSARY FOR THE RELIABILITY OF THE ELECTRIC POWER SUPPLY OF THE STATE OR FOR A COMPETITIVE MARKET FOR ELECTRICITY.

(2) THE COUNCIL SHALL NOT GRANT A CERTIFICATE FOR A FACILITY DESCRIBED IN SUBDIVISION (1) OF SUBSECTION (a) OF SECTION 16-50i WHICH IS SUBSTANTIALLY UNDERGROUND OR UNDERWATER EXCEPT WHERE SUCH FACILITIES INTERCONNECT WITH EXISTING OVERHEAD FACILITIES, EITHER AS PROPOSED OR AS MODIFIED BY THE COUNCIL, UNLESS IT FINDS AND DETERMINES: (A) A PUBLIC BENEFIT FOR THE FACILITY; (B) THE NATURE OF THE PROBABLE ENVIRONMENTAL IMPACT, INCLUDING A SPECIFICATION OF EVERY SINGLE ADVERSE AND BENEFICIAL EFFECT THAT, WHETHER ALONE OR CUMULATIVELY WITH OTHER EFFECTS, CONFLICT WITH THE POLICIES OF THE STATE CONCERNING THE NATURAL ENVIRONMENT, ECOLOGICAL BALANCE, PUBLIC HEALTH AND SAFETY, SCENIC, HISTORIC AND RECREATIONAL VALUES, FORESTS AND PARKS, AIR AND PURITY AND FISH AND WILDLIFE; (C) WHY THE ADVERSE EFFECTS OR CONFLICTS REFERRED TO IN SUBPARAGRAPH (B) OF THIS SUBDIVISION ARE NOT SUFFICIENT REASON TO DENY THE APPLICATION; (D) IN THE CASE OF A NEW ELECTRIC TRANSMISSION LINE, (i) WHAT PART, IF ANY, OF THE

FACILITY SHALL BE LOCATED OVERHEAD, (ii) THAT THE FACILITY CONFORMS TO A LONG-RANGE PLAN FOR EXPANSION OF THE ELECTRIC POWER GRID OF THE ELECTRIC SYSTEMS SERVING THE STATE AND INTERCONNECTED UTILITY SYSTEMS AND WILL SERVE THE INTERESTS OF ELECTRIC SYSTEM ECONOMY AND RELIABILITY, AND (iii) THAT THE OVERHEAD PORTIONS OF THE FACILITY, IF ANY, ARE COST-EFFECTIVE AND THE MOST APPROPRIATE ALTERNATIVE BASED ON A LIFE-CYCLE COST ANALYSIS OF THE FACILITY AND UNDERGROUND ALTERNATIVES TO SUCH FACILITY AND ARE CONSISTENT WITH THE PURPOSES OF THIS CHAPTER, WITH SUCH REGULATIONS AS THE COUNCIL MAY ADOPT PURSUANT TO SUBSECTION (a) OF SECTION 16-50t, AND WITH THE FEDERAL ENERGY REGULATORY COMMISSION "GUIDELINES FOR THE PROTECTION OF NATURAL HISTORIC SCENIC AND RECREATIONAL VALUES IN THE DESIGN AND LOCATION OF RIGHTS-OF-WAY AND TRANSMISSION FACILITIES" OR ANY OTHER SUCCESSOR GUIDELINES AND ANY OTHER APPLICABLE FEDERAL GUIDELINES; AND (E) IN THE CASE OF AN ELECTRIC OR FUEL TRANSMISSION LINE, THAT THE LOCATION OF THE LINE WILL NOT POSE AN UNDUE HAZARD TO PERSONS OR PROPERTY ALONG THE AREA TRAVERSED BY THE LINE. FOR PURPOSES OF SUBPARAGRAPH (A) OF THIS SUBDIVISION, A PUBLIC BENEFIT EXISTS IF SUCH A FACILITY IS NECESSARY FOR THE RELIABILITY OF THE ELECTRIC POWER SUPPLY OF THE STATE OR FOR THE DEVELOPMENT OF A COMPETITIVE MARKET FOR ELECTRICITY.

[(c)] (d) If the council determines that the location of all or a part of the proposed facility should be modified, it may condition the certificate upon such modification, provided the municipalities, and persons residing or located in such municipalities, affected by the modification shall have had notice of the application as provided in subsection (b) of section 16-50l.

[(d)] (e) In an amendment proceeding, the council shall render a decision within ninety days of the filing of the application or adoption of the resolution initiating the proceeding. The council shall file an opinion with its order stating its reasons for the decision. The council's decision shall include the findings and determinations enumerated in subsection (a) of this section which are relevant to the proposed amendment.

[(e)] (f) A copy of the order and opinion issued therewith shall be served upon each party and a notice of the issuance of the order and opinion shall be published in such newspapers as will serve substantially to inform the public of the issuance of such order and opinion. The name and address of each party shall be set forth in the order.

[(f)] (g) In making its decision as to whether or not to issue a certificate, the council shall in no way be limited by the fact that the applicant may already have acquired land or an interest therein for the purpose of constructing the facility which is the subject of its application.

Sec. 51. Section 7-217 of the general statutes is repealed and the following is substituted in lieu thereof:

Any municipality establishing or purchasing a plant as provided by this chapter, [or] reconstructing, extending or enlarging the same, as provided in section 7-218, OR PAYING OR

LIQUIDATING OBLIGATIONS INCURRED PURSUANT TO ANY POWER PURCHASE CONTRACT ENTERED INTO BY OR ON BEHALF OF SUCH MUNICIPALITY, may pay for the same by an issue of bonds, payable in a term not exceeding thirty years, which shall not be disposed of at less than par, but such bonds shall not be issued until a vote authorizing the same has been passed by the town or borough or the common council of the city. No indebtedness shall be incurred by any municipality in connection with such plant except as provided in this section, provided money may be borrowed temporarily to pay the running expenses thereof and may be borrowed in accordance with section 7-217a. All receipts from the sale of gas or electricity shall be paid over to the treasurer of such municipality. The gross expenses of running such plant and conducting such business of supplying gas or electricity, including interest on such bonds and the requirements of the sinking fund, if such a fund has been provided for the payment of such bonds, shall be included in the appropriations made annually or from time to time by such municipality and shall be paid out of the treasury thereof. For the purposes of this chapter, the proceeds of any notes issued pursuant to section 7-217a for the purpose of purchasing capacity or energy shall be considered income of the plant operated pursuant to this chapter by the municipality issuing such notes and shall be applicable against the expenses related to such plant.

Sec. 52. Section 16-19e of the general statutes is repealed and the following is substituted in lieu thereof:

(a) In the exercise of its powers under the provisions of this title, the Department of Public Utility Control shall examine and regulate the transfer of existing assets and franchises, the expansion of the plant and equipment of existing public service companies, the operations and internal workings of public service companies and the establishment of the level and structure of rates in accordance with the following principles: (1) That there is a clear public need for the service being proposed or provided; (2) that the public service company shall be fully competent to provide efficient and adequate service to the public in that such company is technically, financially and managerially expert and efficient; (3) that the department and all public service companies shall perform all of their respective public responsibilities with economy, efficiency and care for the public safety, and so as to promote economic development within the state with consideration for energy and water conservation, energy efficiency and the development and utilization of renewable sources of energy and for the prudent management of the natural environment; (4) that the level and structure of rates be sufficient, but no more than sufficient, to allow public service companies to cover their operating and capital costs, to attract needed capital and to maintain their financial integrity, and yet provide appropriate protection to the relevant public interests, both existing and foreseeable; (5) that the level and structure of rates charged customers shall reflect prudent and efficient management of the franchise operation and (6) that

the rates, charges, conditions of service and categories of service of the companies not discriminate against customers which utilize renewable energy sources or cogeneration technology to meet a portion of their energy requirements.

(b) The Department of Public Utility Control shall promptly undertake a separate, general investigation of, and shall hold at least one public hearing on new pricing principles and rate structures for electric companies and for gas companies to consider, without limitation, long run incremental cost of marginal cost pricing, peak load or time of day pricing and proposals for optimizing the utilization of energy and restraining its wasteful use and encouraging energy conservation, and any other matter with respect to pricing principles and rate structures as the department shall deem appropriate. The department shall determine whether existing or future rate structures place an undue burden upon those persons of poverty status and shall make such adjustment in the rate structure as is necessary or desirable to take account of their indigency. The department shall require the utilization of such new principles and structures to the extent that the department determines that their implementation is in the public interest and necessary or desirable to accomplish the purposes of this provision without being unfair or discriminatory or unduly burdensome or disruptive to any group or class of customers, and determines that such principles and structures are capable of yielding required revenues. In reviewing the rates and rate structures of electric and gas companies, the department shall take into consideration appropriate energy policies, including those of the state as expressed in subsection (c) of this section. The authority shall issue its initial findings on such investigation by December 1, 1976, and its final findings and order by June 1, 1977; provided that after such final findings and order are issued, the department shall at least once every two years undertake such further investigations as it deems appropriate with respect to new developments or desirable modifications in pricing principles and rate structures and, after holding at least one public hearing thereon, shall issue its findings and order thereon.

(c) The Department of Public Utility Control shall consult at least once each year with the Commissioner of Environmental Protection, the Connecticut Siting Council and the Office of Policy and Management, so as to coordinate and integrate its actions, decisions and policies pertaining to gas and electric companies, so far as possible, with the actions, decisions and policies of said other agencies and instrumentalities in order to further the development and optimum use of the state's energy resources and conform to the greatest practicable extent with the state energy policy as stated in section 16a-35k, taking into account prudent management of the natural environment and continued promotion of economic development within the state. In the performance of its duties, the department shall take into consideration the energy policies of the state as expressed in this

subsection and in any annual reports prepared or filed by such other agencies and instrumentalities, and shall defer, as appropriate, to any actions taken by such other agencies and instrumentalities on matters within their respective jurisdictions.

(d) The Commissioner of Environmental Protection, the Commissioner of Economic and Community Development, the Connecticut Siting Council and the Office of Policy and Management shall be made parties to each proceeding on a rate amendment proposed by a gas, [or] electric OR ELECTRIC DISTRIBUTION company based upon an alleged need for increased revenues to finance an expansion of capital equipment and facilities, and shall participate in such proceedings to the extent necessary.

(e) THE DEPARTMENT OF PUBLIC UTILITY CONTROL, IN A PROCEEDING ON A RATE AMENDMENT PROPOSED BY AN ELECTRIC DISTRIBUTION COMPANY BASED UPON AN ALLEGED NEED FOR INCREASED REVENUES TO FINANCE AN EXPANSION OF THE CAPACITY OF ITS ELECTRIC DISTRIBUTION SYSTEM, SHALL DETERMINE WHETHER DEMAND-SIDE MANAGEMENT WOULD BE MORE COST-EFFECTIVE IN MEETING ANY DEMAND FOR ELECTRICITY FOR WHICH THE INCREASE IN CAPACITY IS PROPOSED.

[(e)] (f) The provisions of this section shall not apply to the regulation of a telecommunications service which is a competitive service, as defined in section 16-247a, or to a telecommunications service to which an approved plan for an alternative form of regulation applies, pursuant to section 16-247k.

Sec. 53. Subsection (a) of section 16-246f of the general statutes is repealed and the following is substituted in lieu thereof:

(a) As used in this section:

(1) "Assistance" means any aid or support provided, or any actions taken by a domestic electric company for or on behalf of another domestic electric company or by a foreign electric company for or on behalf of a domestic electric company including, without limitation, the temporary transfer or use of repair personnel and equipment;

(2) "Domestic electric company" means any electric COMPANY OR ELECTRIC DISTRIBUTION company, as defined in section 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, any membership electric cooperative organized under chapter 597 and any municipal electric utility or municipal electric energy cooperative, as defined respectively in section 7-233b, which has been chartered by or organized or constituted within or under the laws of this state;

(3) "Foreign electric company" shall have the same meaning as provided in section 16-246a.

Sec. 54. Section 12-264 of the general statutes is repealed and the following is substituted in lieu thereof:

(a) Each (1) Connecticut municipality or department or agency thereof, or Connecticut district, manufacturing, selling or distributing gas or electricity to be used for light, heat or power, in this chapter and in chapter 212a called a "municipal utility", (2) company the principal business of which is manufacturing, selling or distributing gas [, electricity] or steam to be

used for light, heat or power, including each foreign municipal electric utility, as defined in section 12-59 and given authority to engage in business in this state pursuant to the provisions of section 16-246c, and (3) company required to register pursuant to section 16-258a shall pay a quarterly tax upon gross earnings from such operations in this state. Gross earnings from such operations under subdivisions (1) and (2) of this subsection shall include (A) all income classified as operating revenues by the Department of Public Utility Control in the uniform systems of accounts prescribed by said department for operations within the taxable quarter and, with respect to each such company, (B) all income classified in said uniform systems of accounts as income from merchandising, jobbing and contract work, (C) income from nonutility operations, (D) revenues from lease of physical property not devoted to utility operation, and (E) receipts from the sale of residuals and other by-products obtained in connection with the production of gas, electricity or steam. Gross earnings from such operations under subdivision (3) of this subsection shall be gross income from the sales of natural gas. Gross earnings of a gas company, as defined in section 16-1, AS AMENDED BY THIS ACT, shall not include income earned in a taxable year commencing prior to January 1, 2000, from the sale of natural gas or propane as a fuel for a motor vehicle. No deductions shall be allowed from such gross earnings for any commission, rebate or other payment, except a refund resulting from an error or overcharge and those specifically mentioned in section 12-265. Gross earnings of a company as described in subdivision (2) of this subsection shall not include income earned in any taxable quarter commencing on or after July 1, 2000, from the sale of steam.

(b) Each such company and municipal utility shall, on or before the last day of January, April, July and October of each year, render to the Commissioner of Revenue Services under oath of its treasurer, or the person performing the duties of treasurer, or of an authorized agent or officer, a return on forms prescribed or furnished by the commissioner specifying (1) the name and location of such company or municipal utility, (2) the amount of gross earnings from operations for the quarter ending with the last day of the preceding month, (3) the gross earnings from the sale or rental of appliances using water, steam, gas or electricity and the cost of such appliances sold, cost to be interpreted as net invoice price plus transportation costs of such appliances, (4) the gross earnings from all sales for resale of water, steam, gas and electricity, whether or not the purchasers are public service corporations, municipal utilities, located in the state or subject to the tax imposed by this chapter, (5) the number of miles of water or steam pipes, gas mains or electric wires operated by such company or municipal utility within this state on the first day and on the last day of the calendar year immediately preceding, and (6) the number of miles of water or steam pipes, gas mains or electric wires wherever operated by such company or municipal utility on said dates. Gas pipeline and gas transmission companies which do not

manufacture or buy gas in this state for resale in this state shall be subject to the provisions of chapter 208 and shall not be subject to the provisions of this chapter and chapter 212a.

(c) (1) EACH ELECTRIC DISTRIBUTION COMPANY, AS DEFINED IN SECTION 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, PROVIDING ELECTRIC TRANSMISSION SERVICES, AS DEFINED IN SAID SECTION 16-1, OR ELECTRIC DISTRIBUTION SERVICES, AS DEFINED IN SAID SECTION 16-1, SHALL PAY A QUARTERLY TAX UPON ITS GROSS EARNINGS IN EACH CALENDAR QUARTER AT THE RATE OF (A) EIGHT AND ONE-HALF PER CENT OF ITS GROSS EARNINGS FROM PROVIDING ELECTRIC TRANSMISSION SERVICES OR ELECTRIC DISTRIBUTION SERVICES ALLOCABLE TO OTHER THAN RESIDENTIAL SERVICE AND (B) SIX AND EIGHT-TENTHS PER CENT OF SUCH GROSS EARNINGS FROM PROVIDING ELECTRIC TRANSMISSION SERVICES OR ELECTRIC DISTRIBUTION SERVICES ALLOCABLE TO RESIDENTIAL SERVICE.

(2) FOR PURPOSES OF THIS SUBSECTION, GROSS EARNINGS FROM PROVIDING ELECTRIC TRANSMISSION SERVICES OR ELECTRIC DISTRIBUTION SERVICES SHALL INCLUDE (A) ALL INCOME CLASSIFIED AS INCOME FROM PROVIDING ELECTRIC TRANSMISSION SERVICES OR ELECTRIC DISTRIBUTION SERVICES BY THE DEPARTMENT OF PUBLIC UTILITY CONTROL IN THE UNIFORM SYSTEM OF ACCOUNTS PRESCRIBED BY SAID DEPARTMENT AND (B) THE COMPETITIVE TRANSITION ASSESSMENT COLLECTED PURSUANT TO SECTION 10 OF THIS ACT, THE SYSTEMS BENEFITS CHARGE COLLECTED PURSUANT TO SECTION 18 OF THIS ACT, AND THE ASSESSMENTS CHARGED UNDER SECTIONS 33 AND 44 OF THIS ACT. SUCH GROSS EARNINGS SHALL NOT INCLUDE INCOME FROM PROVIDING ELECTRIC TRANSMISSION SERVICES OR ELECTRIC DISTRIBUTION SERVICES TO A COMPANY DESCRIBED IN SUBSECTION (c) OF SECTION 12-265.

(3) EACH ELECTRIC DISTRIBUTION COMPANY SHALL, ON OR BEFORE THE LAST DAY OF JANUARY, APRIL, JULY AND OCTOBER OF EACH YEAR, RENDER TO THE COMMISSIONER OF REVENUE SERVICES UNDER OATH OF ITS TREASURER, OR THE PERSON PERFORMING THE DUTIES OF TREASURER, OR OF AN AUTHORIZED AGENT OR OFFICER, A RETURN ON FORMS PRESCRIBED OR FURNISHED BY THE COMMISSIONER WITH SUCH OTHER INFORMATION AS THE COMMISSIONER OF REVENUE SERVICES DEEMS NECESSARY.

(d) THE TAX IMPOSED BY THIS CHAPTER IS DUE AND PAYABLE TO THE COMMISSIONER OF REVENUE SERVICES QUARTERLY ON OR BEFORE THE LAST DAY OF THE MONTH NEXT SUCCEEDING EACH CALENDAR QUARTER.

Sec. 55. Section 12-265 of the general statutes is repealed and the following is substituted in lieu thereof:

(a) As used in this section (1) with regard to electric power, "sales for resale" include (A) sales of electric power capacity, (B) power output from such capacity, and (C) all transmission charges in conjunction with such sales on or after May 17, 1982, and (2) "net invoice price" means invoice price less trade discounts.

(b) (1) Each company and municipal utility included in section 12-264, OTHER THAN AN ELECTRIC DISTRIBUTION COMPANY, AS DEFINED IN SECTION 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, INCLUDED IN SUBSECTION (c) OF SECTION 12-264, AS AMENDED BY SECTION 54 OF THIS ACT, shall be taxed at the rate of five per cent upon the amount of gross earnings in each taxable quarter from operations, except as set forth in subsection (c) or (d) of this section and except that each company and municipal utility

manufacturing, selling or distributing gas or electricity to be used for light, heat or power shall be taxed at the rate of four per cent upon the amount of gross earnings in each taxable quarter allocable to residential service, but deduction shall be made of gross earnings (A) from all sales for resale of water, steam, gas and electricity to public service corporations and municipal utilities, whether or not such purchasers are Connecticut public service corporations or Connecticut municipal utilities, and whether or not they are subject to the tax imposed by this chapter, (B) from any federal BTU energy tax included in adjustment clause and base-rate revenues, (C) from sales of appliances using water, steam, gas or electricity by each such company of the net invoice price plus transportation costs of such appliances, (D) of electric and gas companies, as defined in section 16-1, from energy conservation loan programs and (E) from all sales for resale of gas to companies registered pursuant to section 16-258a.

(2) Gross earnings for any taxable quarter, for the purposes of assessment and taxation, shall be as follows: (A) In the case of a company or municipal utility carrying on business or operating entirely within this state, the amount of gross earnings from operations; (B) in the case of a company or municipal utility carrying on business or operations a part of which is outside of this state, (i) such portion of the amount of gross earnings from operations determined under the provisions of section 12-264, AS AMENDED BY THIS ACT, as is represented by the ratio of the number of miles of water or steam pipes, gas mains or electric wires operated by such company or municipal utility within this state on the first day and on the last day of the calendar year immediately preceding to the total number of miles of water or steam pipes, gas mains or electric wires operated by such company or municipal utility on said dates; or (ii) in the case of a company required to register pursuant to section 16-258a, such portion of the amount of gross earnings from operations determined under the provisions of section 12-264, AS AMENDED BY THIS ACT, as is represented by the ratio of the sales in this state to end users during such quarter to the total sales everywhere to end users during such quarter.

(c) The rate of tax on the sale, furnishing or distribution of electricity or natural gas for use directly by a company engaged in a manufacturing production process, in accordance with the Standard Industrial Classification Manual, United States Office of Management and Budget, 1987 edition, classifications 2000 to 3999, inclusive, shall be four per cent with respect to calendar quarters commencing on or after January 1, 1994, and prior to January 1, 1995, three per cent with respect to calendar quarters commencing on or after January 1, 1995, and prior to January 1, 1996, and two per cent with respect to calendar quarters commencing on or after January 1, 1996, and prior to January 1, 1997. The sale, furnishing or distribution of electricity or natural gas for use by a company as provided in this subsection shall not be subject to the provisions of this chapter with respect to calendar quarters

commencing on or after January 1, 1997. Not later than thirty days after May 19, 1993, and thirty days after the effective date of each rate decrease provided for in this section, each electric and gas public service company, as defined in section 16-1, which does not have a proposed rate amendment under section 16-19 pending before the Department of Public Utility Control at such time, shall request the department to reopen the proceeding under section 16-19 on the company's most recent rate amendment, solely for the purpose of decreasing the company's rates to reflect the decreases required under this section. The department shall immediately reopen such proceedings, solely for such purpose.

(d) The rate of tax on the sale, furnishing or distribution of steam for use by a company, as described in subdivision (2) of subsection (a) of section 12-264, shall be: (1) Four per cent with respect to calendar quarters commencing on or after July 1, 1996, and prior to July 1, 1997; (2) three per cent with respect to calendar quarters commencing on or after July 1, 1997, and prior to July 1, 1998; (3) two per cent with respect to calendar quarters commencing on or after July 1, 1998, and prior to July 1, 1999; and (4) one per cent with respect to calendar quarters commencing on or after July 1, 1999, and prior to July 1, 2000. The sale, furnishing or distribution of steam as provided in this subsection shall not be subject to the provisions of this chapter with respect to calendar quarters commencing on or after July 1, 2000.

Sec. 56. Section 16-19q of the general statutes is repealed and the following is substituted in lieu thereof:

(a) If the funds allocated for decommissioning are insufficient to pay for decommissioning costs, the licensee shall first be responsible for the additional cost if it is the only holder of an operating permit from the United States Nuclear Regulatory Commission with respect to the facility.

(b) If the assets of such a licensee are insufficient to cover the remaining cost of decommissioning after such funds are exhausted, or if there are two or more holders of an operating permit from the United States Nuclear Regulatory Commission with respect to the facility, the owners shall be liable for the safe and proper decommissioning of the nuclear power generating facility in accordance with their respective ownership shares in the facility. If, under this subsection, any in-state owner pays decommissioning costs in excess of its ownership share in the facility, that owner shall have a cause of action to recover that excess from the other owners. The Attorney General shall assist in bringing such an action.

(c) The state shall have no financial responsibility for decommissioning. If the Governor finds that, because of inadequate action by the responsible parties in carrying out decommissioning, protective action is reasonably required to protect the public health and safety, the state may undertake that action. In that case, the Attorney General shall bring action against the licensee and the owners to recover the cost of that protective action. If the state pays for any

decommissioning costs as a result of an owner paying less than its share of a facility's decommissioning costs, the Attorney General shall bring an action against such owner to recover any such costs paid by the state.

[(d) The Department of Public Utility Control shall include all decommissioning costs of an electric company, as defined in section 16-1, which are approved by the department under sections 16-19o and 16-19p, as operating costs of the company under section 16-19, provided no decommissioning costs for a facility may be included in the rates charged by the company after the date of closing of the facility unless the department determines (1) that the company has complied with the decommissioning financing plan under which such costs are incurred and (2) that there are compelling reasons for including such costs in the rates. The joint standing committee of the General Assembly having cognizance of matters relating to public utilities may, upon submitting a request to the department, review any such determination not later than thirty days before such rates would take effect.]

Sec. 57. Section 16-19hh of the general statutes is repealed and the following is substituted in lieu thereof:

(a) In order to encourage economic development and maintain the state's manufacturing base, the department shall: (1) Continue to implement flexible pricing when it determines that such pricing is appropriate; (2) require each water, electric and gas public service company, as defined in section 16-1, which serves manufacturing customers and has not yet done so, to propose, in its first application for an amendment of rates filed pursuant to section 16-19 on or after October 1, 1993, flexible and innovative rates which promote manufacturing, which rates may include, but not be limited to, economic development, business retention, competitive energy, interruptible, conservation and time of use rates; and (3) require each water, gas and electric public service company, as defined in said section 16-1, to support and promote the Connecticut manufacturing program for energy technology.

(b) NOTWITHSTANDING THE PROVISIONS OF SUBSECTION (a) OF THIS SECTION, AN ELECTRIC COMPANY OR ELECTRIC DISTRIBUTION COMPANY THAT (1) RENEGOTIATES, EXTENDS OR RENEWS ANY SPECIAL CONTRACT FOR ELECTRIC SERVICE THAT IS IN EFFECT ON THE EFFECTIVE DATE OF THIS ACT AND HAS A TERM THAT EXPIRES PRIOR TO JULY 1, 2000, FOR A TERM THAT EXTENDS BEYOND JUNE 30, 2000, OR (2) ENTERS INTO ANY NEW SPECIAL CONTRACTS FOR ELECTRIC SERVICE, SHALL PROVIDE IN ANY SUCH RENEGOTIATED, EXTENDED, RENEWED OR NEW CONTRACT FOR THE COLLECTION OF THE ASSESSMENT REQUIRED UNDER SECTION 10 OF THIS ACT AS PROVIDED IN SAID SECTION 10 AND FOR THE COLLECTION OF THE CHARGE REQUIRED IN SECTION 18 OF THIS ACT AS PROVIDED IN SAID SECTION 18 PROVIDED NO SUCH CONTRACT SHALL SHIFT COSTS TO OTHER RATEPAYERS.

Sec. 58. Section 16-19hh of the general statutes, as amended by section 57 of this act, is repealed and the following is substituted in lieu thereof:

(a) In order to encourage economic development

and maintain the state's manufacturing base, the department shall: (1) Continue to implement flexible pricing when it determines that such pricing is appropriate; (2) require each water [, electric] and gas [public service] company, as defined in section 16-1, which serves manufacturing customers and has not yet done so, to propose, in its first application for an amendment of rates filed pursuant to section 16-19 on or after October 1, 1993, flexible and innovative rates which promote manufacturing, which rates may include, but not be limited to, economic development, business retention, competitive energy, interruptible, conservation and time of use rates and (3) require each water [,] AND gas [and electric public service] company, as defined in said section 16-1, to support and promote the Connecticut manufacturing program for energy technology.

(b) Notwithstanding the provisions of subsection (a) of this section, an electric company or electric distribution company that (1) renegotiates, extends or renews any special contract for electric service that is in effect on the effective date of this act and has a term that expires prior to July 1, 2000, for a term that extends beyond June 30, 2000, or (2) enters into any new special contracts for electric service, shall provide in any such renegotiated, extended, renewed or new contract for the collection of the assessment required under section 10 of this act as provided in said section 10 and for the collection of the charge required in section 18 of this act as provided in said section 18 provided no such contract shall shift costs to other ratepayers.

Sec. 59. Section 16a-4a of the general statutes is repealed and the following is substituted in lieu thereof:

The Office of Policy and Management shall:

(1) Formulate and prepare state-wide or interregional plans for the physical, social and economic development of the state. Such plans may be prepared jointly or in consultation with other state, interstate, federal, regional or local agencies. Such plans may include, but need not be limited to, (A) demographic projections, (B) economic projections, (C) land use and water considerations, (D) transportation requirements, (E) environmental considerations, (F) energy capabilities and requirements, (G) public facilities, (H) labor needs and skills, (I) educational objectives, (J) housing needs and (K) health needs;

(2) Receive for review, information and recommendations, plans proposed by any state agency acting alone or jointly which has among its duties planning responsibilities relating to those considerations set forth in subdivision (1) of this section or similar subjects;

(3) Coordinate regional and state planning activities and accomplish such planning review activities as may be necessary;

(4) Designate or redesignate logical planning regions within the state and promote and assist in the promotion and continuation of regional planning agencies under chapter 127;

(5) Provide for technical aid and the administration of financial assistance to regional

planning agencies established under chapter 127 or any regional council of elected officials in any region without a regional planning agency or any regional council of governments organized under sections 4-124i to 4-124p, inclusive, under such terms and conditions as may be agreed upon by the secretary;

(6) Accept from any source funds, revenue or other consideration available to this state for interstate, state, regional, interregional or area planning activities or projects and provide for the administration of such funds, revenues or other consideration;

(7) Make available to the public, for a reasonable fee, all reports, testing results and other material developed or procured as a result of activities authorized by this section, section 16a-14 and section 16a-14b; AND

(8) PROVIDE TECHNICAL ASSISTANCE TO MUNICIPALITIES THAT WANT TO AGGREGATE ELECTRIC GENERATION SERVICES.

Sec. 60. (NEW) The Office of Policy and Management shall operate a purchasing pool for the purchase of electricity for state operations. Said office shall provide the opportunity to participate in such purchasing pool to each household that includes an individual who receives means-tested assistance administered by the state or federal government. Any such household shall receive through such purchasing pool the same benefits and rate discounts available for state facilities. The Office of Policy and Management shall use federal and state energy assistance funds to leverage the lowest practicable electric rates for households participating in such pool, provided such funds shall not be used for administrative purposes. The provisions of section 16-245, as amended by this act, shall not apply to the Office of Policy and Management for purposes of this section.

Sec. 61. Section 16-243e of the general statutes is repealed and the following is substituted in lieu thereof:

(a) Any electric company, as defined in section 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, purchasing electricity generated by a resources recovery facility, as defined in section 22a-260, owned by, or operated by or for the benefit of, a municipality or municipalities, shall enter into a contract with the owner of such facility requiring the electric company to purchase all of the electricity generated at such facility from waste which originated in the franchise area of the electric company, for a period beginning on the date that the facility begins generating electricity and having a duration of not less than twenty years, at the same rate that the electric company charges the municipality or municipalities for electricity.

(b) NOT LATER THAN APRIL 1, 2000, THE DEPARTMENT SHALL DETERMINE THE RATE PAID FOR ELECTRICITY GENERATED AT THE FACILITY FROM WASTE THAT ORIGINATED WITHIN THE ELECTRIC COMPANY'S FRANCHISE AREA AND THAT WAS PURCHASED UNDER EACH CONTRACT ENTERED INTO PURSUANT TO SUBSECTION (a) OF THIS SECTION DURING CALENDAR YEAR 1999. NOT LATER THAN OCTOBER 1, 2000, AND ANNUALLY THEREAFTER, THE DEPARTMENT SHALL CALCULATE THE DIFFERENCE BETWEEN THE AMOUNT PAID BY THE

SUCCESSOR ELECTRIC DISTRIBUTION COMPANY PURSUANT TO EACH SUCH CONTRACT IN EFFECT DURING THE PRECEDING FISCAL YEAR FOR ELECTRICITY GENERATED AT THE FACILITY FROM WASTE THAT ORIGINATED WITHIN SUCH FRANCHISE AREA AND THE AMOUNT THAT WOULD HAVE BEEN PAID HAD THE COMPANY BEEN OBLIGATED TO PAY THE RATE IN EFFECT DURING CALENDAR YEAR 1999, AS DETERMINED BY THE DEPARTMENT. THE DIFFERENCE, IF POSITIVE, SHALL BE RECOVERED THROUGH THE SYSTEMS BENEFITS CHARGE ESTABLISHED UNDER SECTION 18 OF THIS ACT AND REMITTED TO THE REGIONAL RESOURCE RECOVERY AUTHORITY ACTING ON BEHALF OF MEMBER MUNICIPALITIES.

Sec. 62. Section 16-262g of the general statutes is repealed and the following is substituted in lieu thereof:

Any wilful or malicious violation of sections 16-262c to 16-262i, inclusive, by any agent, owner, lessor, manager or any company, ELECTRIC SUPPLIER or municipal utility shall be punishable by a fine of not more than five hundred dollars or imprisonment for not more than thirty days or both.

Sec. 63. Section 16-262h of the general statutes is repealed and the following is substituted in lieu thereof:

Nothing in sections 16-262c to 16-262i, inclusive, shall be construed to prevent the occupant of such building from pursuing any other action or remedy at law or equity that it may have against the owner, agent, lessor, manager, company, ELECTRIC SUPPLIER or municipal utility.

Sec. 64. Section 16-262j of the general statutes is repealed and the following is substituted in lieu thereof:

(a) No public service company AND NO ELECTRIC SUPPLIER shall refuse to provide electric, gas or water service to a residential customer based on the financial inability of such customer to pay a security deposit for such service. The Department of Public Utility Control shall adopt regulations in accordance with chapter 54 to carry out the provisions of this subsection.

(b) No telephone company shall refuse to provide telecommunications service to a candidate or a committee, as defined in section 9-333a, on the grounds that such candidate, such committee or the person acting on behalf of such committee has offered to pay the security deposit for such service with a credit card.

(c) Each public service company AND ELECTRIC SUPPLIER shall pay interest on any security deposit it receives from a customer at the average rate paid, as of December 30, 1992, on savings deposits by insured commercial banks as published in the Federal Reserve Board bulletin and rounded to the nearest one-tenth of one percentage point, except in no event shall the rate be less than one and one-half per cent. On and after January 1, 1994, the rate for each calendar year shall be not less than the deposit index as defined in subsection (d) of this section for that year and rounded to the nearest one-tenth of one percentage point, except in no event shall the rate be less than one and one-half per cent.

(d) The deposit index for each calendar year shall be equal to the average rate paid on savings deposits by insured commercial banks as last published in the Federal Reserve Board bulletin in

November of the prior year. The Commissioner of Banking shall determine the deposit index for each calendar year and publish such deposit index in the Department of Banking news bulletin no later than December fifteenth of the prior year. For purposes of this section, "Federal Reserve Board bulletin" means the monthly survey of selected deposits published as a special supplement to the Federal Reserve Statistical Release Publication H.6 published by the Board of Governors of the Federal Reserve System or, if such bulletin is superseded or becomes unavailable, a substantially similar index or publication.

Sec. 65. Section 19a-109 of the general statutes is repealed and the following is substituted in lieu thereof:

When any building or part thereof is occupied as a home or place of residence or as an office or place of business, either mercantile or otherwise, a temperature of less than sixty-five degrees Fahrenheit in such building or part thereof shall, for the purpose of this section, be deemed injurious to the health of the occupants thereof, except that the Commissioner of Public Health may adopt regulations establishing a temperature higher than sixty-five degrees when the health, comfort or safety of the occupants of any such building or part thereof so requires. In any such building or part thereof where, because of physical characteristics or the nature of the business being conducted, a temperature of sixty-five degrees Fahrenheit cannot reasonably be maintained in certain areas, the Labor Commissioner may grant a variance for such areas. The owner of any building or the agent of such owner having charge of such property, or any lessor or his agent, manager, superintendent or janitor of any building, or part thereof, the lease or rental agreement whereof by its terms, express or implied, requires the furnishing of heat, cooking gas, electricity, hot water or water to any occupant of such building or part thereof, who, wilfully and intentionally, fails to furnish such heat to the degrees herein provided, cooking gas, electricity, hot water or water and thereby interferes with the cooking gas, electricity, hot water or water and thereby interferes with the comfortable or quiet enjoyment of the premises, at any time when the same are necessary to the proper or customary use of such building or part thereof, shall be fined not more than one hundred dollars or imprisoned not more than sixty days or both. No public service company OR ELECTRIC SUPPLIER, AS DEFINED IN SECTION 16-1, AS AMENDED BY SECTION 1 OF THIS ACT, shall, at the request of any such owner, agent, lessor, manager, superintendent or janitor, cause heat, cooking gas, electricity, hot water or water services to be terminated with respect to any such leased or rented property unless the owner or lessor furnishes a statement signed by the lessee agreeing to such termination or a notarized statement signed by the lessor to the effect that the premises are vacant.

Sec. 66. Section 33-219 of the general statutes is repealed and the following is substituted in lieu thereof:

(a) Cooperative, nonprofit, membership corporations may be organized under this chapter for the purpose of supplying electric energy and

promoting and extending the use thereof to persons (1) in rural areas or in any portion thereof occupied by such persons and not receiving central station service, and (2) elsewhere except that the supplying of electric energy to franchise areas being supplied on October 1, 1971, with electric energy, or to areas supplied on said date by municipal utilities, shall be permitted only with the consent of the holder of the franchise or the municipal utility.

(b) Notwithstanding the provisions of subsection (a) of this section, cooperative, nonprofit, membership corporations may be organized under this chapter for the purpose of generating electric energy by means of cogeneration technology, renewable energy resources or both and supplying it to any member or supplying it to, purchasing it from or exchanging it with a public service company, ELECTRIC SUPPLIER, AS DEFINED IN SECTION 16-1 OF THE GENERAL STATUTES, AS AMENDED BY SECTION 1 OF THIS ACT, MUNICIPAL AGGREGATOR, AS DEFINED IN SAID SECTION, municipal utility or municipal electric energy cooperative, in accordance with [the Public Utility Regulatory Policies Act of 1978, as amended, or under] an agreement with the company, ELECTRIC SUPPLIER, ELECTRIC AGGREGATOR, MUNICIPAL utility or cooperative. No membership corporation under this subsection may exercise those powers contained in subsection (i) or (j) of section 33-221, AS AMENDED BY THIS ACT, unless the prior approval of the Department of Public Utility Control is obtained, after opportunity for hearing in accordance with title 16 and chapter 54. ANY COOPERATIVE ORGANIZED ON OR AFTER JULY 1, 1998, PURSUANT TO THIS SUBSECTION SHALL COLLECT FROM ITS MEMBERS THE COMPETITIVE TRANSITION ASSESSMENT LEVIED PURSUANT TO SECTION 10 OF THIS ACT AND THE SYSTEMS BENEFITS CHARGE LEVIED PURSUANT TO SECTION 18 OF THIS ACT IN SUCH MANNER AND AT SUCH RATE AS THE DEPARTMENT OF PUBLIC UTILITY CONTROL PRESCRIBES, PROVIDED THE DEPARTMENT SHALL ORDER THE COLLECTION OF SAID ASSESSMENT AND SAID CHARGE IN A MANNER AND RATE EQUAL TO THAT TO WHICH THE MEMBERS OF THE COOPERATIVE WOULD HAVE BEEN SUBJECT HAD THE COOPERATIVE NOT BEEN ORGANIZED.

Sec. 67. Section 33-221 of the general statutes is repealed and the following is substituted in lieu thereof:

A cooperative shall have power, subject to the limitations of section 33-219: (a) To sue and be sued in its corporate name; (b) to have perpetual existence; (c) to adopt a corporate seal and alter the same; (d) to generate, manufacture, purchase, acquire, accumulate and transmit electric energy, and to distribute, sell, supply and dispose of electric energy to its members, and to other persons not in excess of ten per cent of the number of its members PURSUANT TO APPLICABLE FEDERAL LAW AND REGULATIONS ADOPTED THEREUNDER, provided the furnishing by a cooperative of electric cold storage or processing plant service shall not be deemed to be distributing, selling, supplying or disposing of electric energy; (e) to assist persons to whom electric energy is or will be supplied by the cooperative in wiring their premises and in acquiring and installing electrical [and plumbing] appliances, equipment, fixtures, apparatus and energy conservation and

renewable energy systems and equipment, by the financing thereof or otherwise, and, in connection therewith, to wire, or cause to be wired, such premises and to purchase, acquire, lease as lessor or lessee, sell, distribute, install and repair such electric [and plumbing] appliances, equipment, fixtures, apparatus and energy conservation and renewable energy systems and equipment; (f) to assist persons to whom electric energy is or will be supplied by the cooperative in constructing, equipping, maintaining and operating electric cold storage or processing plants, by the financing thereof or otherwise; (g) to construct, purchase, lease as lessee, or otherwise acquire, and to equip, maintain and operate, and to sell, assign, convey, lease as lessor, mortgage, pledge or otherwise dispose of or encumber, electric transmission and distribution lines or systems, electric generating plants, electric cold storage or processing plants, lands, buildings, structures, dams, plants and equipment, and any other real property or tangible or intangible personal property which shall be deemed necessary, convenient or appropriate to accomplish the purpose stated in section 33-219, AS AMENDED BY THIS ACT; (h) to borrow money and otherwise contract indebtedness, and to issue notes, bonds and other evidences of indebtedness, and to secure the payment thereof by mortgage, pledge or deed of trust of, or any other encumbrance upon, any or all of its then owned or after-acquired real or personal property, assets, franchises, revenues or income; (i) to construct, maintain and operate electric transmission and distribution lines along, upon, under and across publicly owned lands and public thoroughfares, including, without limitation, all roads, highways, streets, alleys, bridges and causeways, subject to the provisions of all laws regulating the use of highways by electric companies, provided no standards in excess of standards provided in the National Electric Safety Code shall be required; (j) to exercise the power of eminent domain in the manner provided by the general statutes for the exercise of such power by other corporations constructing or operating electric transmission and distribution lines or systems; (k) to petition the Department of Public Utility Control to issue an order under section 16-243c; (l) to conduct its business and exercise its powers within or without this state; (m) to adopt, amend and repeal bylaws; and (n) to do and perform any other acts and things, and to have and exercise any other powers, which may be necessary, convenient or appropriate to accomplish the purpose for which the cooperative is organized.

Sec. 68. For purposes of investigation and report to the General Assembly, the Department of Public Utility Control shall design or cause each electric company to design a plan for performance-based regulation of each electric distribution company that encourages such distribution companies to control their costs while they continue to provide efficient, safe and reliable distribution services. In designing a performance-based regulation plan, the department or the electric companies, as the case may be, shall identify those performance standards that would be appropriate for performance-based

regulation and an analysis of how such a plan should best be structured so that electric distribution companies, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, would have flexibility in implementing such a plan. In addition to designing or causing the design of performance-based regulation plans, the department shall also determine whether performance-based regulation would better meet the goal of reducing costs to all customer classes than traditional cost-plus regulation. The department shall hold a hearing that shall be conducted as a contested case in accordance with chapter 54 of the general statutes to make such investigation. After consultation with the Office of Consumer Counsel, the Office of Policy and Management and the Office of the Attorney General, the department shall report its findings along with legislative recommendations not later than January 1, 2000, to the joint standing committee of the General Assembly having cognizance of matters relating to energy.

Sec. 69. (NEW) (a) As used in this section, "self-generation facility" means a facility that generates electricity, is owned or operated by an entity other than an electric distribution company, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, or electric supplier, as defined in said section 16-1, and operates in parallel with other generation on the distribution system of an electric distribution company and which reduces or eliminates the purchase of electricity through the distribution network.

(b) The Department of Public Utility Control shall design a process for determining a fee to be paid by customers who have installed self-generation facilities in order to offset any loss or potential loss in revenue from such facilities toward the competitive transition assessment, the systems benefits charge the conservation and load management assessment collected under section 33 of this act and the Renewable Energy Investment Fund assessment collected under section 44 of this act. Except as provided in subsection (c) of this section, such fee shall apply to customers who have installed self-generation facilities that begin operation on or after July 1, 1998.

(c) An exit fee shall not apply to a customer who has installed a self-generation facility that (1) exclusively services the load of one to four residential units, or (2) is installed in conjunction with the expansion of an industrial plant that began operation before July 1, 1998, if the self-generation facility predominantly services such industrial plant and the expansion of said industrial plant results in economic development, as determined by the department. The exemption under subdivision (2) of this subsection shall only apply to the amount of any new load provided by the self-generation facility to service the expansion.

(d) The department shall develop criteria for excluding units based on size or specialized use, balancing concerns of the potential impact on small businesses, equity among customer classes, and the need to offset losses to the competitive transition assessment and the systems benefits

charge. The department shall establish procedures for distinguishing between existing load and new load for purposes of self-generation facilities described in subdivision (2) of subsection (c) of this section. The department shall determine how to identify self-generation facilities, such as through a registration process, and how to enforce the collection of such fees. The department shall establish criteria to determine how such fee shall be valued and the process for its collection, which shall include the ability of self-generation facilities to pay the fee over a period of time.

(e) Not later than January 1, 1999, the department shall submit its findings and recommendations to the joint standing committee of the General Assembly having cognizance of matters relating to energy.

Sec. 70. The Department of Public Utility Control shall propose standards and procedures which facilitate the aggregation of electrical load and the aggregation of end use customers into buying groups, consistent with the principles set forth in section 16-244, as amended by section 2 of this act. Not later than September 1, 1998, the department shall commence an investigation into such aggregation. The investigation shall consider the relationship of aggregation to the education outreach program established pursuant to section 17 of this act, the billing format requirements established pursuant to section 21 of this act, the solicitation procedures established pursuant to section 26 of this act, the information requirements and procedures established pursuant to section 27 of this act, the right to change electric suppliers established pursuant to section 28 of this act, the third party verification requirements established pursuant to section 30 of this act, and other matters as the department deems appropriate. The investigation also shall consider whether one or more of the licensing requirements set forth in section 16-245 of the general statutes, as amended by this act, should be moderated for aggregators, and whether one or more of the licensing requirements set forth in said section 16-245, should not be imposed on municipalities or political subdivisions that act as aggregators. The investigation also shall consider whether legislative changes are needed in order to properly facilitate aggregation. Not later than January 1, 1999, the department shall report its findings along with any legislative recommendations to the joint standing committee of the General Assembly having cognizance of matters relating to energy.

Sec. 71. The Connecticut Siting Council shall examine siting procedures as they relate to electric generating facilities and determine how such procedures should be modified and the criteria that should be considered when determining the siting of a generation facility in a restructured electric industry in order to facilitate expeditious siting of generation facilities within the state while taking into consideration environmental concerns such as those relating to the development of greenfields, development of new transmission grids and reliance on higher polluting out-of-state generation. Not later than January 1, 1999, the council shall submit its findings and recommendations to the

joint standing committees of the General Assembly having cognizance of matters relating to energy and the environment.

Sec. 72. The Connecticut Energy Advisory Board established under section 16a-3 of the general statutes shall, in consultation with the Department of Public Utility Control and the Office of Consumer Counsel, conduct a study of the provision of metering, billing and collection services by electric distribution companies and consider whether customers would be better served if such services were performed by electric suppliers. Said board shall consider how reallocating the performance of these services could negatively impact employee staffing levels of electric distribution companies, and how it could affect reliability of collecting payments from customers including any potential impact on the security of funds collected for the competitive transition assessment, the systems benefits charge, the conservation and load management assessment collected under section 33 of this act and the Renewable Energy Investment Fund assessment collected under section 44 of this act. Said board shall report its findings along with legislative recommendations not later than January 1, 1999, to the joint standing committee of the General Assembly having cognizance of matters relating to energy.

Sec. 73. The Department of Public Utility Control and the Office of Consumer Counsel shall conduct a joint study on how best to structure a program of providing electric services to customers who do not or are unable to arrange for or maintain electric generation services with an electric supplier. The department and the Office of Consumer Counsel shall consider the following options: (1) The electric distribution company shall be responsible for procuring electric generation services for default customers through a competitive bid, and the bidding process shall be supervised by the department; (2) if there are no qualified bidders, the electric distribution company shall supply electric generation services, and its costs are recovered through the systems benefits charge; (3) suppliers who choose not to carry default customers shall be assessed their proportionate share of the cost of providing default service; and (4) whether a state agency should be made responsible for procuring electric generation services for default customers. The department and the Office of Consumer Counsel shall maintain as their objective establishing a program for default service that achieves the lowest possible cost and maintains high quality of service. Not later than January 1, 2002, the department and the Office of Consumer Counsel shall report their findings along with legislative recommendations to the joint standing committee of the General Assembly having cognizance of matters relating to energy.

Sec. 74. Not later than October 1, 2002, each electric distribution company shall report to the Department of Public Utility Control the proportion of its customers receiving electric service under the standard offer established under section 20 of this act and the average rate paid for electric services by such customers by customer class. Not later than January 1, 2003,

the department shall calculate for each customer class the difference between the average rate paid for electric services by customers under the standard offer and the average rate paid for electric services by all other customers. Not later than January 1, 2003, the department shall report the calculated proportions and differences for each electric distribution company and, in consultation with the Office of Consumer Counsel, report any recommendations as to whether the standard offer should be extended for a longer period of time to the joint standing committee of the General Assembly having cognizance of matters relating to energy.

Sec. 75. (NEW) (a) The Department of Public Utility Control shall, in consultation with the Office of Consumer Counsel, monitor on an on-going basis the state of competition, as it exists and as it is likely to evolve, and the average total rates of each customer class. Not later than January 1, 2002 and annually thereafter, the department shall report its findings to the joint standing committee of the General Assembly having cognizance of matters relating to energy.

(b) (1) As used in this subdivision, "total average residential rate" means the total residential revenues divided by total residential kilowatt hour sales, and "total average industrial rate" means the total industrial revenues divided by total industrial kilowatt hour sales. At least annually, the department shall compute the rate differential for electric service between residential and industrial customers by comparing the total average residential rate and the total average industrial rate, based on filings made by electric suppliers and electric distribution companies with the Federal Energy Regulatory Commission or the department. The rate differential shall be the difference between the total average residential rate and the total average industrial rates, divided by the total average residential rate.

(2) If the department determines that the rate differential for electric service between residential and industrial customers has increased by three percentage points or more from the rate differential that existed on January 1, 1998, the department shall institute an investigatory proceeding in which the Office of the Consumer Counsel shall participate. Not more than ninety days after the official commencement of the proceeding, the department shall issue written findings that identify the factors or circumstances that contributed to such increase in the rate differential. If the department finds that such increase is a result of a violation of title 16 of the general statutes or of other state or federal laws, the department shall take appropriate enforcement action or refer such violation to the appropriate state or federal authority. If the department finds that such increase is due to factors or circumstances other than a violation of state or federal law, the department shall take action in accordance with methods of allocation in effect on January 1, 1997, to minimize to the greatest extent possible such differential to less than three percentage points, within the authority granted to the department pursuant to section 16-7, subsections

(a) or (b) of section 16-8, sections 16-8c, 16-9, 16-10, 16-10a, 16-15, 16-19, 16-19a, subsection (g) of section 16-19b, sections 16-19e, 16-19f, 16-19gg, 16-19hh, 16-19kk, 16-20, 16-21, 16-24, 16-28, 16-32, 16-41 or 16-245 of the general statutes, as amended by this act, or sections 10, 18 or 20 of this act, provided any action taken by the department shall be in compliance with the principles set forth in section 2 of this act, and provided further the department shall not allow inter or intra class rate subsidization.

(3) Not later than January first, as applicable, the department shall report its findings described in subdivisions (1) and (2) of this subsection, including a description of the factors or circumstances that contributed to such increase in the rate differential and a description of actions taken by the department, along with any legislative recommendations to minimize such differential to less than three percentage points without creating intra or inter class rate subsidization, to members of the joint standing committee of the General Assembly having cognizance of matters relating to energy.

(c) Each electric distribution company shall submit, on a form prescribed by the department, quarterly reports containing (1) the average price for electric service for each customer class, and (2) separately within the residential class, the price for electric service under the standard offer, as provided in subsection (a) of section 20 of this act and the price for default service, as provided in subsection (b) of said section 20.

(d) The department shall require electric distribution companies and electric suppliers to supply to the department whatever pricing information the department needs to complete its reporting and monitoring requirements under this section. The department may grant confidential status to certain data if a valid claim is made that the information is competitively sensitive, provided composite numbers shall be public information. Any electric distribution company or electric supplier that fails to provide information requested by the department more than thirty days after the department makes such request shall be subject to enforcement measures under title 16 of the general statutes. The department may adopt regulations pursuant to chapter 54 of the general statutes to implement the provisions of this subsection.

Sec. 76. (NEW) Any municipality may, upon approval by its legislative body or in any town in which the legislative body is a town meeting, by the board of selectmen, abate the property taxes due for any tax year with respect to any property of an electric cooperative organized pursuant to chapter 597 of the general statutes that is operating within the boundaries of the municipality.

Sec. 77. (NEW) (a) Not later than October 1, 1999, and annually thereafter, each electric company and electric distribution company, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, shall report to the Department of Public Utility Control its system average interruption duration index (SAIDI) and its system average interruption frequency index (SAIFI) for the preceding twelve months. For

purposes of this section: (1) Interruptions shall not include outages attributable to major storms, scheduled outages and outages caused by customer equipment, each as determined by the department; (2) SAIDI shall be calculated as the sum of customer interruptions in the preceding twelve-month period, in minutes, divided by the average number of customers served during that period; and (3) SAIFI shall be calculated as the total number of customers interrupted in the preceding twelve-month period, divided by the average number of customers served during that period. Not later than January 1, 2000, and annually thereafter, the department shall report on the SAIDI and SAIFI data for each electric company and electric distribution, and all state-wide SAIDI and SAIFI data to the joint standing committee of the General Assembly having cognizance of matters relating to energy.

(b) Not later than October 1, 1999, and annually thereafter, each electric supplier, as defined in section 16-1 of the general statutes, as amended by section 1 of this act, shall report to the Department of Public Utility Control and the Department of Environmental Protection the following information regarding the preceding twelve-month period or any part thereof that the supplier has been licensed pursuant to section 16-245 of the general statutes, as amended by this act: (1) Total megawatt hours of electricity produced from generating facilities owned by the supplier or under long-term contract to the supplier that are sold to end use customers in the state; (2) total megawatt hours of electricity purchased by the supplier from other sources and sold to end use customers in the state; (3) the proportion of such production from facilities listed under subdivision (1) of this subsection that use nuclear fuels, oil, coal, natural gas, hydropower and other fuels as the principal generation fuel; and (4) the amount of emissions from facilities listed under subdivision (1) of this subsection of the pollutants identified by the Department of Environmental Protection, which shall include, but not be limited to: (A) Volatile organic compounds; (B) nitrogen oxides; (C) sulfur oxides; (D) carbon dioxide; (E) carbon monoxide; (F) particulates; and (G) heavy metals. Not later than January 1, 2000, and annually thereafter, the Department of Environmental Protection, in consultation with the Department of Public Utility Control, shall report state-wide data for these variables to the joint standing committees of the General Assembly having cognizance of matters relating to the environment and energy.

(c) Not later than January 1, 1999, and annually thereafter until January 1, 2005, the Department of Public Utility Control shall report to the joint standing committees of the General Assembly having cognizance of matters relating to energy and labor the number of dislocated workers contained on the roster established pursuant to section 46 of this act and the number of such workers hired by electric suppliers in the preceding twelve months.

(d) Not later than January 1, 1999, and annually thereafter, the Department of Public Utility Control shall report to the joint standing committee of the General Assembly having

cognizance of matters relating to energy the number of applicants for licensure pursuant to section 16-245 of the general statutes, as amended by this act, during the preceding twelve months, the number of applicants licensed by the department and the average period of time taken to process a license application.

Sec. 78. Subsection (k) of section 16-2 of the general statutes is repealed and the following is substituted in lieu thereof:

(k) No commissioner of the authority shall, FOR A PERIOD OF ONE YEAR FOLLOWING THE TERMINATION OF HIS OR HER SERVICE AS A COMMISSIONER, accept employment: [by] (1) BY a public service company or by any person, firm or corporation engaged in lobbying activities with regard to governmental regulation of public service companies; [for a period of one year following the termination of his or her service as a commissioner. On and after July 1, 1995, no commissioner of the authority shall accept employment] (2) by a person, firm or corporation certified by the Department of Public Utility Control to provide intrastate telecommunications services pursuant to sections 16-247f to 16-247h, inclusive, or by any person, firm or corporation engaged in lobbying activities with regard to governmental regulation of persons, firms or corporations so certified; [, for a period of one year following the termination of his or her service as a commissioner] OR (3) BY AN ELECTRIC SUPPLIER OR BY ANY PERSON, FIRM OR CORPORATION ENGAGED IN LOBBYING ACTIVITIES WITH REGARD TO GOVERNMENTAL REGULATION OF ELECTRIC SUPPLIERS. No such commissioner who is also an attorney shall in any capacity, appear or participate in any matter, or accept any compensation regarding a matter, before the authority, for a period of one year following the termination of his or her service as a commissioner. [The prohibitions of this subsection shall not apply to any commissioner serving on October 1, 1980, who serves for the term to which he or she is currently appointed and is not thereafter reappointed.]

Sec. 79. Section 16-2a of the general statutes is repealed and the following is substituted in lieu thereof:

(a) There shall continue to be an independent Office of Consumer Counsel, within the Department of Public Utility Control for administrative purposes only, to act as the advocate for consumer interests in all matters which may affect Connecticut consumers with respect to public service companies, ELECTRIC SUPPLIERS and persons, firms and corporations certified, or seeking to be certified, to provide intrastate telecommunications service pursuant to sections 16-247f to 16-247h, inclusive. The Office of Consumer Counsel is authorized to appear in and participate in any regulatory or judicial proceedings, federal or state, in which such interests of Connecticut consumers may be involved, or in which matters affecting utility services rendered or to be rendered in this state may be involved. The Office of Consumer Counsel shall be a party to each contested case before the department of public utility control and shall participate in such proceedings to the extent it deems necessary. Said Office of Consumer Counsel

may appeal from a decision, order or authorization in any such state regulatory proceeding notwithstanding its failure to appear or participate in said proceeding.

(b) Except as prohibited by the provisions of section 4-181, the Office of Consumer Counsel shall have access to the records of the Public Utilities Control Authority and the Department of Public Utility Control, shall be entitled to call upon the assistance of the authority's and the department's experts, and shall have the benefit of all other facilities or information of the authority or department in carrying out the duties of the Office of Consumer Counsel, except for such internal documents, information or data as are not available to parties to the authority's proceedings. The department shall provide such space as necessary within the department's quarters for the operation of the Office of Consumer Counsel, and the department shall be empowered to set regulations providing for adequate compensation for the provision of such office space.

(c) The Office of Consumer Counsel shall be under the direction of a Consumer Counsel, who shall be appointed by the Governor with the advice and consent of either house of the General Assembly. The Consumer Counsel shall be an elector of this state and shall have demonstrated a strong commitment and involvement in efforts to safeguard the rights of the public. The Consumer Counsel shall serve for a term of five years unless removed pursuant to section 16-5. The salary of the Consumer Counsel shall be equal to that established for management pay plan salary group seventy by the Commissioner of Administrative Services. No Consumer Counsel shall, [accept employment by a public service company] for a period of one year following the termination of his or her service as Consumer Counsel, [. On and after July 1, 1995, no Consumer Counsel shall] accept employment by (1) A PUBLIC SERVICE COMPANY, (2) a person, firm or corporation certified by the Department of Public Utility Control to provide intrastate telecommunications services pursuant to sections 16-247f to 16-247h, inclusive, [for a period of one year following the termination of his or her service as Consumer Counsel] OR (3) AN ELECTRIC SUPPLIER. No Consumer Counsel who is also an attorney shall in any capacity, appear or participate in any matter, or accept any compensation regarding a matter, before the Public Utilities Control Authority, for a period of one year following the termination of his or her service as Consumer Counsel.

(d) The Consumer Counsel shall hire such staff as he deems necessary to perform the duties of said office of Consumer Counsel and may employ from time to time outside consultants knowledgeable in the utility regulation field including, but not limited to, economists, capital cost experts and rate design experts. The salaries and qualifications of the individuals so hired shall be determined by the Commissioner of Administrative Services pursuant to section 4-40.

(e) Nothing in this section shall be construed to prevent any party interested in such proceeding or action from appearing in person or from being represented by counsel therein.

(f) As used in this section, "consumer" means any person, company, limited liability company, corporation, association, city, borough or town, that receives service from any public service company, ELECTRIC SUPPLIER or from any person, firm or corporation certified to provide intrastate telecommunications service pursuant to sections 16-247f to 16-247h, inclusive, in this state whether or not such person, company, limited liability company, corporation, association, city, borough or town is financially responsible for such service.

(g) The Office of Consumer Counsel shall not be required to post a bond as a condition to presenting an appeal from any state regulatory decision, order or authorization.

(h) The expenses of the Office of Consumer Counsel shall be assessed in accordance with the provisions of section 16-49.

Sec. 80. Section 16-4 of the general statutes is repealed and the following is substituted in lieu thereof:

No officer, employee, attorney or agent of any public service company, [shall be a member of the Public Utilities Control Authority or an employee of the Department of Public Utility Control. On and after July 1, 1995, no officer, employee, attorney or agent] of any person, firm or corporation certified by the Department of Public Utility Control to provide intrastate telecommunications services pursuant to sections 16-247f to 16-247h, inclusive, OR OF ANY ELECTRIC SUPPLIER shall be a member of the Public Utilities Control Authority or an employee of the Department of Public Utility Control.

Sec. 81. Section 16-6b of the general statutes is repealed and the following is substituted in lieu thereof:

The Department of Public Utility Control may, in accordance with chapter 54, adopt such regulations with respect to rates and charges, services, accounting practices, safety and the conduct of operations generally of public service companies subject to its jurisdiction as it deems reasonable and necessary. THE DEPARTMENT MAY, IN ACCORDANCE WITH CHAPTER 54, ADOPT SUCH REGULATIONS WITH RESPECT TO SERVICES, ACCOUNTING PRACTICES, SAFETY AND THE CONDUCT OF OPERATIONS GENERALLY OF ELECTRIC SUPPLIERS SUBJECT TO ITS JURISDICTION AS IT DEEMS REASONABLE AND NECESSARY. After consultation with the Secretary of the Office of Policy and Management, the department may also adopt regulations establishing standards for systems utilizing cogeneration technology and renewable fuel resources.

Sec. 82. Section 16-7 of the general statutes is repealed and the following is substituted in lieu thereof:

The commissioners and any employees of the Department of Public Utility Control while engaged in the performance of their duties may, at all reasonable times, enter any premises, buildings, cars or other places belonging to or controlled by any public service company OR ELECTRIC SUPPLIER, and any person obstructing or in any way causing to be obstructed or hindered any member or employee of the department in the performance of his duties shall be fined not more than two hundred dollars or imprisoned not more than six

months or both.

Sec. 83. Subdivision (4) of subsection (b) of section 16-8 of the general statutes, as amended by public act 97-23, is repealed and the following is substituted in lieu thereof:

(4) A complete audit of each portion of each gas, [or] electric OR ELECTRIC DISTRIBUTION company having more than seventy-five thousand customers shall begin no less frequently than every six years, so that a complete audit of such a company's operations shall be performed every six years. Such an audit of each [gas or electric] SUCH company having more than seventy-five thousand customers shall be updated as required by the department.

Sec. 84. Section 16-12 of the general statutes is repealed and the following is substituted in lieu thereof:

Any person or any town, city or borough may make complaint, in writing, to the Department of Public Utility Control, of any defects in any portion of the plant or equipment of any public service company OR ELECTRIC SUPPLIER, or of the manner of operating such plant, by reason of which the public safety or the health or safety of employees is endangered; and, if he or it so requests, the name of the complainant shall not be divulged unless in the opinion of the department the complaint is such that publicity is demanded.

Sec. 85. Section 16-14 of the general statutes is repealed and the following is substituted in lieu thereof:

Any town, city or borough, or any person or corporation maintaining pipes, conductors or other structures under or above ground in the streets or highways, or owning cattle, as defined in section 22-381, may make complaint in writing to the Department of Public Utility Control of conditions resulting in injury to or destruction of such pipes, conductors, structures or cattle by electrolysis or by reason of the escape of electricity of any public service company OR ELECTRIC SUPPLIER. Proceedings shall be had upon such complaint as provided in sections 16-12, AS AMENDED BY THIS ACT, and 16-13. After hearing, as therein provided, said department may make such order as may be necessary to prevent such injury or destruction, and said department may, at any time thereafter, for cause shown, upon hearing, after notice to all parties in interest, alter any such decision or order. Neither the provisions of this section nor compliance with any order passed pursuant to the provisions hereof shall constitute a defense in an action for damages resulting from electrolysis.

Sec. 86. Section 16-15 of the general statutes is repealed and the following is substituted in lieu thereof:

Each public service company AND ELECTRIC SUPPLIER shall comply immediately with any order of the Department of Public Utility Control made in accordance with the provisions of sections 16-13 and 16-14, AS AMENDED BY THIS ACT, and any company failing to comply with any such order shall be fined not more than one thousand dollars for each offense and shall be liable in double damages for any injury or damage resulting to any person from such failure.

Sec. 87. Section 16-16 of the general statutes

is repealed and the following is substituted in lieu thereof:

Each public service company AND ELECTRIC SUPPLIER subject to regulation by the Department of Public Utility Control shall, in the event of any accident attended with personal injury or involving public safety, which was or may have been connected with or due to the operation of its or his property, or caused by contact with the wires of any public service company OR ELECTRIC SUPPLIER, notify the department thereof, by telephone or otherwise, as soon as may be reasonably possible after the occurrence of such accident, unless such accident is a minor accident, as defined by regulations of the department. Each such person, [or] company OR ELECTRIC SUPPLIER shall report such minor accidents to the department in writing, in summary form, once each month. If notice of such accident, other than a minor accident, is given otherwise than in writing, it shall be confirmed in writing within five days after the occurrence of such accident. Any person, [or] company OR ELECTRIC SUPPLIER failing to comply with the provisions of this section shall be fined not more than five hundred dollars for each offense.

Sec. 88. Section 16-17 of the general statutes is repealed and the following is substituted in lieu thereof:

The Department of Public Utility Control shall examine the causes of, and the circumstances connected with, all fatal accidents occurring in the operation of the plant or equipment of any public service company OR ELECTRIC SUPPLIER, and such other accidents, whether resulting in personal injury or not, as, in its judgment, require investigation. The department shall make a record of the causes, facts and circumstances of each accident, within three months thereafter, and as a part of such record shall suggest means, if possible, whereby similar accidents may be avoided in the future. Such record shall be open to public inspection at the office of the department and a copy thereof shall be mailed to the PUBLIC SERVICE company OR ELECTRIC SUPPLIER affected thereby. The department may by written order extend the deadline for completion of its record in cases where it is not possible to conclude an investigation within the three-month period because of circumstances beyond its control.

Sec. 89. Subsection (a) of section 16-19 of the general statutes is repealed and the following is substituted in lieu thereof:

(a) No public service company may charge rates in excess of those previously approved by the authority or the Department of Public Utility Control except that any rate approved by the Public Utilities Commission or the authority shall be permitted until amended by the authority or the department, that rates not approved by the authority or the department may be charged pursuant to subsection (b) of this section, and that the hearing requirements with respect to adjustment clauses are as set forth in section 16-19b. Each public service company shall file any proposed amendment of its existing rates with the department in such form and in accordance with such reasonable regulations as the department may prescribe. Each electric, ELECTRIC DISTRIBUTION,

gas or telephone company filing a proposed amendment shall also file with the department an estimate of the effects of the amendment, for various levels of consumption, on the household budgets of high and moderate income customers and customers having household incomes not more than one hundred fifty per cent of the federal poverty level. Each electric AND ELECTRIC DISTRIBUTION company shall also file such an estimate for space heating customers. Each water company, except a water company that provides water to its customers less than six consecutive months in a calendar year, filing a proposed amendment, shall also file with the department a plan for promoting water conservation by customers in such form and in accordance with a memorandum of understanding entered into by the department pursuant to section 4-67e. Each public service company shall notify each customer who would be affected by the proposed amendment, by mail, at least one week prior to the public hearing thereon, that an amendment has been or will be requested. Such notice shall also indicate (1) the Department of Public Utility Control telephone number for obtaining information concerning the schedule for public hearings on the proposed amendment and (2) whether the proposed amendment would, in the company's best estimate, increase any rate or charge by twenty per cent or more, and, if so, describe in general terms any such rate or charge and the amount of the proposed increase, provided no such company shall be required to provide more than one form of the notice to each class of its customers. In the case of a proposed amendment to the rates of any public service company, the department shall hold a public hearing thereon, except as permitted with respect to interim rate amendments by subsection (d) and subsection (g) of this section, and shall make such investigation of such proposed amendment of rates as is necessary to determine whether such rates conform to the principles and guidelines set forth in section 16-19e, or are unreasonably discriminatory or more or less than just, reasonable and adequate, or that the service furnished by such company is inadequate to or in excess of public necessity and convenience. The department, if in its opinion such action appears necessary or suitable in the public interest may, and, upon written petition or complaint of the state, under direction of the Governor, shall, make the aforesaid investigation of any such proposed amendment which does not involve an alteration in rates. If the department finds any proposed amendment of rates to not conform to the principles and guidelines set forth in section 16-19e, or to be unreasonably discriminatory or more or less than just, reasonable and adequate to enable such company to provide properly for the public convenience, necessity and welfare, or the service to be inadequate or excessive, it shall determine and prescribe, as appropriate, an adequate service to be furnished or just and reasonable maximum rates and charges to be made by such company. In the case of a proposed amendment filed by an electric, ELECTRIC DISTRIBUTION, gas or telephone company, the department shall also adjust the estimate filed under this subsection of the effects of the amendment on the household budgets of the

company's customers, in accordance with the rates and charges approved by the department. The department shall issue a final decision on each rate filing within one hundred fifty days from the proposed effective date thereof, provided it may, before the end of such period and upon notifying all parties and intervenors to the proceedings, extend the period by thirty days.

Sec. 90. Subsection (a) of section 16-19a of the general statutes is repealed and the following is substituted in lieu thereof:

(a) The Department of Public Utility Control shall, at intervals of not more than four years from the last previous general rate hearing of each gas, ELECTRIC and electric DISTRIBUTION company having more than seventy-five thousand customers, conduct a complete review and investigation of the financial and operating records of each such company and hold a public hearing to determine whether the rates of each such company are unreasonably discriminatory or more or less than just, reasonable and adequate, or that the service furnished by such company is inadequate to or in excess of public necessity and convenience or that the rates do not conform to the principles and guidelines set forth in section 16-19e. In making such determination, the department shall consider the gross and net earnings of such company since its last previous general rate hearing, its retained earnings, its actual and proposed capital expenditures, its advertising expenses, the dividends paid to its stockholders, the rate of return paid on its preferred stock, bonds, debentures and other obligations, its credit rating, and such other financial and operating information as the department may deem pertinent.

Sec. 91. Section 16-19d of the general statutes is repealed and the following is substituted in lieu thereof:

(a) As used in this section:

(1) "Advertising" means the commercial use of any media including, but not limited to, newspaper and all other forms of print, radio and television, in order to transmit a message to a substantial number of members of the public or customers of a [utility] PUBLIC SERVICE COMPANY;

(2) "Political advertising" means any advertising for the purpose of influencing public opinion with respect to any legislative, administrative or electoral decision or with respect to any controversial issue of public importance;

(3) "Institutional advertising" means any advertising which is designed to create, enhance or sustain a [utility's] PUBLIC SERVICE COMPANY'S image or good will with regard to the general public or its customers;

(4) "Promotional advertising" means any advertising that has the purpose of inducing the public to select or use the service or additional service of a [utility] PUBLIC SERVICE COMPANY or select or install any appliance or equipment designed to use such [utility] service, provided such advertising shall not include advertising authorized by order or regulation of the Department of Public Utility Control.

(b) The cost of political, institutional or promotional advertising of any gas, ELECTRIC or

electric DISTRIBUTION company and the cost of political or institutional advertising of any telephone company shall not be deemed to be an operating expense in any rate schedule proceedings held pursuant to section 16-19. For the purposes of this section, political, institutional or promotional advertising shall not be deemed to include reasonable expenditures for (1) the publication or distribution of existing or proposed tariffs or rate schedules; (2) notices required by law or regulation; (3) public information regarding service interruptions, safety measures, emergency conditions, employment opportunities or the means by which customers can conserve energy or make efficient and economical use of service; (4) the promotion or marketing of efficient gas and electric equipment which the Department of Public Utility Control determines: (A) Is consistent with the state's energy policy; (B) is consistent with integrated resource planning principles; (C) provides net economic benefit to such company's customers and (D) shall not have the primary purpose of promoting one fuel over another; or (5) advertising by a gas company that is necessary as a result of competition created by actions and decisions of the federal Energy Regulatory Commission and the Department of Public Utility Control. Such advertising shall be limited to the express purpose of promoting gas [public service] companies in competition with other providers and marketers of natural gas. Such advertising shall not include any promotions, cash, equipment, installation or service subsidies for the conversion to natural gas from any other energy source.

(c) A PUBLIC SERVICE company shall make application to the department for determination that equipment meets the requirements of subdivision (4) of subsection (b) of this section. The department shall, to the extent practicable, make such determination within one hundred twenty days of such filing. All reasonable and proper expenses, required by the department and the Office of Consumer Counsel, including, but not limited to, the costs associated with analysis, testing, evaluation and testimony at a public hearing or other proceeding, shall be borne by the company and shall be paid by the company at such times and in such manner as the department directs.

(d) The department shall not allocate any expenditures made by a gas company pursuant to subdivision (5) of subsection (b) of this section to residential customers in any rate schedule proceedings held pursuant to section 16-19, AS AMENDED BY THIS ACT, unless the department finds that effective competition in the residential gas market already exists.

(e) The department shall adopt regulations to carry out the purposes of subsections (a) and (b) of this section.

(f) Each gas, ELECTRIC or electric DISTRIBUTION company shall conspicuously indicate in all of its advertising whether the costs of the advertising are being paid for by the company's shareholders, its customers or both.

Sec. 92. Section 16-19i of the general statutes is repealed and the following is substituted in lieu thereof:

[Each] PRIOR TO JANUARY 1, 2000, EACH electric company, as defined in section 16-1, having at least seventy thousand customers, shall conspicuously indicate the amount of its residential customer service charge on the front of each residential customer's bill.

Sec. 93. Section 16-19bb of the general statutes is repealed and the following is substituted in lieu thereof:

The Department of Public Utility Control shall require that any funds held by an electric OR ELECTRIC DISTRIBUTION company [, as defined in section 16-1,] in excess of the company's authorized return on equity, which funds are intended by the department to offset future rate increases in lieu of a present rate decrease, shall be applied to such rate increases or shall be refunded to the company's customers not later than July 1, 1988. Any such funds collected by the company after July 1, 1988, shall be applied to offset such rate increases or refunded to the company's customers within one year of receipt.

Sec. 94. Section 16-19ee of the general statutes is repealed and the following is substituted in lieu thereof:

Each electric OR ELECTRIC DISTRIBUTION company [, as defined by section 16-1,] with more than seventy-five thousand customers, shall, in its periodic report to the Department of Public Utility Control, concerning electrical outages, indicate which outages resulted from a power surge.

Sec. 95. Subsection (a) of section 16-19ff of the general statutes is repealed and the following is substituted in lieu thereof:

(a) Notwithstanding any provisions of the general statutes to the contrary, each electric OR ELECTRIC DISTRIBUTION company [, as defined by section 16-1,] shall allow the installation of submeters at a recreational campground or in any other location as approved by the department.

Sec. 96. Subsection (a) of section 16-32c of the general statutes is repealed and the following is substituted in lieu thereof:

(a) Notwithstanding the provisions of section 16-19, AS AMENDED BY THIS ACT, a water company, as defined in section 16-1, may charge rates in excess of or less than those approved by the Department of Public Utility Control, after a limited hearing as deemed appropriate by the department, by adjusting existing rates to compensate for increases or decreases only in the company's following expenses: (1) The price of water purchased for redistribution to its customers from another water company or governmental authority whose rates have been adjusted; (2) the price of gas or electricity purchased from a gas, ELECTRIC or electric DISTRIBUTION company, ELECTRIC SUPPLIER or governmental authority whose rates have been adjusted; (3) federal, state and local taxes or other government assessments on revenue, income or property; (4) fees charged by any federal or state agency or other government entity that has jurisdiction over the company; (5) fees, or changes in fees, charged for federal and state mandated monitoring of the quality of the company's water supply; and (6) changes in expenses due to inflation that, in the opinion of

the department, are subject to an inflation adjustment in rate schedule proceedings held pursuant to section 16-19, AS AMENDED BY THIS ACT. The amount of any adjustment of rates shall not exceed the aggregate net amount of increases and decreases in the expenses set forth in this subsection on an annualized basis, provided that such adjustment shall not cause the company's projected return on equity for the following twelve-month period to exceed the return on equity authorized in the company's most recent proceeding for an amendment of rates pursuant to section 16-19, AS AMENDED BY THIS ACT. A company may adjust its rates pursuant to this section only (A) when the aggregate effect of increases or decreases in such expenses equals or exceeds one half of one per cent of the company's operating revenues for the twelve-month period commencing after the department issued a decision on the company's most recent application for an amendment of rates pursuant to section 16-19, AS AMENDED BY THIS ACT, and (B) once in any twelve-month period. A company shall not adjust its rates pursuant to this section in any twelve-month period following approval of an amendment of rates by the department pursuant to section 16-19, AS AMENDED BY THIS ACT.

Sec. 97. Section 16-32g of the general statutes is repealed and the following is substituted in lieu thereof:

Not later than January 1, 1988, each electric OR ELECTRIC DISTRIBUTION company [, as defined in section 16-1,] shall submit to the Department of Public Utility Control a plan for the maintenance of poles, wires, conduits or other fixtures, along public highways or streets for the transmission or distribution of electric current, owned, operated, managed or controlled by such [electric] company, in such format as the department shall prescribe. Such plan shall include a program for the trimming of tree branches and limbs located in close proximity to overhead electric wires where such branches and limbs may cause damage to such electric wires. The department shall review each plan and may issue such orders as may be necessary to ensure compliance with this section. [After January 1, 1988, the] THE department may require each electric OR ELECTRIC DISTRIBUTION company to submit an updated plan at such time and containing such information as the department may prescribe. The department shall adopt regulations, in accordance with the provisions of chapter 54, to carry out the provisions of this section.

Sec. 98. Section 16-47 of the general statutes is repealed and the following is substituted in lieu thereof:

(a) As used in this section, "holding company" means any corporation, association, partnership, trust or similar organization, or person which, either alone or in conjunction and pursuant to an arrangement or understanding with one or more other corporations, associations, partnerships, trusts or similar organizations, or persons, directly or indirectly, controls a gas, electric, ELECTRIC DISTRIBUTION, water, telephone or community antenna television company. As used in this section, "control" means the possession of the power to direct or cause the direction of the management and policies of a gas, electric,

ELECTRIC DISTRIBUTION, water, telephone or community antenna television company or a holding company, whether through the ownership of its voting securities, the ability to effect a change in the composition of its board of directors or otherwise, provided, control shall not be deemed to arise solely from a revocable proxy or consent given to a person in response to a public proxy or consent solicitation made pursuant to and in accordance with the applicable rules and regulations of the Securities Exchange Act of 1934 unless a participant in said solicitation has announced an intention to effect a merger or consolidation with, reorganization, or other business combination or extraordinary transaction involving the gas, electric, ELECTRIC DISTRIBUTION, water, telephone or community antenna television company or the holding company. Control shall be presumed to exist if a person directly or indirectly owns ten per cent or more of the voting securities of a gas, electric, ELECTRIC DISTRIBUTION, water, telephone or community antenna television company or a holding company, provided the department may determine, after conducting a hearing, that said presumption of control has been rebutted by a showing that such ownership does not in fact confer control.

(b) No gas, electric, ELECTRIC DISTRIBUTION, water, telephone or community antenna television company, or holding company, or any official, board or commission purporting to act under any governmental authority other than that of this state or of its divisions, municipal corporations or courts, shall interfere or attempt to interfere with or, directly or indirectly, exercise or attempt to exercise authority or control over any gas, electric, ELECTRIC DISTRIBUTION, water, telephone or community antenna television company engaged in the business of supplying service within this state, or with or over any holding company doing the principal part of its business within this state, without first making written application to and obtaining the approval of the Department of Public Utility Control, except as the United States may properly regulate actual transactions in interstate commerce.

(c) No corporation, association, partnership, trust or similar organization, or person shall take any action that causes it to become a holding company with control over a gas, electric, ELECTRIC DISTRIBUTION, water, telephone or community antenna television company engaged in the business of supplying service within this state, or acquire, directly or indirectly, control over such a holding company, or take any action that would if successful cause it to become or to acquire control over such a holding company, without first making written application to and obtaining the approval of the department. Any such corporation, association, partnership, trust or similar organization, or person applying to the department for such approval shall pay the reasonable expenses incurred by the department in carrying out its duties under this subsection, and accordingly, shall deposit with the department a bond, executed by a surety company authorized to do business in this state, in the amount of fifty thousand dollars, conditioned to indemnify the department for such expenses.

(d) The Department of Public Utility Control shall investigate and hold a public hearing on the question of granting its approval with respect to any application made under subsection (b) or (c) of this section and thereafter may approve or disapprove any such application in whole or in part and upon such terms and conditions as it deems necessary or appropriate. In connection with its investigation, the department may request the views of the gas, electric, ELECTRIC DISTRIBUTION, water, telephone or community antenna television company or holding company which is the subject of the application with respect to the proposed acquisition. After the filing of an application satisfying the requirements of such regulations as the department may adopt in accordance with the provisions of chapter 54, but not later than thirty business days after the filing of such application, the department shall give prompt notice of the public hearing to the person required to file the application and to the subject company or holding company. Such hearing shall be commenced as promptly as practicable after the filing of the application, but not later than thirty business days after the filing, and the department shall make its determination as soon as practicable, but not later than one hundred twenty days after the filing of the application unless the person required to file the application agrees to an extension of time. The department may, in its discretion, grant the subject company or holding company the opportunity to participate in the hearing by presenting evidence and oral and written argument. If the department fails to give notice of its determination to hold a hearing, commence the hearing, or render its determination after the hearing within the time limits specified in this subdivision, the proposed acquisition shall be deemed approved. In each proceeding on a written application submitted under said subsection (b) or (c), the department shall, in a manner which treats all parties to the proceeding on an equal basis, take into consideration (1) the financial, technological and managerial suitability and responsibility of the applicant, (2) the ability of the gas, electric, ELECTRIC DISTRIBUTION, water, telephone or community antenna television company or holding company which is the subject of the application to provide safe, adequate and reliable service to the public through the company's plant, equipment and manner of operation if the application were to be approved, and (3) for an application concerning a telephone company, the effect of approval on the location and accessibility of management and operations and on the proportion and number of state resident employees.

(e) During any proceeding under subsection (b) or (c) of this section, the department may order any party to such proceeding and the officers, directors, employees and agents of such party to refrain for a specific time period from communicating, directly or indirectly, with the record and beneficial owners of securities of the gas, electric, ELECTRIC DISTRIBUTION, water, telephone or community antenna television company or holding company which is the subject of such proceedings, in regard to the matters submitted to

the department for its approval under said subsection (b) or (c). If the department issues such an order, it shall also order all other parties to the proceeding and the officers, directors, employees and agents of such parties to refrain for the same time period from communicating, directly or indirectly, with such record and beneficial owners of such securities, in regard to such matters. No order issued pursuant to this subsection shall prohibit any party from complying with disclosure and reporting obligations under any other provision of the general statutes or under federal law.

(f) Each holding company shall, not later than three months after the close of its fiscal year, annually, file with the department a copy of its annual report to stockholders for such fiscal year. If the holding company does not print such an annual report, it shall file instead, not later than the same date, a comprehensive audit and report of its accounts and operations prepared by an independent public accounting firm approved by the department. The provisions of this subsection shall not apply to any holding company in the form of a person.

(g) Any action contrary to the provisions of subsections (b) or (c) of this section shall be voidable on order of the department.

(h) Whenever any corporation, association, partnership, trust or similar organization, or person takes or engages in any action which may or would violate subsection (b) or (c) of this section or any order adopted pursuant to said subsection (b) or (c), the Superior Court, upon application of the department or any holding company or gas, electric, ELECTRIC DISTRIBUTION, water, telephone or community antenna television company affected by such action, may enjoin any such corporation, association, partnership, trust or similar organization, or person from continuing or doing any act in violation of said subsection (b) or (c) or may otherwise enforce compliance with said subsection (b) or (c), including but not limited to, the reinstatement of authority or control over the holding company or gas, electric, ELECTRIC DISTRIBUTION, water, telephone or community antenna television company or holding company to those persons who exercised authority or control over such company before such action.

(i) The provisions of this section shall not be construed to require any person to make written application to or obtain the approval of the department with respect to any telephone company or holding company of a telephone company over which such person exercises authority or control or operates as a holding company on June 30, 1987.

Sec. 99. Subsection (f) of section 16-50i of the general statutes is repealed and the following is substituted in lieu thereof:

(f) "Emergency generating device" means an electric generating device with a generating capacity of five megawatts or less, installed primarily for the purpose of producing emergency backup electrical power for not more than five hundred hours per year, and that (1) does not have a substantial adverse environmental effect, as determined by the council, or (2) is owned and operated by an entity other than an electric, ELECTRIC DISTRIBUTION or gas company or (3) is

under construction or in operation prior to May 2, 1989.

Sec. 100. Subsection (b) of section 16-50l of the general statutes is repealed and the following is substituted in lieu thereof:

(b) Each application shall be accompanied by proof of service of a copy of such application on: (1) Each municipality in which any portion of such facility is to be located, both as primarily proposed and in the alternative locations listed, which copy shall be served on the chief executive officer of the municipality and shall include notice of the date on or about which the application is to be filed, and the zoning commissions, planning commissions, planning and zoning commissions, conservation commissions and inland wetlands agencies of each such municipality, and the regional planning agencies which encompass each such municipality; (2) the Attorney General; (3) each member of the legislature in whose assembly or senate district the facility or any alternative location listed in the application is to be located; (4) any agency, department or instrumentality of the federal government that has jurisdiction, whether concurrent with the state or otherwise, over any matter that would be affected by such facility; (5) each state department, agency and commission named in subsection (h) of section 16-50j; and (6) such other state and municipal bodies as the council may by regulation designate. A notice of such application shall be given to the general public, in municipalities entitled to receive notice under subdivision (1) of this subsection, by the publication of a summary of such application and the date on or about which it will be filed. Such notice shall be published under the regulations to be promulgated by the council, in such form and in such newspapers as will serve substantially to inform the public of such application and to afford interested persons sufficient time to prepare for and to be heard at the hearing prescribed in section 16-50m. Such notice shall be published in not less than ten-point type. A notice of such an application for a certificate for a facility described in subdivision (3), (4), (5) or (6) of subsection (a) of section 16-50i shall also be sent, by certified or registered mail, to each person appearing of record as an owner of property which abuts the proposed primary or alternative sites on which the facility would be located. Such notice shall be sent at the same time that notice of such application is given to the general public. Notice of an application for a certificate for a facility described in subdivision (1) of subsection (a) of section 16-50i shall also be provided to each electric company OR ELECTRIC DISTRIBUTION COMPANY customer in the municipality where the facility is proposed to be placed. Such notice shall (A) be provided on a separate enclosure with each customer's monthly bill for one or more months, (B) be provided by the electric company OR ELECTRIC DISTRIBUTION COMPANY not earlier than sixty days prior to filing the application with the council, but not later than the date that the application is filed with the council, and (C) include: A brief description of the project, including its location relative to the affected

municipality and adjacent streets; a brief technical description of the project including its proposed length, voltage, and type and range of heights of support structures or underground configuration; the reason for the project; the address and a toll-free telephone number of the applicant by which additional information about the project can be obtained; and a statement in print no smaller than twenty-four-point type size stating "NOTICE OF PROPOSED CONSTRUCTION OF A HIGH VOLTAGE ELECTRIC TRANSMISSION LINE".

Sec. 101. Section 16-243 of the general statutes is repealed and the following is substituted in lieu thereof:

The Department of Public Utility Control shall have exclusive jurisdiction and direction over the method of construction or reconstruction in whole or in part of each system used for the transmission OR DISTRIBUTION of electricity, with the kind, quality and finish of all materials, wires, poles, conductors and fixtures to be used in the construction and operation thereof, and the method of their use, including all plants and apparatus used for generating electricity located upon private property upon which there are conductors capable of transmitting electricity to other premises in such manner as to endanger any person or property. The department may make any order necessary to the exercise of such power and direction, which order shall be in writing and entered in the records of the department. Each person or corporation operating any such system or generating plant shall, at its expense, comply with such order. Any person violating any provision of any such order shall be subject to the penalty prescribed in section 16-41.

Sec. 102. Section 16-261 of the general statutes is repealed and the following is substituted in lieu thereof:

(a) The Department of Public Utility Control shall order and direct the electric [utility companies distributing current] AND ELECTRIC DISTRIBUTION COMPANIES PROVIDING ELECTRIC DISTRIBUTION SERVICES in this state to extend lines in their chartered territory to all unserved areas having a density of subscribers for electric DISTRIBUTION service averaging at least two per mile on such proposed new lines, in accordance with the provisions of this section.

(b) The Department of Public Utility Control is directed, in considering the rates of electric [utility companies in this state] OR ELECTRIC DISTRIBUTION COMPANIES or in the proceedings having to do with such rates, to consider the expenses and revenues of each company as a whole, in arriving at a fair return on the fair value of such properties. In prescribing a rate for service on such new lines, the department shall exercise its statutory powers, except that the guarantee required shall not exceed thirteen dollars and fifty cents per mile per month.

(c) The Department of Public Utility Control is directed to advance the objects of this section in every lawful manner.

(d) Nothing in this section shall authorize the Department of Public Utility Control to order and direct electric [utility] OR ELECTRIC DISTRIBUTION companies to extend their lines in their chartered territory over or under any body

of water or elsewhere than along public highways unless such department, exercising its powers under section 16-20, finds such extension to be economically justifiable.

Sec. 103. Subsection (c) of section 16-345 of the general statutes is repealed and the following is substituted in lieu thereof:

(c) "Public utility" means the owner or operator of underground facilities for furnishing electric DISTRIBUTION, gas, telephone, telegraph, pipeline, sewage, water, community television antenna, steam or traffic signal service, including a municipal or other public owner or operator.

Sec. 104. Section 29-320 of the general statutes is repealed and the following is substituted in lieu thereof:

The Commissioner of Public Safety shall make and enforce, and may amend, reasonable regulations concerning the safe storage, use, transportation by any mode and transmission by pipeline of flammable or combustible liquids. In adopting such regulations, said commissioner may adopt by reference standards concerning flammable or combustible liquids as set forth by the National Fire Protection Association for the prevention of damage to property and injury to life, and protection from hazards incident to the storage, use, transportation by any mode and transmission by pipeline of such liquids. Such regulations shall not apply to electric, [companies] ELECTRIC DISTRIBUTION and gas companies, as defined in section 16-1.

Sec. 105. Section 29-331 of the general statutes is repealed and the following is substituted in lieu thereof:

The Commissioner of Public Safety shall make reasonable regulations concerning the safe storage, use, transportation by any mode and transmission by pipeline of liquefied petroleum gas. Regulations concerning safe storage shall specify standards to ensure maximum security against unauthorized entry into storage areas where liquefied petroleum gas or liquefied natural gas is stored. In adopting such regulations, said commissioner may adopt by reference standards concerning liquefied petroleum gas as set forth by the National Fire Protection Association for the prevention of damage to property and injury to life, and protection from hazards incident to the storage, use, transportation by any mode and transmission by pipeline of such gas, with particular reference to the design, construction, location and operation of liquefied petroleum gas installations. Such regulations shall not apply to electric, [companies] ELECTRIC DISTRIBUTION and gas companies as defined in section 16-1.

Sec. 106. Subsections (e) and (f) of section 32-317 of the general statutes, as amended by section 3 of public act 97-173, are repealed and the following is substituted in lieu thereof:

(e) The commissioner shall adopt regulations in accordance with chapter 54, (1) concerning qualifications for such loans or deferred loans, requirements and limitations as to adjustments of terms and conditions of repayment and any additional requirements deemed necessary to carry out the provisions of this section and to assure that those tax-exempt bonds and notes used to fund

such loans qualify for exemption from federal income taxation, (2) providing for the maximum feasible availability of such loans or deferred loans for dwelling units owned or occupied by persons of low and moderate income, (3) establishing procedures to inform such persons of the availability of such loans or deferred loans and to encourage and assist them to apply for such loans and (4) providing that (A) the interest payments received from the recipients of loans or deferred loans, less the expenses incurred by the commissioner in the implementation of the program of loans, deferred loans and loan guarantees under this section, and (B) the payments received from electric, ELECTRIC DISTRIBUTION and gas companies under subsection (f) of this section shall be applied to reimburse the General Fund for interest on the outstanding bonds and notes used to fund such loans or deferred loans.

(f) Not later than August first, annually, the commissioner shall calculate the difference between (1) the weighted average of the percentage rates of interest payable on all subsidized loans or deferred loans made from the energy conservation loan program authorized under sections 32-315 to 32-318, inclusive, AS AMENDED BY THIS ACT, and (2) the average of the percentage rates of interest on any bonds and notes issued pursuant to section 3-20, which have been dedicated to the energy conservation loan program under sections 32-315 to 32-318, inclusive, AS AMENDED BY THIS ACT, and used to fund such loans or deferred loans, and multiply such difference by the outstanding amount of all such loans or deferred loans, or such lesser amount as may be required under Section 103 (b)(2) of the Internal Revenue Code of 1986, or any subsequent corresponding internal revenue code of the United States, as from time to time amended. The product of such difference and such applicable amount shall not exceed six per cent of the sum of the outstanding principal amount at the end of each fiscal year of all loans or deferred loans made under the energy conservation loan program authorized under sections 32-315 to 32-318, inclusive, AS AMENDED BY THIS ACT, and the balance remaining in the energy conservation revolving loan account. Not later than September first, annually, the Department of Public Utility Control shall allocate such product among each electric, ELECTRIC DISTRIBUTION and gas company having at least seventy-five thousand customers, in accordance with a formula taking into account, without limitation, the average number of residential customers of each company. Not later than October first, annually, each such company shall pay its assessed amount to the commissioner. The commissioner shall pay to the State Treasurer for deposit in the General Fund all such payments from electric, ELECTRIC DISTRIBUTION and gas companies, and shall adopt procedures to assure that such payments are not used for purposes other than those specifically provided in this section. The department shall include each company's payment as an operating expense of the company for the purposes of rate-making under section 16-19, AS AMENDED BY THIS ACT.

Sec. 107. Subsection (b) of section 33-645 of the general statutes is repealed and the following

is substituted in lieu thereof:

(b) No corporation formed under sections 33-600 to 33-998, inclusive, AS AMENDED BY THIS ACT, shall have power to transact in this state the business of a telegraph company, gas, electric, [light] ELECTRIC DISTRIBUTION or water company, or cemetery corporation, or of any company, except a telephone company, requiring the right to take and condemn lands or to occupy the public highways of this state.

Sec. 108. Subsection (a) of section 33-920 of the general statutes, as amended by section 29 of public act 97-246, is repealed and the following is substituted in lieu thereof:

(a) A foreign corporation, other than an insurance, surety or indemnity company, may not transact business in this state until it obtains a certificate of authority from the Secretary of the State. No foreign corporation engaged in the business of a telegraph company, gas, electric, [light] ELECTRIC DISTRIBUTION or water company, or cemetery corporation, or of any company requiring the right to take and condemn lands or to occupy the public highways of this state, and no foreign telephone company, shall transact in this state the business authorized by its certificate of incorporation or by the laws of the state under which it was organized, unless empowered so to do by some general or special act of this state, except for the purpose of carrying out and renewing contracts existing upon August 1, 1903. No insurance, surety or indemnity company shall transact business in this state until it has procured a license from the Insurance Commissioner in accordance with the provisions of section 38a-41.

Sec. 109. Subsection (b) of section 33-1035 of the general statutes, as amended by public act 97-127 and section 46 of public act 97-246, is repealed and the following is substituted in lieu thereof:

(b) Except as provided in subsection (f) of this section, no corporation formed under sections 33-1000 to 33-1290, inclusive, AS AMENDED BY THIS ACT, shall, or shall have power to, transact in this state the business of an insurance company or a surety or indemnity company, railroad company, telegraph company, gas, electric, [light] ELECTRIC DISTRIBUTION or water company, or of any company requiring the right to take and condemn lands or to occupy the public highways of this state.

Sec. 110. Subsection (a) of section 33-1210 of the general statutes, as amended by section 73 of public act 97-246, is repealed and the following is substituted in lieu thereof:

(a) A foreign corporation, other than an insurance, surety or indemnity company, may not conduct affairs in this state until it obtains a certificate of authority from the Secretary of the State. No foreign corporation conducting the affairs of a state bank and trust company, savings bank or building and loan association, railroad company, telegraph company, gas, electric, [light] ELECTRIC DISTRIBUTION or water company, or of any company requiring the right to take and condemn lands or to occupy the public highways of this state, and no foreign telephone company, shall conduct in this state affairs authorized by its certificate of incorporation or by the laws of the

state under which it was organized, unless empowered so to do by some general or special act of this state, except for the purpose of carrying out and renewing contracts existing upon August 1, 1903. No insurance, surety or indemnity company shall conduct affairs in this state until it has procured a license from the Insurance Commissioner in accordance with the provisions of section 38a-41.

Sec. 111. Subsection (d) of section 34-119 of the general statutes is repealed and the following is substituted in lieu thereof:

(d) No limited liability company formed under sections 34-100 to 34-242, inclusive, shall have power to transact in this state the business of a telegraph company, gas, electric, [light] ELECTRIC DISTRIBUTION or water company, or cemetery corporation, or of any company, except a telephone company, requiring the right to take and condemn lands or to occupy the public highways of this state.

Sec. 112. Subdivision (12) of subsection (a) of section 36a-250 of the general statutes is repealed and the following is substituted in lieu thereof:

(12) Act as agent (A) in the collection of taxes for any qualified treasurer of any taxing district or qualified collector of taxes or (B) for any electric, ELECTRIC DISTRIBUTION, gas, water or telephone company operating within this state in receiving moneys due that company for utility services furnished by it.

Sec. 113. Section 52-380b of the general statutes is repealed and the following is substituted in lieu thereof:

Any property of any telegraph, telephone, [or] electric [light or power] OR ELECTRIC DISTRIBUTION company, or association engaged in distributing electricity by wires or similar conductors, attached or liable to attachment under the provisions of section 52-287, may be subjected to a lien by any person holding the legal title to an unsatisfied judgment, whether by assignment or otherwise, against the company or association, provided the creditor shall file a certificate in writing in the office of the Secretary of the State in the form provided in section 52-380a. If the lien is placed upon the property attached in the suit upon which the judgment was predicated and within four months after the judgment was rendered, it shall hold from the date of the attachment. Any such lien may be foreclosed or redeemed in the same manner as mortgages upon real property.

Sec. 114. Subdivision (1) of subsection (a) of section 12-213 of the general statutes is repealed and the following is substituted in lieu thereof:

(1) "Taxpayer" and "company" mean any corporation, foreign municipal electric utility, as defined in section 12-59, ELECTRIC DISTRIBUTION COMPANY, AS DEFINED IN SECTION 1 OF THIS ACT, ELECTRIC SUPPLIER, AS DEFINED IN SECTION 1 OF THIS ACT, GENERATION ENTITY OR AFFILIATE, AS DEFINED IN SECTION 1 OF THIS ACT, joint stock company or association or any fiduciary thereof but not a municipal utility as defined in chapter 212 and chapter 212a, and any dissolved corporation which continues to conduct business.

Sec. 115. Subdivision (20) of subsection (a) of section 12-213 of the general statutes is repealed and the following is substituted in lieu thereof:

(20) (A) "Carrying on or doing business" means and includes each and every act, power or privilege exercised or enjoyed in this state, as an incident to, or by virtue of, the powers and privileges acquired by the nature of any organization whether the form of existence is corporate, associate, joint stock company or fiduciary, [except that a] AND INCLUDES THE DIRECT OR INDIRECT ENGAGING IN, TRANSACTING OR CONDUCTING OF ACTIVITY IN THIS STATE BY AN ELECTRIC SUPPLIER, AS DEFINED IN SECTION 1 OF THIS ACT, GENERATION ENTITY OR AFFILIATE, AS DEFINED IN SECTION 1 OF THIS ACT, OR, FOR THE PURPOSE OF ESTABLISHING OR MAINTAINING A MARKET FOR THE SALE OF ELECTRICITY OR OF ELECTRIC GENERATION SERVICES, AS DEFINED IN SECTION 1 OF THIS ACT, TO END USE CUSTOMERS LOCATED IN THIS STATE THROUGH THE USE OF THE TRANSMISSION OR DISTRIBUTION FACILITIES OF AN ELECTRIC DISTRIBUTION COMPANY, AS DEFINED IN SECTION 1 OF THIS ACT OR, UNTIL UNBUNDLED IN ACCORDANCE WITH SECTION 5 OF THIS ACT, ELECTRIC COMPANY, AS DEFINED IN SECTION 1 OF THIS ACT;

(B) A company that has contracted with a commercial printer for printing and distribution of printed material shall not be deemed to be carrying on or doing business in this state because of [(A)] (i) the ownership or leasing by that company of tangible or intangible personal property located at the premises of the commercial printer in this state, [(B)] (ii) the sale by that company of property of any kind produced or processed at and shipped or distributed from the premises of the commercial printer in this state, [(C)] (iii) the activities of that company's employees or agents at the premises of the commercial printer in this state, which activities relate to quality control, distribution or printing services performed by the printer, or [(D)] (iv) the activities of any kind performed by the commercial printer in this state for or on behalf of that company.

Sec. 116. Subsection (13) of section 12-407 of the general statutes is repealed and the following is substituted in lieu thereof:

(13) "Tangible personal property" means personal property which may be seen, weighed, measured, felt or touched or which is in any other manner perceptible to the senses. TANGIBLE PERSONAL PROPERTY INCLUDES THE DISTRIBUTION, GENERATION OR TRANSMISSION OF ELECTRICITY.

Sec. 117. This act shall take effect from its passage, except that sections 1 to 5, inclusive, sections 7 to 44, inclusive, sections 48 to 53, inclusive, and sections 59 to 113, inclusive, shall take effect July 1, 1998, section 47 shall be applicable to income years commencing on or after January 1, 1999, sections 54 and 55 shall take effect January 1, 2000, and shall be applicable to calendar quarters commencing on or after January 1, 2000, section 56 shall take effect January 1, 2000, section 58 shall take effect July 1, 2000, section 45 shall be applicable to assessment years of municipalities commencing on or after October 1, 1999, and section 46 shall be effective until January 1,

2005.

Approved April 29, 1998